

CAPITAMALLS MALAYSIA TRUST
ANNUAL REPORT 2012



DELIVERING RESULTS

SCALING NEW HEIGHTS

Malaysia's "pure-play" shopping mall REIT with an income-and-geographically diversified portfolio.

Gross Revenue

RM289.2mil

Net Property Income

RM196.0mil

Distributable Income

RM149.1mil

Total Asset Value

RM3.1bil

Vision

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

Mission

To deliver long term and sustainable distribution of income and potential capital growth to unitholders.

For Investors

Provide sustainable returns and enhanced asset value

For Tenants

Create profitable opportunities

For Shoppers

Create delightful shopping experiences

For Employees

Provide opportunities for personal and career growth

For the Community

Commit to corporate social responsibility and environmental sustainability

Corporate Profile

CapitaMalls Malaysia Trust (CMMT), which listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, is a Malaysia-focused pure-play shopping mall real estate investment trust (REIT). As at 31 December 2012, CMMT had a market capitalisation of approximately RM3.2 billion and its portfolio was independently valued at approximately RM2.9 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and located primarily in Malaysia. Its shopping mall portfolio comprises Gurney Plaza in Penang, a significant interest in Sungei Wang Plaza¹ in Kuala

Lumpur, The Mines in Selangor and East Coast Mall in Kuantan, Pahang. As at 31 December 2012, the net lettable area of the portfolio was over 2.4 million square feet (sq ft).

CMMT is managed by CapitaMalls Malaysia REIT Management Sdn. Bhd. (the Manager) – a joint venture between CapitaMalls Asia Limited (CMA), one of the largest listed shopping mall developers, owners and managers in Asia by total property value and geographic reach, and Malaysian Industrial Development Finance Berhad (MIDF). AmTrustee Berhad (the Trustee) is the trustee for CMMT.

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza and (ii) 100.0% of the car park bays in Sungei Wang Plaza.



Property Portfolio

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and located primarily in Malaysia.

- 1 PENANG
GURNEY PLAZA
- 2 KUALA LUMPUR
SUNGEI WANG PLAZA
- 3 SELANGOR
THE MINES
- 4 KUANTAN, PAHANG
EAST COAST MALL



1,337 leases

Net Lettable Area

2.5 million sq ft

Valuation

RM2.9 billion

Total Distribution Per Unit

8.44_{sen}

DistubutionYield

4.69%

Investment Strategies

ENHANCING value through proactive asset management and asset enhancement initiatives;

Actively **PURSUING** acquisition opportunities;

LEVERAGING on CapitaMalls Asia's extensive network across 101 shopping malls in 52 cities in five countries; and

OPTIMISING capital management.

Integrated Retail and Capital Management Platform

CMMT enjoys access to CapitaMalls Asia's integrated shopping mall business model, with in-house capabilities in retail real estate investment, development, mall operations, asset management and fund management.

30.9%

Total
Return

RM3.2bil

Market
Capitalisation

64.1% /
RM2.0bil

Free Float¹

28.7%

Gearing Ratio

RETAIL REAL ESTATE MANAGEMENT

RETAIL REAL ESTATE CAPITAL MANAGEMENT

Property
Management

Retail
Management &
Operational
Leasing

Strategic
Marketing

Design &
Development
Management

Asset
Management

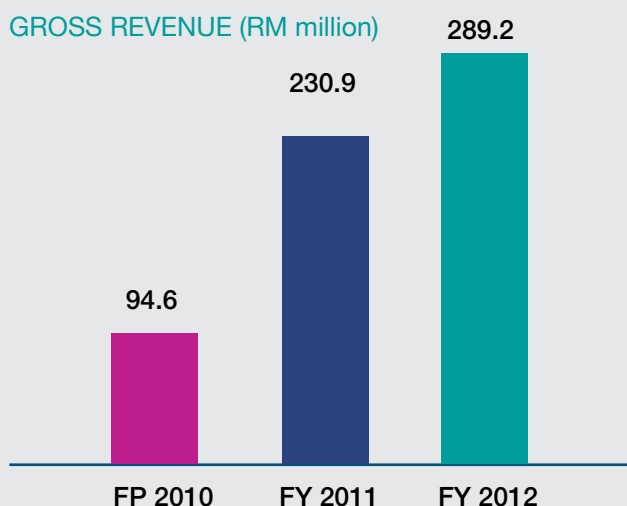
Strategic
Planning &
Investment

Fund
Structuring &
Management

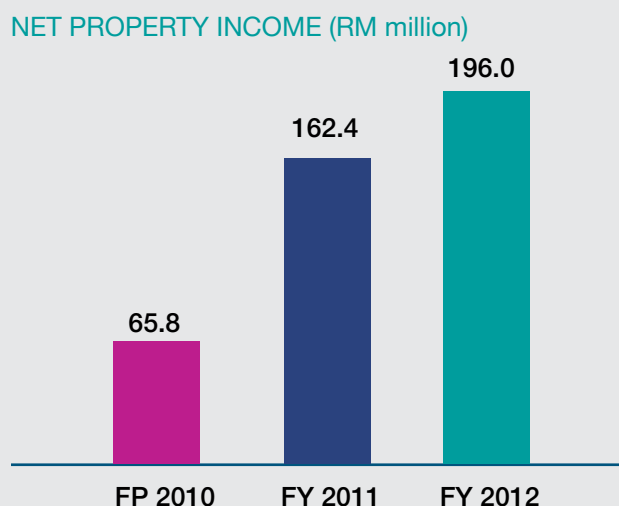
¹ Free float is the proportion of units that are held by investors excluding units held by CMMT's sponsor, CMA. It is a measure of the market liquidity of CMMT.

Financial Highlights

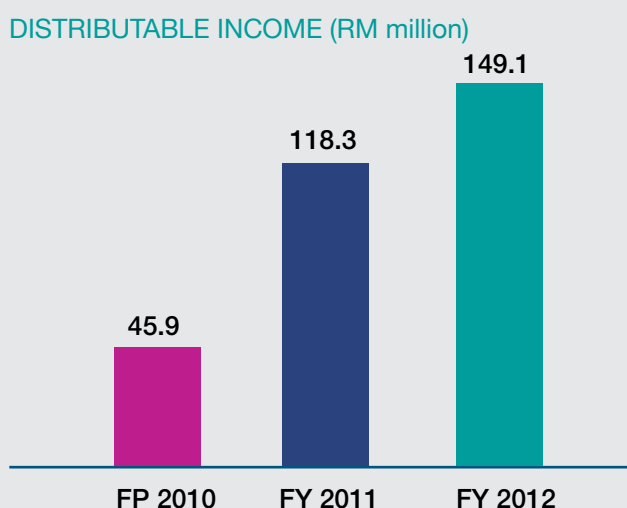
GROSS REVENUE (RM million)



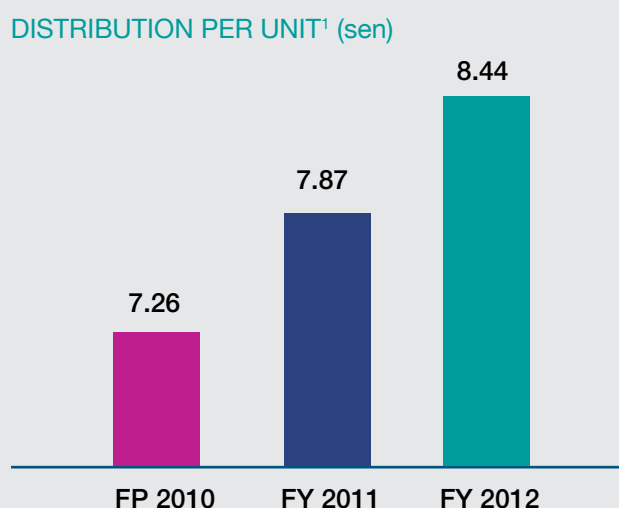
NET PROPERTY INCOME (RM million)



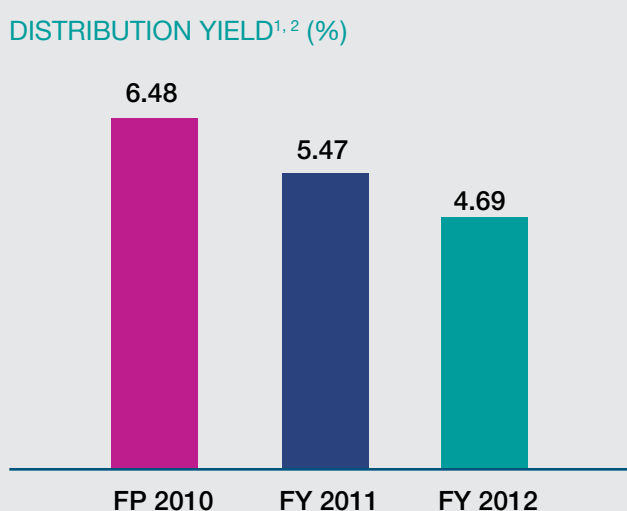
DISTRIBUTABLE INCOME (RM million)



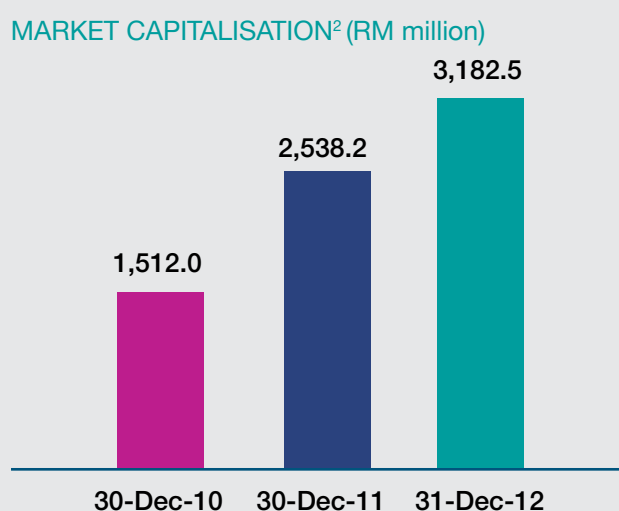
DISTRIBUTION PER UNIT¹ (sen)



DISTRIBUTION YIELD^{1,2} (%)



MARKET CAPITALISATION² (RM million)



FP2010: the financial period from 14 July 2010 to 31 December 2010.

FY2011: the financial year ended 31 December 2011.

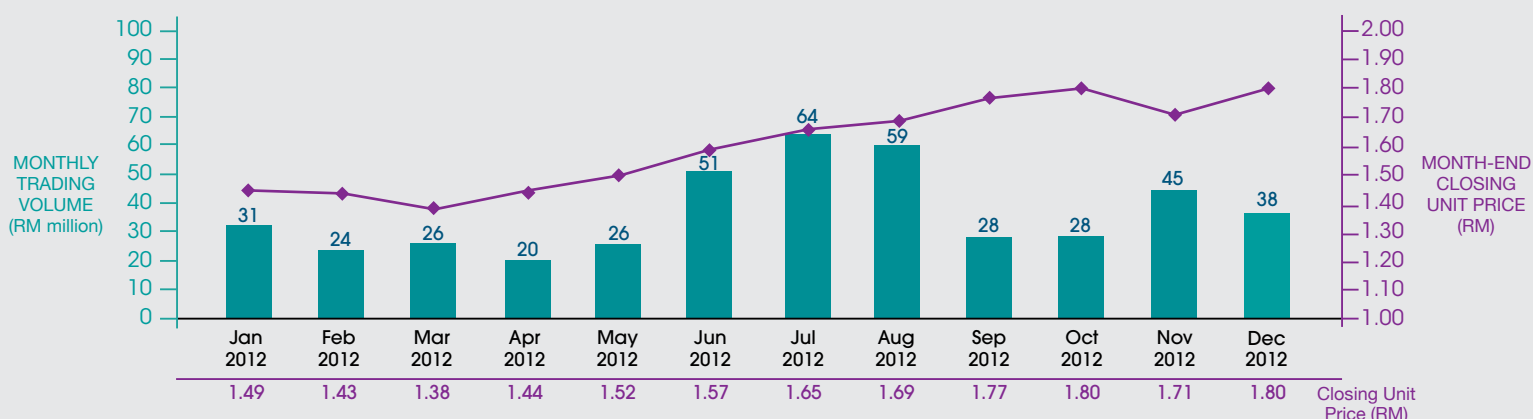
FY2012: the financial year ended 31 December 2012.

¹ Annualised for Financial Period (FP) 2010

² Based on the closing unit price of RM1.12 on 30 Dec 2010, RM1.44 on 30 Dec 2011 and RM1.80 on 31 Dec 2012

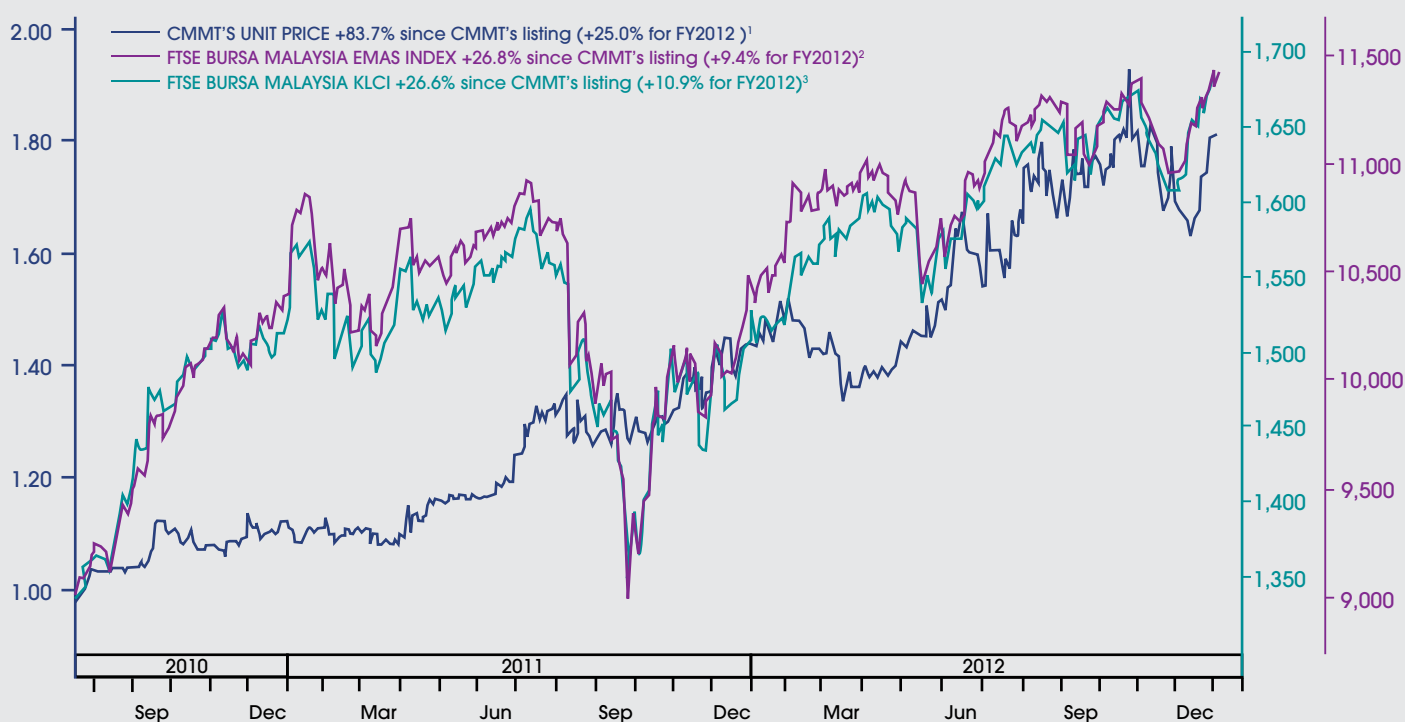
Unit Price Performance

CMMT'S MONTHLY TRADING PERFORMANCE IN 2012



CMMT'S UNIT PRICE VERSUS PERFORMANCE BENCHMARKS

16 July 2010 (CMMT's Listing Date) to 31 December 2012



Source: Bloomberg

COMPARATIVE YIELDS

FTSE Bursa Malaysia KLCI (2012)⁴

3.5%

12-month Fixed Deposit Rate⁵

3.2%

10-year Malaysian Government Bond⁶

3.5%

1.2% YIELD
SPREAD OVER
10-YEAR BOND

CMMT's Yield (2012)⁷

4.7%

¹ Based on the opening unit prices of RM0.98 on 16 July 2010 and RM1.44 on 3 January 2012 and the closing unit price of RM1.80 on 31 December 2012

² Based on the opening index values of 9019.64 on 16 July 2010 and 10451.97 on 3 January 2012 and the closing index value of 11438.14 on 31 December 2012

³ Based on the opening index values of 1333.86 on 16 July 2010 and 1523.60 on 3 January 2012 and the closing index value of 1688.95 on 31 December 2012

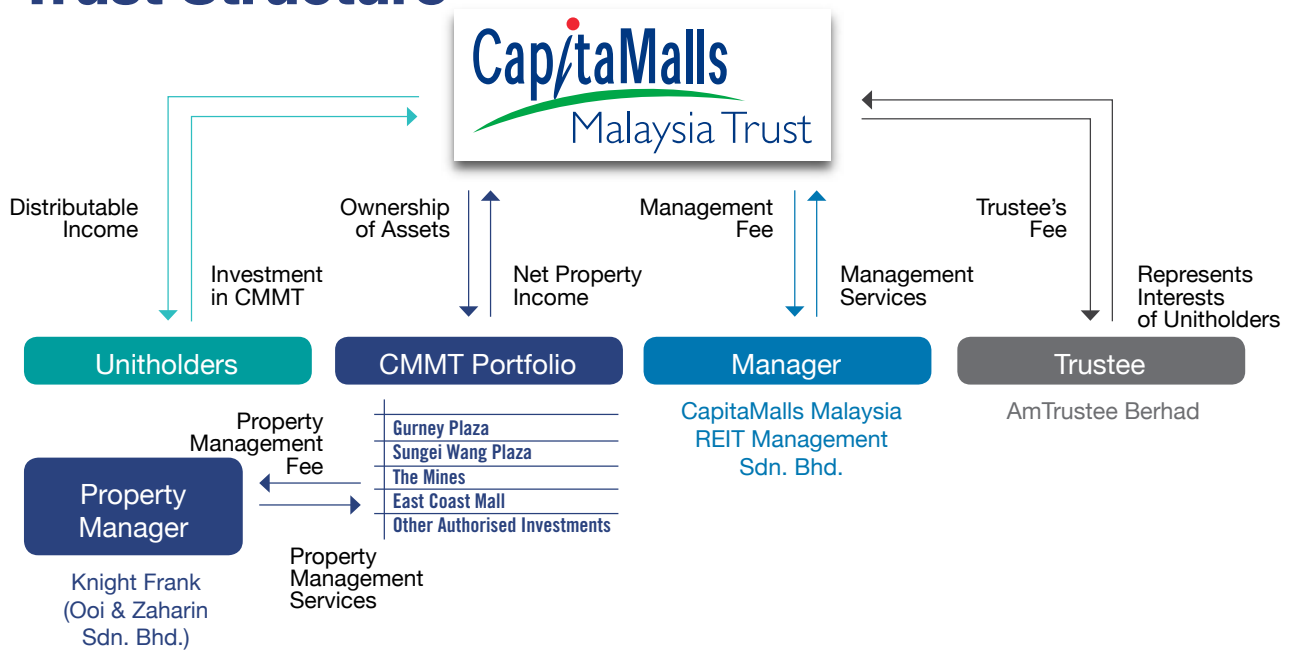
⁴ Dividend Yield of FTSE Bursa Malaysia KLCI as at 31 December 2012 (Source: Bloomberg)

⁵ Average 12-month Fixed Deposit Rate (RM) as at 31 December 2012 (Source: Bloomberg)

⁶ 10-year Malaysian Government Bond as at 31 December 2012 (Source: Bloomberg)

⁷ Based on the DPU of 8.44 sen for FY2012 and the closing price of RM1.80 on 31 December 2012

Trust Structure



Key Milestones

Mar 2012

On 8 March 2012, a distribution of 1.14 sen per unit for the period 11 November 2011 to 31 December 2011 was paid to unitholders.

On 30 March 2012, "Wear Less Day" was launched to reduce energy consumption at CMMT's malls.

On 31 March 2012, CMMT's malls participated in the global "Earth Hour" campaign organised by World Wildlife Fund (WWF) to combat global warming.

May 2012

On 3 May 2012, at an Extraordinary General Meeting called by Sungei Wang Plaza Management Corporation, Sungei Wang Plaza's strata parcel owners approved a one-off contribution of RM28.0 million¹ to fund major upgrading works to the 35-year old mall.

Jun 2012

On 6 June 2012, approval was received from Securities Commission Malaysia to establish a 20-year medium term note (MTN) programme of up to RM3.0 billion in nominal value.

Jul 2012

On 3 July, the Biz+ Series 'Staying Connected with Your Customers Digitally' seminar for tenants was launched.

Aug 2012

On 30 August 2012, a distribution of 4.20 sen per unit for the period 1 January 2012 to 30 June 2012 was paid to unitholders.

Nov 2012

On 8 November 2012, selected tenants from CMMT's malls attended the "Retail Global Connexion" in Singapore, an annual retailers' forum organised by CMA.

Dec 2012

On 6 December 2012, CapitaMalls Malaysia Trust and CapitaMalls Asia launched the philanthropic initiative "My Schoolbag".

On 20 December 2012, RM300.0 million (in nominal value) of four-year unrated and secured MTNs were issued to refinance existing borrowings undertaken by CMMT.

On 28 December 2012, East Coast Mall was awarded 'Green Mark Gold' certification for energy and water efficiency by the Building and Construction Authority (BCA) under the Ministry of National Development of Singapore.

¹ CMMT's contribution was equal to RM17.6 million.



Gurney Plaza after enhancement works

Board of Directors



01 MR DAVID WONG CHIN HUAT
Chairman and Independent Non-Executive Director

02 TUAN HAJI ROSLI BIN ABDULLAH
Independent Non-Executive Director

03 MR FOO WEI HOONG
Non-Independent Non-Executive Director

04 MR SIMON HO CHEE HWEE
(Alternate Director to Mr Lim Beng Chee),
Non-Independent Non-Executive Director

05 MR LIM BENG CHEE
Non-Independent Non-Executive Director

06 MR NG CHIH KAYE
Independent Non-Executive Director

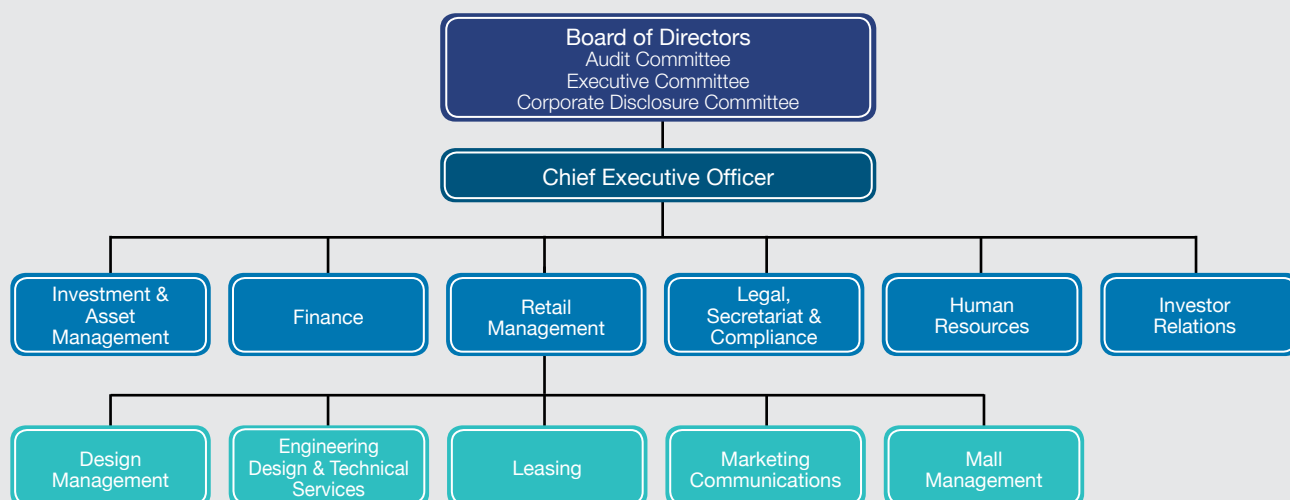
07 MR NG KOK SIONG
Non-Independent Non-Executive Director

08 MS TAN SIEW BEE
Independent Non-Executive Director

09 MR PETER TAY BUAN HUAT
Independent Non-Executive Director

10 MS SHARON LIM HWEE LI
Chief Executive Officer and
Non-Independent Executive Director

Organisation Structure



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Letter to Unitholders

DELIVERING RESULTS SCALING NEW HEIGHTS

In spite of the uncertain global economic climate, CMMT continued to deliver strong results, with its net property income and distribution per unit growing 20.7% and 7.2% respectively for 2012 versus 2011. CMMT's unit price also scaled new heights, increasing 25.0% during the year. Combining distributions and capital gains, CMMT's unitholders enjoyed a total return of 30.9% for the year.

With four shopping malls located in Kuala Lumpur, Selangor, Penang and Kuantan and over 1,337 leases, CMMT's portfolio provides unitholders with a defensively stable cash flow, income and geographical diversification, as well as "pure-play" exposure to Malaysia's resilient retail sector. CMMT has a market capitalisation of over RM3.2 billion, total asset value of RM3.1 billion and free float¹ of approximately 64.1%.

CMMT is differentiated from its peers by virtue of its relationship with CapitaMalls Asia Limited (CMA), the largest unitholder in CMMT and the majority shareholder of its manager, CapitaMalls Malaysia REIT Management Sdn. Bhd. (Manager). CMA is one of Asia's largest listed shopping mall developers, owners and managers by total property value and geographic reach with 101 malls in 52 cities in Singapore, China, Malaysia, Japan and India. CMMT enjoys access to CMA's integrated shopping mall business model, namely its in-house capabilities in retail real estate investment, development, mall operations, asset management and fund management. Malaysian Industrial Development Finance Berhad (MIDF), which is part of the Permodalan Nasional Berhad group of companies and a leading financial services provider in Malaysia, is also a shareholder of the Manager.

DELIVERING RESULTS

In 2012, CMMT enjoyed the full-year contributions of the two assets it acquired in 2011; the extension block to Gurney Plaza (Gurney Plaza Extension) in Penang and East Coast Mall in Kuantan, Pahang. As at 31 December 2012, CMMT's property portfolio was valued at RM2.9 billion, an increase of approximately 5.6% or RM155.0 million from RM2.8 billion in 2011. CMMT's operating metrics remained strong, with rental reversions of 6.4%, occupancy of 98.5% and shopper traffic of 59.9 million in 2012.

The total return to CMMT's unitholders during the financial year ended 31 December 2012 (FY2012) was 30.9%. Unitholders gained from the 25.0% appreciation of CMMT's units, which were priced at RM1.44 per unit when the market opened on 3 January 2012 and closed at RM1.80 per unit on 31 December 2012. In addition to capital gains, unitholders benefited from a total distribution per unit (DPU) of 8.44 sen for FY2012, up 7.2% from 7.87 sen for the financial year ended 31 December 2011 (FY2011).

CMMT's distributable income of RM149.1 million for FY2012 was 26.1% higher than its distributable income of RM118.3 million in FY2011. Gross revenue and property operating expenses for FY2012 were RM289.2 million and RM93.2 million respectively, resulting in net property income (NPI) of RM196.0 million, an increase of 20.7% versus the NPI in FY2011 of RM162.4 million. Total comprehensive income was RM250.5 million, an increase of 39.3% compared to RM179.8 million in FY2011, of which the (unrealised) fair value gain on investment properties contributed RM113.4 million.

¹ Free float is the proportion of units that are held by investors excluding units held by CMMT's sponsor, CMA. It is a measure of the market liquidity of CMMT.

CMMT's distribution policy is to pay out at least 90.0% of distributable income in each financial year on a half-yearly basis. Similar to preceding years, CMMT will pay out 100.0% of its distributable income for FY2012. During the year under review, CMMT made two distributions to unitholders totaling RM94.2 million (5.34 sen per unit) in relation to the periods 11 November 2011 to 31 December 2011¹ and 1 January 2012 to 30 June 2012. The next distribution of RM75.0 million, or 4.24 sen per unit, for the period from 1 July 2012 to 31 December 2012, will be paid to eligible unitholders on 6 March 2013.

GROWING THROUGH ASSET ENHANCEMENT INITIATIVES

Asset enhancement initiatives (AEIs) continued to be one of CMMT's growth drivers by raising the competitiveness of the shopping mall portfolio. During the year in review, CMMT invested about RM41.6 million in capital expenditure to refresh CMMT's shopping malls to continuously delight shoppers.

As part of our continual efforts to improve the shopping experience and create a new look and feel at Gurney Plaza, as well as reinforce its positioning as Penang's premier lifestyle shopping mall, an interior refurbishment programme at the mall was completed. The programme included re-tiling of the common area and installation of fascia panels in various atrium spaces, which cost RM15.8 million. In addition, in late 2012, approximately 4,500 square feet of net lettable area (NLA) was created on the ground floor and basement through, among other things, the construction of a floor slab where an under-utilised travelator void had been located. This RM3.4 million AEI generated an estimated incremental annual NPI of approximately RM1.0 million, which represented a return on investment (ROI) of 28.8%. In addition, in 2012 Gurney Plaza reaped the full year benefit of the works completed in 2011, which included the conversion of certain car park spaces on the 5th and 6th floors to retail units to provide a seamless shopping experience and reconfiguration of units in Basement 1 into smaller and higher yielding shops and gave CMMT an incremental NPI of approximately RM2.4 million per annum.

During 2012, Sungei Wang Plaza Management Corporation called an Extraordinary General Meeting (EGM) to obtain approval from strata parcel owners for a one-off contribution to fund major upgrading works to the 35-year old mall.

The upgrading works include, among other things, re-tiling of the common area and replacement of the plaster ceiling and lighting fixtures. The refurbishment works commenced in December 2012 and are targeted to be completed in 2013. Upgrading works were also embarked upon within CMMT's strata parcels of Sungei Wang Plaza, as well as The Mines and East Coast Mall, to improve the shopping experience.

OPTIMISING CAPITAL MANAGEMENT

Proactive capital management continued in 2012 to strengthen CMMT's financial position and liquidity, diversify its borrowing sources and reduce the future cost of debt and refinancing risk. In February 2012, a new unsecured, committed RM100.0 million revolving credit facility was obtained. As at 31 December 2012, RM54.0 million of this facility had been utilised. In June 2012, approval from Securities Commission Malaysia was obtained for the establishment of a RM3.0 billion medium term note (MTN) programme. On 20 December 2012, CMMT MTN Berhad, a wholly-owned subsidiary of CMMT, issued a maiden RM300.0 million four-year unrated and secured MTN to refinance an existing secured term loan undertaken by CMMT and successfully tapped the domestic debt capital market and developed a new source of funding.

As at 31 December 2012, CMMT's total borrowings, excluding bank guarantees, stood at RM873.7 million, which equates to a healthy gearing level of 28.7% and provides it with a permissible debt headroom of RM1,299.4 million for future acquisitions of shopping malls and/or AEIs. Moreover, two out of CMMT's four malls are currently unencumbered, providing CMMT with further financial flexibility. At the end of 2012, CMMT's debt had varying loan tenures of up to six years and approximately 76.0% of CMMT's debt was at fixed interest rates. CMMT also had an unutilised interest rate swap derivative line of RM90.0 million for interest rate hedging purposes. The average cost of debt for FY2012 was 4.7% per annum (FY2011: 4.7%).

¹CMMT made four distributions with respect to FY2011 because of the two advance income distributions in relation to the acquisitions of Gurney Plaza Extension, for the period 1 January to 24 March 2011, and East Coast Mall, for the period 1 July to 10 November 2011.

LOOKING FORWARD

A resource-rich country with a young population that is transitioning into a high income nation, Malaysia remains a compelling retail investment story. In spite of the uncertain global economic climate, Malaysia's economy is estimated to have grown by 4.5% to 5.0% in 2012 and forecast to grow another 4.5% to 5.5% in 2013, on the back of resilient private investment and consumption as well as the acceleration of public infrastructure projects. Retail sales are estimated to have grown in tandem by 5.8% in 2012 and forecast to grow another 6.0% in 2013. Such growth bodes well for a dedicated diversified retail REIT like CMMT, as retail sales growth will enable the retailers in CMMT's malls to post higher sales and, consequently, be able to afford higher rentals. Moreover, CMMT's malls are largely focused on necessity shopping, which have in the past proven resilient through economic cycles and should continue to do so.

The investment case for the Malaysia REIT industry as a whole remains favourable, as it is governed by a rigorous regulatory regime and the government has extended the concessionary final withholding tax on distributions to unitholders¹ to the end of 2016.

Supported by this favourable outlook, along with the fragmented nature of shopping mall ownership in Malaysia, as well as our professional retail management capabilities, Malaysia continues to offer growth opportunities for CMMT. The team will also continue to leverage on CMA's business scale, operational competencies and extensive international tenant network, as well as conduct asset enhancement works, active leasing and other operational initiatives in order to increase distributable income, yields and returns for unitholders.



Mr David Wong Chin Huat
Chairman,
CapitaMalls Malaysia REIT Management Sdn. Bhd.

ACKNOWLEDGING OUR STAKEHOLDERS

We would like to extend our appreciation to CMMT's unitholders, tenants, shoppers and business partners, as well as our fellow colleagues, for their continued support in 2012. We also wish to thank both the Trustee and our fellow Directors on the Board of Directors of CapitaMalls Malaysia REIT Management Sdn. Bhd., as the Manager of CMMT, for their counsel and dedication. Finally, we would like to put on record our gratitude to Mr Kee Teck Koon, Datuk Mohd. Najib Bin Hj. Abdullah and Datuk IG Chandran (Gnanachandran S Ayadurai), who retired from the Board during the year, for their significant contributions.

We look forward to your continued support as we endeavour to steer CMMT to scale even greater heights.



Ms Sharon Lim Hwee Li
Chief Executive Officer,
CapitaMalls Malaysia REIT Management Sdn. Bhd.

¹The concessionary final withholding tax of 10% on distributions applies to resident non-corporate unitholders, resident and non-resident institutional unitholders and resident and non-resident individuals. The final withholding tax of 25% on distributions applies to non-resident corporate unitholders, whilst the prevailing corporate tax applies to resident corporate unitholders.

Financial and Trading Highlights

Trading Highlights	FY2012 Group	FY2011 Group	FP2010 Trust
Opening Market Price (RM per unit)	1.440	1.120	0.985
Closing Market Price (RM per unit)	1.800	1.440	1.120
Highest Traded Price (RM per unit)	1.980	1.510	1.140
Lowest Traded Price (RM per unit)	1.330	1.060	0.970
Average Closing Price (RM per unit)	1.590	1.228	1.071
Total Trading Volume (million units)	273.2	191.8	196.1
Average Daily Trading Volume (million units)	1.115	0.783	1.720
Capital Appreciation (%) ¹	25.0	28.6	14.3
Market Capitalisation (RM million) ²	3,182.5	2,538.2	1,512.0
Units in Circulation ('000) ³	1,768,038	1,762,652	1,350,000

Performance Highlights	FY2012 Group	FY2011 Group	FP2010 Trust
Gross Rental Income (RM million)	233.4	194.0	80.1
Car Park Income (RM million)	18.4	15.0	6.4
Other Revenue (RM million)	37.4	21.9	8.1
Gross Revenue (RM million)	289.2	230.9	94.6
Net Property Income (RM million)	196.0	162.4	65.8
Distributable Income (RM million)	149.1	118.3	45.9
Distribution Per Unit (sen) (annualised)	8.44	7.87	7.26
Distribution Yield (%) ²	4.69	5.47	6.48
Annual Total Return (%) ⁴	30.9	35.6	20.8
Earnings per Unit (sen)	14.19	12.00	8.10
Management Expense Ratio (%) ⁵	1.0	1.1	1.1

¹ For FY2012, based on the opening price of RM1.44 on 3 January 2012 and the closing price of RM1.80 on 31 December 2012. For FY2011, based on the opening price of RM1.12 on 3 January 2011 and the closing price of RM1.44 on 30 December 2011. For FP2010, based on the initial public offering (IPO) unit price of RM0.98 and the closing price of RM1.12 on 30 December 2010.

² Based on the closing unit price of RM1.80 per unit on 31 December 2012, RM1.44 per unit on 30 December 2011 and RM1.12 on 30 December 2010.

³ Units in circulation at the end of the financial year or financial period.

⁴ For FY2012 and FY2011, equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the given year. For FP2010, equal to the annualised DPU plus capital appreciation (in sen) from CMMT's listing date to 30 December 2010 divided by the IPO unit price. The annual total return is also equal to the average total return for one year.

⁵ Refers to the expenses of CMMT excluding property expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

Balance Sheet Highlights	As at 31 Dec 2012 Group	As at 31 Dec 2011 Group	As at 31 Dec 2010 Trust
Portfolio Property Valuation (RM million)	2,936.0	2,781.0	2,143.0
Total Assets (RM million)	3,121.8	2,906.7	2,278.0
Total Borrowings ¹ (RM million)	873.7	828.7	750.0
Unitholders' Funds (RM million)	2,116.6	1,951.8	1,435.0
Net Asset Value (NAV) (Before Income Distribution) (RM million)	2,116.6	1,951.8	1,435.0
Net Asset Value (NAV) (After Income Distribution) (RM million)	2,041.6	1,931.7	1,389.0
NAV per Unit (Before Income Distribution) (RM)	1.1971	1.1073	1.0629
NAV per Unit (After Income Distribution) (RM)	1.1547	1.0959	1.0289
	FY2012 Group	FY2011 Group	FP2010 Trust
Highest NAV per Unit (After Income Distribution) (RM)	1.1547	1.0959	1.0289
Lowest NAV per Unit (After Income Distribution) (RM)	1.0946	1.0333	1.0265

Capital Management Highlights	As at 31 Dec 2012 Group	As at 31 Dec 2011 Group	As at 31 Dec 2010 Trust
Gearing Ratio (%)	28.7	28.7	33.6
Unencumbered Assets as % of Total Assets	42.0	42.5	39.8
Average Term to Maturity ² (years)	4.1	5.2	6.2
	FY2012 Group	FY2011 Group	FP2010 Trust
Interest Coverage (times)	4.5	3.8	3.6
Net Debt/EBITDA (times) ³	5.0	5.7	6.0
Average Cost of Debt (%)	4.7	4.7	4.7

FY 2012: financial year ended 31 December 2012.

FY 2011: financial year ended 31 December 2011.

FP 2010: financial period from 14 July 2010 to 31 December 2010.

As at 31 December 2012 and 31 December 2011, the Group refers to the consolidation of the Trust and its wholly-owned subsidiary, CMMT MTN Berhad (formerly known as Accord Arena Sdn. Bhd. and CMMT MTN Sdn. Bhd.).

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

¹ Before unamortised transaction costs.

² Excludes bank guarantee facility.

³ Net debt comprises gross debt less temporary cash intended for refinancing, if any, and EBITDA refers to earnings before interest, tax, depreciation and amortisation.

Salient Features of CMMT

Fund Name	CapitaMalls Malaysia Trust (CMMT)
Fund Category	Real estate investment trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: - the occurrence of any of events listed in Clause 25.2 of the Deed¹; or - the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of His Majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Authorised Investments	Real estate, single-purpose companies, real estate-related assets, non-real estate-related assets, cash, deposits, money market instruments and any investments permitted by Securities Commission Malaysia (SC), the REITs Guidelines ² and the Deed.
Authorised Investments Limits	- At least 50.0% of CMMT's total asset value must be invested in real estate and/or single-purpose companies at all times; - Not more than 25.0% of CMMT's total asset value may be invested in non-real estate-related assets and/or cash, deposits and money market instruments; and - Such other investments or limits as may be permitted by SC and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: - At least 90.0% of CMMT's distributable income in each financial year. Distribution payment: - Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowings are incurred or such higher amount with the prior approval of CMMT's unitholders.
Performance Benchmarks	- FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) - FTSE Bursa Malaysia EMAS Index
Revaluation Policy	Investment properties are valued: - Semi-annually based on internal valuation or independent professional valuation; - At least once every three years based on an independent professional valuation pursuant to the REITs Guidelines.
Management Fee	- Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY2012 actual: 0.29%) - Performance Fee: up to 5.0% per annum of NPI (before Management Fee) (FY2012 actual: 4.75%) - Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT - Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT.
Financial Year (FY)	1 January 2012 – 31 December 2012
Quotation	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	CMMT 5180

¹ The trust deed dated 7 June 2010 and registered with SC on 9 June 2010.

² Guidelines on Real Estate Investment Trusts.

³ As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

Investment Objectives and Strategies

INVESTMENT OBJECTIVES

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines and/or by the SC, with a view to providing unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CMMT has achieved its investment objective for FY2012.

INVESTMENT STRATEGIES

The key financial objective is to provide unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek to increase the cash flow, income and, consequently, the value of CMMT's properties and to seek continued growth through the following strategies:

- enhancing the value of CMMT's portfolio through proactive asset management and asset enhancement initiatives;
- actively pursuing acquisition opportunities;
- leveraging on CMA's extensive network of strategic and local partners, including its tenant network across 101 shopping malls in 52 cities spanning five countries as well as its local industry knowledge through its experienced staff in Malaysia; and
- optimising capital management.

FUTURE PROSPECTS OF THE MARKET

The Manager views the future prospects of the Malaysian retail sector to be positive and, going forward, will continue to pursue the abovementioned investment strategies. For more information on the market in which CMMT invests in, refer to the section 'Independent Retail Market Overview'.

Financial Review

GROSS REVENUE

Gross revenue for FY2012 was RM289.2 million, an increase of RM58.3 million or 25.3% compared to FY2011. The increase was mainly due to the full-year effects of the acquisitions of Gurney Plaza Extension and East Coast Mall, as well as the successful completion of the asset enhancement works at Gurney Plaza. CMMT Group also benefited from higher gross rental income on the back of higher rental rates achieved from new and renewed leases.

NET PROPERTY INCOME

Net property income for FY2012 was RM196.0 million, an increase of RM33.6 million or 20.7% over FY2011, and was a result of the abovementioned increase in gross revenue as well as property operating expenses, which increased by 36.1% from RM68.5 million to RM93.2 million. East Coast Mall attributed to an increase of RM13.6 million to current year's property operating expenses. The overall increase in property operating expenses was largely due to higher utility expenses because of higher electricity consumption, higher maintenance expenses and reimbursable staff costs. Despite the above, the growth in gross revenue and the positive impact of the full-year contributions of the two new assets CMMT acquired in 2011 resulted in a better net property income for FY2012 compared to FY2011.

DISTRIBUTIONS

For FY2012, CMMT declared a distribution per unit (DPU) of 8.44 sen. During the financial year, CMMT made two income distributions to unitholders, totaling RM94.2 million or 5.34 sen per unit, which comprised (i) a final income distribution for FY2011 of 1.14 sen per unit for the period from 11 November 2011 to 31 December 2011, which was paid on 8 March 2012 and (ii) the first income distribution for FY2012 of 4.20 sen per unit for the period from 1 January 2012 to 30 June 2012, which was paid on 30 August 2012. CMMT's final income distribution for FY2012 for the period from 1 July 2012 to 31 December 2012 will be distributed to its unitholders on 6 March 2013. This represents a 100.0% payout of CMMT's FY2012 distributable income of RM149.1 million.

In FY2011, CMMT declared a DPU of 7.87 sen, which was a 100.0% distribution payout. The distributions were made in four intervals, of which two advance income distributions were in conjunction with acquisitions of Gurney Plaza Extension in March 2011 and East Coast Mall in November 2011.

FY2012 chartered a year-on-year DPU growth of 7.2%, from 7.87 sen to 8.44 sen. Organic growth in the existing malls coupled with the full year impact of Gurney Plaza Extension and East Coast Mall, which were acquired during 2011, underpinned CMMT's revenue base in FY2012. In addition, prudent capital management and active cash management contributed to an increase in interest income which in turn improved CMMT's DPU.

Gross Revenue

Gross Revenue by Property	FY2012 RM'000	FY2011 RM'000
Gurney Plaza	114,014	96,118
Sungei Wang Plaza	71,778	70,767
The Mines	64,085	59,374
East Coast Mall	39,339	4,628
Total	289,216	230,887

Net Property Income

Net Property Income by Property	FY2012 RM'000	FY2011 RM'000
Gurney Plaza	77,606	68,570
Sungei Wang Plaza	54,933	54,419
The Mines	39,284	36,380
East Coast Mall	24,161	3,026
Total	195,984	162,395

Distribution History

Period Start	Period End	DPU (sen)	Distributions (RM'000)
FP2010			
14-Jul-10	31-Dec-10	3.40	45,900
		3.40	45,900
FY2011			
01-Jan-11	24-Mar-11	1.74	23,490
25-Mar-11	30-Jun-11	2.16	32,289
01-Jul-11	10-Nov-11	2.83	42,384
11-Nov-11	31-Dec-11	1.14	20,095
		7.87	118,258
FY2012			
01-Jan-12	30-Jun-12	4.20	74,151
01-Jul-12	31-Dec-12	4.24	74,964
		8.44	149,115

FP2010	financial period from 14 July 2010 to 31 December 2010
FY2011	financial year ended 31 December 2011
FY2012	financial year ended 31 December 2012

FINANCIAL POSITION

Unitholders' funds for CMMT and its subsidiary (CMMT Group) at 31 December 2012 was RM2,116.6 million, an increase of RM164.7 million from 31 December 2011. The increase in unitholders' funds was mainly related to handsome profit contribution in FY2012, including fair value gain of investment properties and issuance of CMMT units as part payment of management fee.

The total assets for CMMT Group were RM3,121.8 million at 31 December 2012 compared to RM2,906.7 million at 31 December 2011. The growth of RM215.1 million was primarily derived from a fair value gain of investment properties of RM113.4 million, capitalisation of capital expenditure of RM41.6 million as well as higher cash and cash equivalents and prepayment.

CMMT Group's cash and cash equivalents at 31 December 2012 increased by RM43.5 million during 2012 to RM159.0 million. Operating business injected a total of RM166.0 million to the current year's cash flows. In 2012, CMMT Group drew down RM300.0 million and RM54.0 million for refinancing of existing borrowings of RM309.0 million and funding of capital expenditure of RM27.1 million respectively. CMMT also paid RM94.2 million in income distribution to its unitholders, which included CMMT's final income distribution for FY2011 of RM20.1 million and repaid borrowing costs of RM45.5 million during the year.

Proactive capital management continued in 2012 to strengthen CMMT's financial position and liquidity, diversify its borrowing sources and reduce its future cost of debt and refinancing risk. In June 2012, approval from Securities Commission Malaysia was obtained for the establishment of a RM3.0 billion MTN programme. On 20 December 2012, CMMT MTN Berhad, a wholly-owned subsidiary of CMMT, issued a maiden RM300.0 million four-year unrated and secured MTN to refinance an existing secured term loan undertaken by CMMT and successfully developed a new source of funding by tapping domestic debt capital market.

At 31 December 2012, CMMT Group had available banking credit facilities of RM700.7 million (excluding the MTN programme) and an unutilised interest rate swap line of up to RM90.0 million. For the year ended 31 December 2012, RM579.8 million banking credit facilities remained outstanding, of which RM519.7 million was under secured term loan facilities related to the acquisition of properties, RM54.0 million was a revolving credit facility for the funding of capital expenditure and the balance of RM6.1 million was a bank guarantee facility for utilities, leaving an unutilised banking credit facilities of RM120.9 million.

At 31 December 2012, CMMT's total borrowings, excluding bank guarantees, stood at RM873.7 million, which equates to a healthy gearing level of 28.7% and provides it with a permissible debt headroom of RM1,299.4 million for future acquisitions of shopping malls and/or asset enhancements. The average cost of debt was approximately 4.7% per annum and the average term to maturity (excluding bank guarantee facility) was 4.1 years. Of the four properties within the portfolio, Sungei Wang Plaza and East Coast Mall remain unencumbered, providing CMMT with further financial flexibility.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

INVESTMENT PROPERTIES AND CAPITAL EXPENDITURE

The valuation of CMMT's portfolio increased by RM155.0 million from RM2,781.0 million at 31 December 2011 to RM2,936.0 million at 31 December 2012, which represents a fair value gain of RM113.4 million after accounting for capital expenditure of RM41.6 million.

CMMT incurred RM41.6 million in capital expenditure, including asset enhancement works, across the portfolio during the year. Details of the asset enhancement works are set out in the section 'Operations Review'. Maintenance costs were normal expenses incurred for the upkeep of the buildings.

UTILISATION OF PROCEEDS RAISED FROM THE ISSUANCE OF NEW UNITS

In conjunction with the acquisition of East Coast Mall on 14 November 2011, RM329,999,040 was raised from the issuance and private placement of 261,904,000 new units in CMMT at the issue price of RM1.26 per unit. The status of the utilisation of gross proceeds as at 31 December 2012 is shown in the table below.

Valuations and Property Yields

CMMT Portfolio	Valuation ¹ RM million (RM psf NLA ²)			Property Yield (%) ³		Capitalisation Rate (%) ⁴	
	31 Dec 2012	31 Dec 2011	Increase (Decrease)	FY 2012	FY 2011	31 Dec 2012	31 Dec 2011
Gurney Plaza	1,174.0 1,330 psf	1,100.0 1,261 psf	74.0	6.6	6.6	7.00	7.00
Sungei Wang Plaza	819.0 1,827 psf	792.0 1,769 psf	27.0	6.7	6.9	7.00	7.00
The Mines	594.0 826 psf	559.0 779 psf	35.0	6.6	6.5	7.00	7.25
East Coast Mall	349.0 787 psf	330.0 747 psf	19.0	6.9	7.0	7.25	7.50
CMMT Portfolio	2,936.0 1,178 psf	2,781.0 1,122 psf	155.0	6.7	6.7	-	-
Less: additions ⁵			(41.6)				
FY2012 Fair Value Gain			113.4				

Utilisation of Proceeds Raised From the Issuance of New Units

Purpose	Proposed Utilisation	Actual Utilisation	Deviation	
	RM'000	RM'000	RM'000	%
Purchase consideration	310,000	310,000	-	-
Placement expenses	7,161	5,881	(1,280) ⁶	(17.9)
Incidental costs on acquisition	4,839	4,618	(221) ⁶	(4.6)
Initial capital expenditure	4,000	4,000	-	-
Working capital	4,000	1,821	(2,179) ⁶	(54.5)
Total	330,000	326,320	(3,680)	(1.1)

¹ Based on the independent valuations of Gurney Plaza, an interest in Sungei Wang Plaza, The Mines and East Coast Mall as at 31 December 2012 and 31 December 2011, commissioned by the Trustee.

² RM per square foot of net lettable area.

³ Property yield is calculated by dividing the net property income (NPI) or annualised NPI for the year by the independent valuation of the property.

⁴ Capitalisation rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property.

⁵ Additions refer to capital expenditure incurred across the portfolio during the financial year.

⁶ As at the reporting date, the balance of unutilised proceeds of RM3.7 million raised from the private placement will be utilised for future working capital of the existing portfolio.

Operations Review

Property Portfolio Summary (As at 31 December 2012)

Property Valuation	RM2,936 million
Net Lettable Area	2,492,884 sq ft
Committed Occupancy Rate	98.5%
Number of Committed Leases	1,337
Total Annual Shopper Traffic ¹	59.9 million

¹ For the year ended 31 December 2012

PORTFOLIO AT A GLANCE

CMMT's portfolio consists of four quality properties that are strategically located in Penang, Kuala Lumpur, Selangor and Kuantan, thus providing investors with geographical diversification within Malaysia. The properties are:

- Gurney Plaza, which includes Gurney Plaza Extension, is located along Gurney Drive in Penang and is a popular destination for both tourists and locals. It is the premier lifestyle shopping mall in Penang and is connected to G Hotel, a modern concept designer hotel.
- Sungei Wang Plaza, which is positioned as a one-stop shopping mall 'for all kinds of everything', is a well-known shopping mall located in Kuala Lumpur's Bukit Bintang shopping precinct. It enjoys strong shopper traffic and is well-known for its specialty stores offering shoppers a wide range of products and services.
- The Mines is located in Selangor's Mines Resort City and is a suburban family-focused shopping mall. It provides shoppers with a complete offering of retail, entertainment and dining options.
- East Coast Mall, which is located in Kuantan, Pahang, is a modern lifestyle shopping mall with established domestic and international retailers. It is a popular destination among the people in Kuantan and regarded as the market leader in Kuantan.

The Manager continues to strive to ensure that each mall under CMMT's portfolio optimises its financial performance, strengthens its market position as the leading mall serving its respective target market, as well as provides the ideal shopping experience for its shoppers. This is achieved through a combination of active tenant remixing, stringent mall maintenance standards and unique mall-centric marketing and promotional activities.

Knight Frank (Ooi & Zaharin Sdn. Bhd.) is the property manager for Gurney Plaza, CMMT's interest in Sungei Wang Plaza, The Mines and East Coast Mall.

ACQUISITIONS AND DIVESTMENTS

During 2012, CMMT experienced the full year impact from its 2011 acquisitions, namely Gurney Plaza Extension in Penang, which was acquired on 28 March 2011, and East Coast Mall in Kuantan, which was acquired 14 November 2011. The other assets were acquired by CMMT on 14 July 2010 prior to the listing of CMMT on Bursa Securities on 16 July 2010. CMMT did not acquire any new assets in 2012.

ASSET ENHANCEMENT INITIATIVES

Asset enhancement initiatives (AEIs) continued to be one of CMMT's growth drivers. During the year in review, CMMT invested approximately RM41.6 million in capital expenditure.

As part of continual efforts to improve the shopping experience and create a new look and feel at Gurney Plaza, as well as reinforce its positioning as Penang's premier lifestyle shopping mall, an interior refurbishment programme at the mall was completed. The programme included re-tiling of the common area and installation of fascia panels in various atrium spaces, which cost RM15.8 million. In addition, in late 2012, approximately 4,500 square feet of net lettable area (NLA) was created on the ground floor and basement through, among other things, the construction of a floor slab where an under-utilised travelator void had been located. This RM3.4 million AEI generated an estimated incremental annual NPI of approximately RM1.0 million and a return on investment (ROI) of 28.8%.

During 2012, Sungei Wang Plaza Management Corporation called an Extraordinary General Meeting (EGM) to obtain approval from strata parcel owners for a one-off contribution of RM28.0 million (RM17.6 million contributed by CMMT) to fund major upgrading works to the 35-year old mall. The upgrading works include, among other things, re-tiling of the common area and replacement of the plaster ceiling and lighting fixtures. The refurbishment works commenced in December 2012 and are targeted to be completed in 2013. Works within CMMT's strata parcels of Sungei Wang Plaza included,

among other things, re-tiling of the concourse area (which will be completed in 2013) and acquiring additional auto-pay stations for the car park to eliminate manual cashiering at the loading bay exit and reduce queuing time.

At The Mines, two stacks of restrooms were upgraded, nine additional car park auto-pay stations were installed and the flooring and equipment of the wet playground, known as “the Splash Park”, were refurbished.

At East Coast Mall, various upgrading initiatives took place in 2012, including the refurbishment of seven sets of washrooms and two prayer rooms. The works began in November 2012 and are targeted to end in the second half of 2013.

OCCUPANCY

As a result of active mall management, proactive leasing and access to CMA’s extensive network of local and international tenants, CMMT’s occupancy rate remained high at 98.5% as at 31 December 2012.

SHOPPER TRAFFIC

Shopper traffic for the portfolio increased by 9.8 million from 50.1 million in 2011 to 59.9 million, of which 9.0 million was due to the introduction of a traffic counting system at East Coast Mall at the beginning of 2012. Stripping out the impact of East Coast Mall, shopper traffic increased 1.5% in 2012 versus 2011. Vehicular traffic (including East Coast Mall) increased slightly from 7.4 million to 7.5 million.

Portfolio - Key Information

	Gurney Plaza	Sungei Wang Plaza	The Mines	East Coast Mall
Gross Floor Area (sq ft)	1,226,709	511,103 ¹	1,257,086	996,902 ²
Net Lettable Area (sq ft) (as at 31 Dec 2012)	882,405	448,268	718,711	443,500
Number of Committed Leases (as at 31 Dec 2012)	386	364	392	195
Committed Occupancy (%) (as at 31 Dec 2012)	98.1	97.7	98.8	99.7
Car Park Lots	1,836	1,298	1,282	1,170
Year of Completion	2001 ³	1977	1997	2008
Acquisition Price (RM mil)	1,015 ⁴	724	530	310
Market Value / Net Book Value⁵ (RM mil) (as at 31 Dec 2012)	1,174	819	594	349
Gross Revenue (RM mil) (for FY2012)	114.0	71.8	64.1	39.3
Net Property Income (RM mil) (for FY2012)	77.6	54.9	39.3	24.2
Shopper Traffic (mil) (for FY2012)	15.2	23.1	12.6	9.0
Key Tenants	Parkson, Padini Concept Store, Esprit, Cold Storage, Nichii & Kitschen, Reject Shop, Golden Screen Cinemas, Popular Book Store, F.O.S., SUB	Parkson, F.O.S., Giant, KFC, McDonald’s, ROMP, SUB, Fashion City, Original Classic, Diese/B.U.M, Teppanyaki, Wow Karaoke	Giant, Voir Gallery, Challenger, Spices of Malaysia, Celebrity Fitness, TGV Cinemas, Mines Playzone, Cobay, Courts, Nichii, Samsung	Parkson, Carrefour, Golden Screen Cinemas, F.O.S., Padini Concept Store, Brands Outlet, Song Box Entertainment, KFC, Tropicana Food Garden, Wah Chan, East Coast Mall IT Centre

¹ Equal to 47,483 square metres, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza.

² Includes the car park area as gross floor area is defined by the requisite authorities in Kuantan to be inclusive of the car park area.

³ Gurney Plaza was completed in 2001 and Gurney Plaza Extension in 2008.

⁴ Equal to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

⁵ Equal to carrying value.

RENTAL REVERSIONS FOR 2012 LEASE EXPIRIES

For leases that expired in 2012, the rental of the first year of the renewed/new lease term increased by 6.4% on a portfolio basis compared to the preceding rate, i.e. the last year's rental of the preceding term.

LEASE EXPIRY PROFILE

Tenants are typically on a three year tenancy term. The portfolio lease expiry remained well spread out as at 31 December 2012 with 28.0% and 40.4% of tenancies by gross rental income due for renewal in 2013 and 2014 respectively, with the balance expiring from 2015 onwards. 433 leases are due to expire in 2013.

LEASE STRUCTURE

Rental income is the total amount payable by all tenants/licensees pursuant to a lease/license, which includes rents/fees payable under a lease or license agreement. Rents paid under CMMT's lease agreements are generally fixed for a period of three years which is the usual market practice in Malaysia.

Most of CMMT's leases include step-up provisions, whereby the rental rate increases by a predetermined amount at various points in the future (typically annually). The vast majority of tenants have a provision in their leases for the payment of a turnover rent in addition to the base (fixed) rent.

Portfolio - Renewals / New Leases (excluding newly created and reconfigured units) (as at 31 December 2012)

Property	Number of Renewals/ New Leases	Net Lettable Area		Change in Rental Rates ¹ (%)
		Area (sq ft)	Percentage of Mall (%)	
Gurney Plaza	86	882,405	17.3	11.1
Sungei Wang Plaza	139	448,268	22.7	0.0
The Mines	170	718,711	54.5	6.6
East Coast Mall	48	443,500	16.7	12.9
Total	443	2,492,885	28.9	6.4

Portfolio - Lease Expiry Profile (as at 31 December 2012)

Year	Number of Leases	By Gross Rental Income (%)	By Net Lettable Area (%)
2013	433	28.0	25.5
2014	495	40.4	39.9
2015 and beyond	409	31.6	34.6

Portfolio - Lease Expiry Profile for 2013 (as at 31 December 2012)

Property	Number of Leases	By Gross Rental Income (%)	By Net Lettable Area (%)
Gurney Plaza	109	9.2	9.8
Sungei Wang Plaza	108	3.9	7.7
The Mines	88	4.3	3.8
East Coast Mall	128	8.2	6.6
Total	433	25.5	28.0

¹ Change in the current rental rates versus the preceding rental rates.

TOP 10 TENANTS

CMMT's gross rental income is well distributed within its portfolio of 1,337 leases. Collectively, the 10 largest tenants accounted for about 16.7% of the portfolio gross rental income.

TRADE SECTOR ANALYSIS

CMMT's portfolio is well diversified and relies on many different trade sectors for rental income. As at 31 December 2012, fashion/accessories remained the largest contributor to gross rental income at 39.6% of the total portfolio. The food and beverage trade was the second largest contributor in terms of rental income at 15.9% and occupied 13.5% of the total net lettable area.

Portfolio - 10 Largest Tenants by Total Gross Rental (as at 31 December 2012)

Tenant	Trade Sector	By Gross Rental Income (%)	Expiry Date ¹
Parkson	Department Store	7.3	19 Jun 2014 to 2 Aug 2016
Factory Outlet Store (F.O.S.)/F.O.S. Kids & Teens	Fashion/Accessories	1.7	30 Apr 2013 to 31 Dec 2014
Giant	Supermarket/Hypermarket	1.6	15 Oct 2014 to 2 Jan 2015
Padini Concept Store	Fashion/Accessories	1.0	30 Apr 2014 to 31 Dec 2014
Voir Gallery	Fashion/Accessories	0.9	14 Jan 2015 to 18 Mar 2015
SUB	Fashion/Accessories	0.9	31 Mar 2014 to 30 Nov 2015
KFC	Food & Beverages	0.9	17 Nov 2013 to 30 Apr 2015
McDonald's	Food & Beverages	0.8	30 Sep 2014 to 16 Mar 2015
Golden Screen Cinemas	Leisure & Entertainment / Sports & Fitness	0.7	14 Jan 2013 to 11 Nov 2015
Carrefour	Supermarket/Hypermarket	0.7	31 Oct 2013

Portfolio - Trade Sector Analysis (as at 31 December 2012)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	39.6	26.6
Food & Beverages	15.9	13.5
Beauty/Health	11.0	7.8
Services	7.9	3.9
Departmental Store	7.3	15.4
Leisure & Entertainment/Sports & Fitness	5.5	10.9
Electronics/I.T.	3.7	5.0
Supermarket/Hypermarket	2.8	8.2
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.0	3.7
Houseware/Furnishings	1.9	3.2
Others	1.5	1.9

¹ In cases where leases have more than one expiry date (i.e. the tenants have several leases), lease expiry dates are shown as a range.

Gurney Plaza

Gurney Plaza is strategically located in the famous Gurney Drive promenade in Penang and approximately three kilometres to the north-west of the city centre of Georgetown, Penang's capital. It is Penang's premier lifestyle shopping mall and a one-stop shopping and entertainment destination catering to both family and tourists arriving in Penang.

Gurney Plaza is a nine storey shopping complex with two levels of basements comprising nine floors of retail space from Basement 1 to the 7th floor and car park spaces at the two basement levels, the 4th to 8th floors and on the rooftop. As

Penang's premier shopping mall, it houses various well-known brands for shopping, dining and entertainment.

Gurney Plaza is anchored by Parkson and is the only mall in the state of Penang to carry well-established international brands such as Coach, Rolex, Omega, Rado, Tissot, ToyWatch, Cerruti 1881, Pandora, Swarovski, Warehouse, Dorothy Perkins, HE by Mango, PEPE Jeans, Cache Cache, Fossil, M.A.C, Kiehl's and Birkenstock. With many food and beverage outlets located within the mall, Gurney Plaza is also a popular destination for food lovers.

CENTRE MANAGEMENT

Lawrence Teh
Centre Management

Peter Chan
Marketing Communications

Vanessa Lee
Leasing

Yeoh Kim Bock
Operations

Gurney Plaza - Property Information

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Net Lettable Area (sq ft) (as at 31 December 2012)	882,405
Number of Committed Leases (as at 31 December 2012)	386
Committed Occupancy (%) (as at 31 December 2012)	98.1
Car Park Lots	1,836
Market Valuation (RM mil) Conducted by PPC International Sdn Bhd (as at 31 December 2012)	1,174.0
Gross Revenue (RM mil) (for FY2012)	114.0
Net Property Income (RM mil) (for FY2012)	77.6
Shopper Traffic in 2012 (mil)	15.2
Key Tenants	Parkson, Padini Concept Store, Esprit, Cold Storage, Nichii & Kitschen, Reject Shop, Golden Screen Cinemas, Popular Book Store, F.O.S. and SUB

Gurney Plaza - Lease Expiry Profile
(as at 31 December 2012)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2013	26.2	26.0
2014	41.1	34.5
2015 and beyond	32.8	39.4

Gurney Plaza - Trade Sector Analysis
(as at 31 December 2012)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	39.9	23.3
Food & Beverages	16.0	13.4
Beauty/Health	12.9	9.6
Services	5.7	2.6
Departmental Store	7.2	19.3
Leisure & Entertainment/Sports & Fitness	5.1	10.5
Electronics/I.T.	3.1	3.6
Supermarket/Hypermarket	1.2	2.7
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.0	6.4
Houseware/Furnishings	3.7	6.9
Others	1.2	1.7

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Gurney Plaza – Title Particulars

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land comprised in the title: ▪ shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and ▪ subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and ▪ the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances²	There is a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016. There is a charge on the land in favour of Public Bank Berhad vide presentation no. 0799SC2011034916 registered on 5 October 2011.
Endorsements	An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza. An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel. An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza. An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel. An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive. An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive.

¹ The title HS(D) 17259 Lot 5626 is one of the sub-divided titles resulting from a sub-division application for the master title Geran 97112, Lot 2903 and the financing documentation for Gurney Plaza makes reference to this master title. The adjacent landscape park is on another subdivided title which was H.S (D) 17261 Lot 5628 which is now under a final title Geran 130393 Lot 5628.

² The encumbrances pertain to the title HS(D) 17259 Lot 5626. The title Geran 130393 Lot 5628 is unencumbered.

Sungei Wang Plaza

Sungei Wang Plaza, which translates as ‘the river of gold’, opened in 1977. It is one of the most popular shopping centres in Kuala Lumpur’s prime shopping and commercial precinct - the ‘Golden Triangle’ – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre ‘for all kinds of everything’, Sungei Wang Plaza is also well-known for its unique blend of specialty stores and entertainment outlets that appeal to the

mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists.

Sungei Wang Plaza is an eleven storey retail shopping centre with two basement levels and two elevated levels of car park. The mall is anchored by Parkson and other key tenants within CMMT’s strata parcels include F.O.S., Giant, KFC, McDonald’s, Fashion City, Wow Karaoke and SUB.

CENTRE MANAGEMENT

Alicia Yuen
Centre Management

Intan Yusoff
Marketing Communications

Lynn Chia
Leasing

Wong Ying Yin
Operations

Sungei Wang Plaza - Property Information¹

Title	205 parcels, each with individual strata title, in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 0067, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ²
Net Lettable Area (sq ft) (as at 31 December 2012)	448,268
Number of Committed Leases (as at 31 December 2012)	364
Committed Occupancy (%)	97.7
Car Park Lots	1,298
Market Valuation (RM mil) Conducted by CB Richard Ellis (Malaysia) Sdn Bhd (as at 31 December 2012)	819.0
Gross Revenue (RM mil) (for FY2012)	71.8
Net Property Income (RM mil) (for FY2012)	54.9
Shopper Traffic in 2012 (mil)	23.1
Key Tenants	Parkson, F.O.S., Giant, KFC, McDonald’s, ROMP, SUB, Fashion City, Original Classic, Diesel /B.U.M., Teppanyaki, Wow Karaoke

¹ All information in this table and pertaining to the lease expiry profile, top 10 tenants and trade sector analysis pertain to CMMT’s interest in Sungei Wang Plaza. The strata titles to Sungei Wang Plaza have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang Plaza, as well as mall-specific marketing and events.

² The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

Sungei Wang Plaza - Lease Expiry Profile

(as at 31 December 2012)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2013	28.4	21.7
2014	42.8	50.8
2015 and beyond	28.9	27.5

Sungei Wang Plaza - Trade Sector Analysis

(as at 31 December 2012)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	46.7	32.5
Food & Beverages	16.8	17.3
Beauty/Health	9.5	6.4
Services	2.5	2.0
Departmental Store	12.1	24.5
Leisure & Entertainment/Sports & Fitness	3.6	5.1
Electronics/I.T.	1.5	1.4
Supermarket/Hypermarket	2.6	5.1
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.1	3.1
Houseware/Furnishings		
Others	1.6	2.6

Sungei Wang Plaza – Title Particulars

Title	205 parcels, each with individual strata title, in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 0067, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land must be used for commercial building only. Development on the land must comply with the development order issued by the Commissioner of the City of Kuala Lumpur (known as Datuk Bandar Kuala Lumpur in Malay, it is a body corporate appointed pursuant to Section 4 of the Federal Capital Act 1960 to administer municipal affairs of the City of Kuala Lumpur)
Encumbrances	There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. 21493/1993 for a period of 30 years commencing from 15 March 1993 to 14 March 2023. ²
Endorsements³	Easements between Sungei Wang Plaza and Bukit Bintang Plaza vide presentation nos. 15174/2001 and 15175/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (UDA) and the developer of Sungei Wang Plaza Sdn Bhd (SWPSB). These easements relate to the arrangement between Sungei Wang Plaza and Bukit Bintang Plaza for the exchange of car park areas on terms set out in a car park areas on terms set out in a car park management agreement dated 2 October 2007 between UDA and SWPSB. Pursuant to the two easement agreements between UDA and SWPSB, UDA agreed to grant to SWPSB a right of way over Basements 1 and 2 of Bukit Bintang Plaza and SWPSB in turn agreed to grant to UDA the right of way over Levels 4 and 5 of Sungei Wang Plaza (which form part of CMMT's interest in Sungei Wang Plaza). Revision on quit rent registered on 1 September 2005 vide presentation no. 8100/2005. Registration of Sungei Wang Plaza Management Corporation (SWPMC) on 21 November 2008 vide presentation no. 1183/2008.

¹ The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in SWPMC.

² This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang Plaza.

³ The endorsements are stated on the master title to Sungei Wang Plaza, which is registered in the name of SWPMC.

The Mines

The Mines is located about fifteen kilometres south of Kuala Lumpur City Centre and within one kilometre from the Seri Kembangan town centre. It is a suburban family mall targeted at residents residing in and working in the southern region of Kuala Lumpur and Selangor.

The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal and a wet-and-dry playground located at its rooftop (known as the

Splash Park). The Mines underwent a massive asset enhancement exercise in 2008-2009, which transformed it into a modern and fashionable suburban mall with extensive retail offerings catering to all market segments.

The Mines is anchored by Giant. Other key tenants include Challenger, Cobay, Celebrity Fitness, Voir Gallery, Spices of Malaysia, Courts, TGV Cinemas, Nichii, Mines Playzone and Samsung.

CENTRE MANAGEMENT

Alan Cheong
Centre Management

Gary Hor
Marketing Communications

Low Sue Fung
Leasing

Anandan Perumal
Operations

The Mines - Property Information

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor
Net Lettable Area (sq ft) (as at 31 December 2012)	718,711 sq ft
Number of Committed Leases (as at 31 December 2012)	392
Committed Occupancy (%) (as at 31 December 2012)	98.8
Car Park Lots	1,282
Market Valuation (RM mil) Conducted by CB Richard Ellis (Malaysia) Sdn Bhd (as at 31 December 2012)	594.0
Gross Revenue (RM mil) (for FY2012)	64.1
Net Property Income (RM mil) (for FY2012)	39.3
Shopper Traffic in 2012 (mil)	12.6
Key Tenants	Giant, Voir Gallery, Challenger, Spices of Malaysia, Celebrity Fitness, TGV Cinemas, Mines Playzone, Cobay, Courts, Nichii, Samsung

The Mines - Lease Expiry Profile
(as at 31 December 2012)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2013	16.3	14.9
2014	38.3	37.3
2015 and beyond	45.4	47.8

The Mines - Trade Sector Analysis
(as at 31 December 2012)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	34.0	31.8
Food & Beverages	15.7	13.6
Beauty/Health	10.4	8.2
Services	16.7	7.0
Departmental Store		
Leisure & Entertainment/Sports & Fitness	6.6	14.1
Electronics/I.T.	7.4	10.1
Supermarket/Hypermarket	3.8	8.2
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.0	2.3
Houseware/Furnishings	1.5	2.1
Others	1.8	2.6

The Mines – Title Particulars

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge in favour of Malaysian Trustees Berhad, registered vide presentation no. 2284/2013 on 15 January 2013.
Endorsements	An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn Bhd and the owner of Mines International Exhibition and Convention Centre.
	Revision on quit rent registered on 5 August 2005 via presentation no. 28686/2005.

East Coast Mall

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel as well as the Sultan Ahmad Shah International Convention Centre. It is also walking distance from other local attractions and amenities such as Kuantan National Stadium and Kuantan Main Bus Terminal.

The building is a four storey shopping complex with one level of basement and car parks located on the rooftop, third floor and surface level. With

an established mix of domestic and international retailers, East Coast Mall is the market leader in Kuantan. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring state of Terengganu and tourists visiting the East Coast of Malaysia.

East Coast Mall is anchored by department store Parkson and Carrefour hypermarket, while other key tenants include Golden Screen Cinemas, F.O.S., Padini Concept Store, Brands Outlet, Song Box Entertainment, KFC, Tropicana Food Garden, Wah Chan and East Coast Mall IT Centre.

CENTRE MANAGEMENT

Chai Wen Yew
Centre Management

Ken Chin
Marketing Communications

Samantha Ng
Leasing

Chandrasegaram S Menon
Operations

East Coast Mall - Property Information

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang
Net Lettable Area (sq ft) (as at 31 December 2012)	443,500
Number of Committed Leases (as at 31 December 2012)	195
Committed Occupancy (%) (as at 31 December 2012)	99.7
Car Park Lots	1,170
Market Valuation (RM mil) Conducted by CB Richard Ellis (Malaysia) Sdn Bhd (as at 31 December 2012)	349.0
Gross Revenue (RM mil) (for FY2012)	39.3
Net Property Income (RM mil) (for FY2012)	24.2
Shopper Traffic in 2012 (mil)	9.0
Key Tenants	Parkson, Carrefour, Golden Screen Cinemas, F.O.S., Padini Concept Store, Brands Outlet, Song Box Entertainment, KFC, Tropicana Food Garden, Wah Chan, East Coast Mall IT Centre

East Coast Mall - Lease Expiry Profile
(as at 31 December 2012)

Year	By Gross Rental Income (%)	By Net Lettable Area (%)
2014	55.6	45.3
2015	37.2	43.5
2016 and beyond	7.3	11.3

East Coast Mall - Trade Sector Analysis
(as at 31 December 2012)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	33.1	18.8
Food & Beverages	13.6	9.7
Beauty/Health	10.0	4.6
Services	9.9	3.5
Departmental Store	11.2	23.6
Leisure & Entertainment/Sports & Fitness	9.1	12.4
Electronics/I.T.	3.5	2.7
Supermarket/Hypermarket	5.9	21.8
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.4	1.5
Houseware/Furnishings	1.0	0.7
Others	1.4	0.7

East Coast Mall – Title Particulars

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used for commercial building only.
Encumbrances	Nil
Endorsements	Nil

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Marketing and Promotions

We continue to engage our shoppers and tenants through redemptions, promotional activities and theme-based events. Through these activities, we aim to further increase our shopper traffic and enhance tenants' sales.

GURNEY PLAZA, PENANG

Gurney Plaza is positioned as Penang's premier lifestyle shopping mall and the team strengthens this positioning by hosting and organising mall-centered cultural and international events that cater to the interests of both locals and tourists. It is also a popular stopover for many meet-and-greet sessions with local and international celebrities.

Some of the iconic cultural events held at Gurney Plaza were the Penang Traditional Wushu Competition 2012, as well as the French Film and Arts Festival and Korean POP and Shici Go Shan Japanese Autumn Festival, which were held for the second consecutive year at Gurney Plaza.

In April 2012, the thematic fair "Fashion Redefined" was organised with 20 international models parading the latest spring/summer 2012 collections of local and international brands such as Bonia, SUB, CACAC and Cache Cache.

Various festive and family-orientated events were also organised at Gurney Plaza, including character appearances by "Hello Kitty" and Donald and Goofy from "Disney On Ice". For the movie "The Amazing Spiderman," a massive Spiderman mural was drawn on the floor at the main entrance with the help of One Academy College students and lecturers. This garnered nationwide media and social media coverage.

To celebrate Christmas and New Year, a musical show "Santa's North Pole Express Musical" at Gurney Plaza was held at the main atrium. Featuring an Australian cast, the show was a hit with families and the artificial mock train at centre court and a 24-foot giant Christmas tree displayed at the entrance of Gurney Plaza added to the magical feel of Christmas.

SUNGEI WANG PLAZA, KUALA LUMPUR

Positioned as a one-stop shopping mall 'for all kinds of everything', Sungei Wang Plaza's vibrant marketing and promotional activities are organised through Sungei Wang Plaza's Management Corporation.

2012 marked the 35th birthday of Sungei Wang Plaza, one of Kuala Lumpur's oldest and most well-known shopping malls, and various events

took place to promote and celebrate this. Events included "Melodious 35 Concert", a concert featuring 11 local and international musicians, and a spring/summer fashion show in collaboration with the Malaysian Official Designers' Association (MODA).

For Chinese New Year, a symbolic 35 meter replica dragon was erected at the main entrance of Sungei Wang Plaza, which generated media attention. Lion dance and dragon dance performances, as well as an acrobatic lion dance competition and China arts and crafts exhibition took place within the mall. Shoppers were also able to get photographed with the Gods of Prosperity, Longevity and Happiness and redeem *ang pow* (red packets).

Other memorable events held at Sungei Wang Plaza included "Jumbo Queen 2012", an iconic beauty pageant for plus-sized women, "Power Rangers Samurai" character appearances during the May school holidays, and "Muzikal Aidilfitri", which included a singing and dancing talent quest, musicals performed by Kumpulan Swatari, a traditional Malay bazaar and a fashion show featuring Malay fashion and accessories.

"The Big Band Christmas" was the theme for December, with band performances, workshops and a battle contest, along with Christmas carolling and a Santa Claus appearance taking place at the mall. The year ended with Sungei Wang Plaza's annual street party countdown celebration.

THE MINES, SELANGOR

The Mines is a contemporary suburban family-focused shopping mall. In line with the positioning of The Mines, family-orientated events and promotions were the key focus of marketing efforts in 2012.

During the year a number of character show performances were held at The Mines to entertain its shoppers, including "Pokemon and friends" and "Barbie™ The Princess and The Popstar".

Several movie tie-ups were initiated in 2012. In conjunction with the release of "Ice Age 4: Continental Drift", shoppers were able to experience an exclusive movie character meet-and-greet session. In collaboration with Walt

Disney Studio, for the movie “Frankenweenie”, a live sketch competition was held. Meanwhile, the “Avengers Character Look-alike Contest” in May was reported in TV3 news.

In conjunction with Tourism Malaysia’s major sale carnivals, namely “1 Malaysia Mega Sale” and “Year End Sale”, various initiatives were organised to promote shopper spending. For example, in June, shoppers that spent above RM288 were able to participate in a giant board game (Megapoly) and enter a lucky draw where the grand prize was a trip for two to Hanoi.

To celebrate Valentine’s Day, a “Movie Couple in Action” contest was held which required couples to impersonate famous movie couples. This event garnered significant media publicity.

A prominent festive celebration during Hari Raya Aidilfitri was a fashion show in which more than 20 tenants showcased their latest collections. During Chinese New Year, the “Prosperous Dragon” plush toy redemption and “Thousand Hand” dance ensemble performance each received an overwhelming response from shoppers and the latter generated extensive media coverage also.

To celebrate Deepavali (the festival of lights), a saree party was held at the Splash Park (wet playground) and five kolams (rangolis) were created at the mall’s main entrance. The kolam art was a joint effort between students from Universiti Putra Malaysia and children from five charitable homes.

EAST COAST MALL, KUANTAN

The market leader in Kuantan, East Coast Mall is positioned as a modern family lifestyle shopping mall. Many promotional activities were carried out in 2012 to strengthen the mall’s positioning and attract locals, tourists and those from the neighbouring states of Terengganu and Kelantan.

In line with East Coast Mall’s family-friendly positioning, for Mother’s Day, families were encouraged to submit photos of mothers with their children and prizes were awarded to those with the loveliest photos. During the November school holiday period, play equipment was installed in the common corridor of the mall to turn it into a play land for children.

To promote the “1 Malaysia Mega Sale” and in collaboration with GSC and Mastercard and Maybank, shoppers that met the minimum receipt value threshold were able to redeem movie passes and enter in a lucky draw.

In conjunction with Halloween and in collaboration with Sony Pictures, a programme relating to the movie “Hotel Transylvania” was

organised and included a scariest costume contest, a photo corner and redemptions. A promotion was also run for the movie “Men in Black 3” and included a character look-alike competition and movie ticket redemptions.

Festive activities held at East Coast Mall during the year included “A Propitious Chinese New Year 2012”, where shoppers could enter a lucky draw for a holiday to Singapore and “Happy Valentine’s Day”, which involved a tie up with telecommunications provider Digi and shoppers were able to redeem umbrellas and roses. For Hari Raya Aidilfitri, there were several initiatives, including a gamelan (traditional musical ensemble) performance, a Raya mascot walkabout, a Raya bazaar, as well as redemptions including vouchers for *Buka Puasa*.

In November 2012, to celebrate Deepavali, a kolam (rangoli) making contest and rug redemption program were held. Caroling remained an important part of the mall’s Christmas calendar and 200 carolers gathered at the mall to sing yuletide favourites. Other Christmas activities included clay doll painting, origami and card decoration workshops, a visit to the mall from Santa Claus and Mrs Claus and a “I’m a Shopaholic Top Spender Contest” with more than RM50,000 in prizes.

CMMT

The events “My Schoolbag”, “Earth Hour 2012” “Wear Less Day” and the “Eco Lantern Making Contests”, which were environmental and/or philanthropic in nature and are described in the section “Corporate Social Responsibility”, were conducted across CMMT’s malls.

In August, “Super Dancers 2012”, a talent contest, was held at all the malls and the finale took place at Gurney Plaza. The iconic beauty pageant “My Lovely Mom” was hosted at both Gurney Plaza and The Mines. The grand final was held in one of CapitaMalls Asia’s malls in Beijing, China and the champion was the contender from The Mines.

Such pan-mall initiatives generate greater awareness of not only the initiatives, but also of the participating malls and CMMT in general.

The Manager, in collaboration with CMA, also engages tenants through retail-focused seminars, workshops and networking activities. On 3 July 2012, it organised the Biz+ Series “Staying Connected With Your Customers Digitally” seminar. On 8 November, selected tenants from CMMT’s malls attended the “Retail Global Connexion” in Singapore, an annual retailers’ forum organised by CMA and included speakers from Salvatore Ferragamo, Crumpler and MUJI.

Independent Retail Market Overview

Prepared by: CB Richard Ellis (Malaysia) Sdn Bhd
Date: 6 February 2013



Part of the CBRE affiliate network

MACROECONOMIC AND DEMOGRAPHIC OVERVIEW

The Malaysian economy is holding up amidst the challenging global economic conditions. Driven by the robust domestic demand in both household and business spending as well as higher public sector expenditure, gross domestic product (GDP) was 5.15% in 1H 2012 and 5.2% in Q3 2012. With resilient private consumption, strong private investment and the acceleration of public infrastructure projects, the Malaysian economy is projected to grow 4.5% to 5.0% in 2012 and is forecasted to be 4.5% to 5.5% in 2013.

Malaysia's GDP per capita (at current prices) in 2011 was reported at RM29,865, up 10.2% from RM27,113 in 2010. The GDP per capita for Malaysia is projected to reach RM31,985 in 2012 and RM33,905 in 2013.

The national mean gross monthly household income has increased from RM2,472 in 1999 to RM4,025 in 2009 at a compounded annual growth rate (CAGR) of 5.0%. Based on an annual growth rate of 4.4% in 2004-2009, the national mean gross monthly household income is estimated to be RM4,580 and RM4,782 respectively in 2012 and 2013.

Private consumption and investments are estimated to reach RM441,405 million and RM98,913 million respectively in 2012, which is an increase of 8.5% and 5.3% respectively over 2011. Public consumption and investments are expected to reach RM127,706 million and RM82,024 million respectively in 2012, which is an increase of 10.3% and 5.8% respectively over 2011.

Bank Negara Malaysia (BNM) maintained the Overnight Policy Rate (OPR) at 3.00% for its past 10 monetary policy committee meetings in a bid to support economic growth. The OPR was last raised to 3.00% from 2.75% in May 2011. The Base Lending Rate (BLR) currently stands at 6.53%.

The Consumer Price Index (CPI) increased by 3.2% in 2011 versus 2010. Inflation eased further to 1.60% y-o-y in October 2012. BNM expects the CPI to stand at below 3.00% in 2013. Meanwhile, the IMF forecasts the CPI to be 2.00% in 2012 and 2.40% in 2013.

The employment situation in the country has been relatively stable with unemployment recorded at 3.0% for the first nine months of 2012 (9M2012) compared to 3.1% in the full year of 2011. Meanwhile, the IMF has projected the unemployment rate in Malaysia to stay at 3.1% in 2012 and 3.0% in 2013.

Malaysia is named as the ninth most-visited country in the world for the third consecutive year since 2009, according to the World Tourism Organisation. Tourist arrivals in Malaysia were reported at 24.7 million for 2011, marginally up 0.4% from 2010 (24.6 million) whilst its tourist receipts increased from RM56.5 billion in 2010 to RM58.3 billion in 2011. The total tourist arrivals in Malaysia recorded 18.15 million for 9M2012, slightly more than 18.03 million for the same period in 2011. Going forwards, the Ministry of Tourism Malaysia is targeting 36 million tourist arrivals and RM168 billion receipts by the year 2020 as planned under the Malaysia Transformation Tourism Plan.

According to the Retail Group Malaysia (RGM), the retail sales expanded by 6.4% for 1H2012 for its members before registering a lower growth rate of 4.8% in the Q32012. RGM further expects the retail industry to expand by 5.7% in Q42012, supported by the festive holidays, school holidays and year-end sales. The full year retail sales are estimated to grow at 5.8% for 2012 and are forecasted to be 6.0% for 2013.

Main Economic Indicators, Malaysia

	2007	2008	2009 ^e	2010 ^e	2011 ^p	2012 ^f	2013 ^f
GDP at Constant 2000 Prices (RM million)¹							
Malaysia	506,341	530,683	522,001	559,554	588,297	614,183	643,050
Kuala Lumpur	69,830	74,728	77,671	84,852	-	-	-
Selangor	108,242	117,352	116,222	128,815	-	-	-
Penang	44,695	47,307	42,217	46,455	-	-	-
Pahang	22,614	24,035	23,743	24,807	-	-	-
Real GDP Growth (%)²							
Malaysia	6.5%	4.8%	-1.6%	7.2%	5.1%	4.5-5.0%	4.5-5.5%
Kuala Lumpur	9.0%	7.0%	3.9%	9.2%	-	-	-
Selangor	7.6%	8.4%	-1.0%	10.8%	-	-	-
Penang	6.6%	5.8%	-10.8%	10.0%	-	-	-
Pahang	2.4%	5.3%	-1.2%	4.5%	-	-	-
GDP at Current Prices (RM billion)³							
Malaysia	642.05	742.47	679.94	765.97	852.73	915.83	987.27
GDP per Capita at Current Prices (RM)⁴							
Malaysia	23,617	26,902	24,366	27,113	29,865	31,985	33,905
Kuala Lumpur	44,801	50,531	51,520	55,951	-	-	-
Selangor	25,481	28,439	28,040	31,363	-	-	-
Penang	31,039	33,385	29,748	33,456	-	-	-
Pahang	19,111	21,653	19,690	22,743	-	-	-
Mean Monthly Household Income⁵							
Malaysia	3,686	-	4,025	4,202	4,387	4,580	4,782
Kuala Lumpur	5,322	-	5,488	5,587	5,687	5,790	5,894
Selangor	5,580	-	5,962	6,135	6,313	6,496	6,684
Penang	4,004	-	4,407	4,605	4,813	5,029	5,255
Pahang	2,995	-	3,279	3,489	3,712	3,950	4,203
Domestic Aggregate Demand in Current Prices (RM million)⁶							
Private Consumption	293,040	335,213	339,395	367,991	406,682	441,405	-
Private Investment	76,577	77,986	64,633	78,730	93,977	98,913	-
Public Consumption	78,396	91,855	95,918	97,513	115,832	127,706	-
Public Investment	61,816	67,428	72,871	76,864	77,513	82,024	-

e: estimate p: preliminary f: forecast

¹ Department of Statistics, Malaysia, Bank Negara Malaysia, the figures of GDP 2012-2013 are computed based on the projected growth rate from Bank Negara Malaysia.

² Department of Statistics Malaysia, Bank Negara Malaysia.

³ Department of Statistics Malaysia, Bank Negara Malaysia.

⁴ Department of Statistics Malaysia, Bank Negara Malaysia.

⁵ Department of Statistics, Mean Monthly Household Income (2010 – 2013) is projected based on the historical growth rate by CBRE Research.

⁶ Department of Statistics Malaysia, Ministry of Finance Malaysia, Bank Negara Malaysia; 2012 figure is projected based on the historical growth rate from 2007-2011.

	2007	2008	2009 ^e	2010 ^e	2011 ^p	2012 ^f	2013 ^f
Consumer Price Index (Average Prices)¹ (2010=100)							
Malaysia	92.7	97.7	98.3	100.0	103.2	105.3	107.8
Peninsular Malaysia	92.7	97.7	98.2	100.0	103.3	105.3	107.8
Inflation²	2.0%	5.4%	0.6%	1.7%	3.2%	2.0%	2.4%
Population ('000)³							
Malaysia	27,186	27,541	27,895	28,334	28,901	29,479	30,069
Kuala Lumpur	-	-	-	1,675	1,706	1,739	1,772
Selangor	-	-	-	5,462	5,610	5,761	5,917
Penang	-	-	-	1,561	1,588	1,615	1,642
Pahang	-	-	-	1,501	1,523	1,546	1,569
Urbanisation Rate⁴							
Malaysia	-	-	-	71.0%	-	-	-
Kuala Lumpur	-	-	-	100.0%	-	-	-
Selangor	-	-	-	91.4%	-	-	-
Penang	-	-	-	90.8%	-	-	-
Pahang	-	-	-	50.5%	-	-	-
Unemployment Rate⁵	3.2%	3.3%	3.7%	3.3%	3.1%	3.1%	3.0%
Overnight Policy Rate⁶	3.50%	3.25%	2.00%	2.75%	3.00%	3.00%	-
Base Lending Rate⁷	6.72%	6.70%	5.62%	6.02%	6.45%	6.53%	-
Tourist Arrivals (million persons)⁸	21.0	22.1	23.6	24.6	24.7	-	-
Tourist Receipts (RM billion)⁹	46.1	49.6	53.4	56.5	58.3	-	-

RETAIL MARKET OVERVIEW

The Malaysian retail market has performed relatively well in 2012. Consumer spending was relatively healthy as it was reported that MasterCard cardholders spent a total of US\$2.1 billion (equivalent to about RM6.40 billion) in 22.0 million transactions during the entire sale period of 1Malaysia Mega Sale Carnival (1MMSC) 2012. Malaysian MasterCard cardholders spent US\$1.88 billion (RM5.73 billion) while overseas cardholders accounted for the remaining US\$215 million in 1.4 million transactions.

The top five spenders during 1MMSC 2012 were cardholders from Singapore, the US, Australia, Indonesia and the UK. Nevertheless, both the total amount and number of transactions made by MasterCard cardholders during 1MMSC 2012 dropped by 6.7% and 7.9% respectively from the overall US\$2.25 billion and 23.9 million transactions recorded during 1MMSC 2011. The average amount per transaction made by MasterCard cardholders during MMSC increased slightly from RM94.10 to RM95.50 respectively in 2011 and 2012.

¹ Department of Statistics Malaysia, Bank Negara Malaysia; IMF World Economic Outlook Database October 2012.

² Department of Statistics Malaysia, Bank Negara Malaysia; IMF World Economic Outlook Database October 2012.

³ The Population and Housing Census of Malaysia 2010; Population projections based on the Population and Housing Census of Malaysia 2010, adjusted for under enumeration (Revised).

⁴ Department of Statistics Malaysia.

⁵ Department of Statistics Malaysia, Bank Negara Malaysia; IMF World Economic Outlook Database October 2012.

⁶ Bank Negara Malaysia.

⁷ Bank Negara Malaysia; 2012 figure represented as at October 2012.

⁸ Tourism Malaysia with the cooperation of Immigration Department.

⁹ Tourism Malaysia with the cooperation of Immigration Department.

Retail investment activities remained strong in 2012. Buying interests were mainly from REITs listed on Bursa Malaysia Securities Berhad (M-REITs) and foreign funds. It was reported in early January 2012 that Citta Mall in Selangor was acquired by ARA Asia Dragon Fund for RM245 million from SEB Asset Management (a German real estate fund). On 21 September 2012, IGB Real Estate Investment Trust (IGB REIT) successfully listed on Bursa Malaysia Securities Berhad. Its portfolio includes the Mid-Valley Megamall and the Gardens Mall which are valued at a total of RM4.60 billion.

RETAIL SUPPLY AND DEMAND

According to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH), the total retail stock in shopping centres, arcades and hypermarkets in Malaysia stands at 128.2 million sq ft as of 3Q 2012. Together, Kuala Lumpur, Selangor,

Penang and Johor account for over two-thirds of total shopping centre stock in the country.

Of the total stock, 70.6% is located within shopping centres. Within Kuala Lumpur, 77.9% of all retail space is in shopping centres, compared to 61.3% in Selangor, 65.0% in Penang and 94.1% in Pahang.

Additionally, JPPH estimates that 13.8 million sq ft of net lettable retail space is currently under construction throughout the country. Assuming a three-year construction period, it is expected that this additional stock will be completed by 2015, increasing total retail stock by 10.8%.

Based on Q3 2012 stock data, the retail stock per capita for the entire country is currently about 4.4 sq ft per capita while shopping centre stock per capita is about 3.1 sq ft per capita.

Shopping Centre Stock and Occupancy in Malaysia as at Q3 2012 (preliminary data)

State	No. of Properties	Total Space (sq ft)	% of Total Space in Malaysia	Occupied Space (sq ft)	Occupancy Rate
WP Kuala Lumpur	58	20,365,404	22.5%	16,752,379	82.3%
WP Putrajaya	1	622,002	0.7%	517,524	83.2%
WP Labuan	1	280,549	0.3%	275,802	98.3%
Selangor	55	18,644,650	20.6%	14,161,862	76.0%
Johor	64	12,299,752	13.6%	7,387,298	60.1%
Pulau Pinang	34	9,839,871	10.9%	6,686,706	68.0%
Perak	39	5,313,143	5.9%	5,035,673	94.8%
Negeri Sembilan	28	2,557,287	2.8%	2,005,899	78.4%
Melaka	19	2,746,319	3.0%	2,015,813	73.4%
Kedah	34	3,788,515	4.2%	2,888,945	76.3%
Pahang	18	2,544,456	2.8%	2,003,477	78.7%
Terengganu	7	513,369	0.6%	269,860	52.6%
Kelantan	5	1,076,254	1.2%	963,692	89.5%
Perlis	4	237,998	0.3%	237,998	100.0%
Sabah	32	5,260,280	5.8%	4,409,429	83.8%
Sarawak	46	4,459,591	4.9%	3,124,424	70.1%
Malaysia	445	90,549,440	100.0%	68,736,781	75.9%

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Per Capita Retail Stock in Malaysia and Selected States

	Malaysia	Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (sq ft)	128,234,316	26,139,010	30,423,057	15,135,199	2,703,606
Shopping Centre Stock (sq ft) ¹	90,549,440	20,365,404	18,644,650	9,839,871	2,544,456
Shopping Centre Stock as a % of Retail Stock	70.6%	77.9%	61.3%	65.0%	94.1%
Retail Stock per capita (sq ft)	4.4	15.0	5.3	9.4	1.7
Shopping Centre Stock per capita (sq ft)	3.1	11.7	3.2	6.1	1.6

¹ Data as at Q3 2012 (preliminary)

Source: Valuation and Property Services Department (JPPH), Ministry of Finance; Projection Population 2012 based on the Population and Housing Census of Malaysia 2010, adjusted for under enumeration (Revised).

As at Q3 2012, overall occupancy for retail space in Malaysia is estimated at 78.8% by JPPH. For shopping centres alone, JPPH estimates nationwide occupancy to be 75.9%, while that for Kuala Lumpur is 82.3%, Selangor is 76.0%, Penang is 68.0% and Pahang is 78.7%. CBRE Research shows prime shopping complexes in Selangor and Kuala Lumpur enjoy close to full occupancy. A number of international retailers were seen expanding their retail spaces in Kuala Lumpur and Selangor.

2012 saw a shopping centre open in Kuala Lumpur and two significant shopping centres in Selangor. The new completion in Kuala Lumpur was One Shamelin located at Shamelin Perkasa with 420,000 sq ft spread over nine floors. The mall's offerings include fashion and beauty as well as IT and lifestyle products. New significant shopping centres which opened in 2012 in Selangor included Setia City Mall (740,000 sq ft) and Paradigm Mall (680,000 sq ft). Both are located in highly populated suburbs and opened with strong occupancy rates of over 90%.

A number of new significant shopping malls in the pipeline in Kuala Lumpur and Selangor include Nu Sentral (650,000 sq ft in 2013), Cheras Sentral Shopping Mall (500,000 sq ft in

2013), Damansara City Mall (188,500 sq ft in 2014) and IOI City Mall (1,200,000 sq ft).

It is expected that approximately 5.20 million sq ft and 7.58 million sq ft of new retail spaces will be added to Kuala Lumpur and Selangor in 2013 - 2015, respectively.

Newly completed retail malls in Penang in 2012 include All Seasons Place (228,224 sq ft) where Giant Hypermarket is one of its major tenants. Other new retail developments expected to come on-stream in Penang in 2013-2015 include Gurney Paragon Phase 2 (599,000 sq ft), City Mall at Bayan City (300,000 sq ft) and Penang Times Square Phase 3 (230,000 sq ft). Other retail malls which are being planned include Mall @ Southbay at Batu Maung (1,000,000 sq ft), Mall @ Penang World City and Suiwah Corporation & Qingjian Group Co Ltd's Megamall.

The Star Mall (255,888 sq ft), mainly occupied by the Pacific Department Store, is a newly completed shopping complex in Mentakab, Pahang. In Kuantan, no new retail complexes were reported in 2012. Retail complexes in Kuantan which are being planned include the KIP Mart at Indera Mahkota (117,000 sq ft in 2015).

Future Supply of Retail Space in Shopping Centres in Selected States

Location	Future Shopping Centre Stock ('000 sq ft) 2013-2015	Future Shopping Centre Supply
Kuala Lumpur	+5,203	2013: Nu Sentral, Cheras Sentral Shopping Mall 2014: Damansara City Mall, Sunway Velocity Lifestyle Shopping Mall, Pavilion Kuala Lumpur Mall Extension 2015: Boustead Retail @ Jalan Cochrane, Suria KLCC Extension (Lot 185, 167, K), Quill 15 @ Vision City, KL Eco City Retail Podium
Selangor	+7,584	2013: Strand Mall, M Square Shopping Centre, The Wharf Puchong, D'Pulze Mall, Gateway@KLIA2 2014: Atria Shopping Gallery, IOI City Mall, Empire City Mall, Jaya Shopping Centre, da:mén, Avenue Street Mall 2015: i-City Mall, Sunway Pyramid 3 Extension, Damansara Uptown Mall
Penang	+1,129	2013: Gurney Paragon Phase 2 2015: City Mall Bayan City, Penang Times Square Phase 3
Pahang	+117	2015: Kip Mart Indera Mahkota

Source: CBRE Research.

CAPITAL VALUES

CBRE Research has found that capital values and yields/capitalisation rates have varied widely based on shopping centre transactions in the last three years. In general, capitalisation rates for retail property in Malaysia have been compressed to below 6.0% in recent transactions.

SHOPPING CENTRE OWNERSHIP

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned, with a few larger national players having portfolios of multiple assets.

Capital Values from Selected Shopping Centre Transactions from 2010 to 2012

Property	NLA (sq ft)	Transaction Price (RM mil)	Capital Value (RM psf)	Purchaser
Aeon Bandaraya Melaka	615,608	377.0	612	ARA Asia Dragon Fund
SACC Mall	185,178	90.0	486	ARREIT
1 Mont'Kiara ¹	410,000	333.0	812	ARA Asia Dragon Fund
Gurney Plaza	707,503	800.0	1,131	CMMT
Sungei Wang Plaza ²	450,470	724.0	1,607	CMMT
The Mines	719,563	530.0	737	CMMT
Sunway Pyramid Shopping Mall	1,685,568	2,300.0	1,365	Sunway REIT
Sunway Carnival Shopping Mall	484,364	250.0	516	Sunway REIT
Gurney Plaza (Extension)	139,964	215.0	1,536	CMMT
Queensbay Mall ³	892,361	651.8	730	CapitaMalls Asia
Selayang Mall	379,685	128.0	337	Amanahraya REIT
Putra Place (The Mall) ⁴	507,193	223.0	440	Sunway REIT
East Coast Mall	441,342	310.0	702	CMMT
Landmark Central Shopping Centre	289,462	98.0	339	Hektar REIT
Central Square Shopping Centre ⁵	300,782	83.0	276	Hektar REIT
Pavilion KL Mall	1,335,119	3,190.3	2,390	Pavilion REIT
Citta Mall	424,467	245.0	577	ARA Asia Dragon Fund
Kompleks Sungai Buloh	114,130	68.5	600	The Store (M) Sdn Bhd
Mid Valley MegaMall	1,718,951	3,440.0	2,001	IGB REIT
The Gardens Mall	817,053	1,160.0	1,420	IGB REIT

Source: CBRE Research, REIT prospectuses and annual reports and published news sources.

¹ The total net lettable area and acquisition price for 1 Mont'Kiara includes the shopping centre and a 20-storey office tower with roughly 185,000 sq ft of net lettable area.

² CMMT acquired 205 strata parcels within the mall which, based on the total share units allocated to the 205 strata parcels, represents 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

³ CapitaMalls Asia acquired about 90.7% of the mall's retail strata area (about 916,181 sq ft) and all its car park spaces.

⁴ The sale of Putra Place consists of The Mall (retail), 100 Putra Place (office), The Legend Hotel (hotel) and 1,323 car parking bays. The consideration paid for the auction of The Putra Place was RM513.95 million. According to the announcement of Sunway REIT, the valuation exercise reports a value of RM223 million for the 507,193sq ft shopping centre.

⁵ The purchase was based on 110 strata parcels within the shopping mall (measuring 464,520 sq ft and representing 85% of the voting rights in Perbadanan Pengurusan Komplek Central Square) together with all the accessory parcels thereto, which consists of retail space with an aggregate NLA of approximately 300,782 sq ft and 488 car parking bays.



Habib Jewels Sdn. Bhd.

HABIB appreciates the commitment of the team behind CMMT towards embracing customer satisfaction when it comes to its tenants and shoppers. The team is professional, committed to effective mall management and quick to address tenants' concerns. At the same time, CMMT's management team consistently strives to work with us to find innovative ways to drive traffic and tenants' sales within CMMT's malls. This is evidenced by the fact that CMMT's malls continue to do well despite an increase in the supply of shopping malls. We are committed to our relationship with CapitaMalls Asia and CMMT and confident of growing our respective businesses together.

Dato' Meer Sadik Bin Habib Mohamed
Managing Director



Pizza San Francisco Sdn Bhd

We opened our Pizza San Francisco outlet at The Mines during the major asset enhancement exercise from 2008 to 2009 conducted by CMMT's sponsor, CapitaMalls Asia. We are amazed how the team transformed The Mines into a vibrant mall with its series of enhancement works and active tenant management. The team behind CMMT is professional in its dealings with tenants and understands both shoppers' and tenants' needs. Besides mall management, CMMT also gives back to the community through a number of activities, such as the recent My SchoolBag event. We are glad to be associated with such responsible mall management.

Belinda Teng Sook Lian
Operation Manager

TENANTS SPEAK



BRC Group Sdn Bhd

Our relationship with CMMT's sponsor, CapitaMalls Asia, commenced a number of years ago when we entered into tenancies for our brands Quiksilver and Roxy in Gurney Plaza. The team behind CMMT provides responsive and professional mall management, as well as a personal touch when needed. It constantly delivers a fresh and relevant shopping environment for shoppers through tenant remixing and organising events and promotions. CMMT's management also provides avenues for tenants to learn and network through events such as Biz+ tenant seminars, Retail Global Connexion (an annual retailers' forum organised by CapitaMalls Asia) and Lou Sang gatherings during Chinese New Year. We look forward to more of such events in the future as well as the opportunity to work together in order to expand within Malaysia as well as abroad.

Catherine Chin
Director, Marketing & Business Development



Jerasia Capital Berhad

With a number of our international labels, namely MNG Mango, HE by Mango and Nike, as well as our home-grown label TRIO, present in CMMT's malls, we at Jerasia value our partnership with CMMT's management team. A professional, reputable and reliable partner, the team behind CMMT is true to its commitment to deliver performance through active tenant mix management and asset enhancement works, which is evidenced in the continual improvement of the shopping experience at CMMT's malls. As we continue to grow our stable of international and home-grown brands, we look forward to working with the team behind CMMT with the aim of a mutually beneficial business relationship.

Pronob Sengupta
Deputy Group Managing Director



DNP Clothing Sdn Bhd (Wing Tai Asia Group)

DNP, with its brands Topman, Topshop, Dorothy Perkins and Warehouse, all of which are in Gurney Plaza, has been working with CapitaMalls Asia and its related entities for a number of years. We respect the team behind CMMT because it has a good understanding of the local market and the vision to move CMMT's malls forward. CMMT, by virtue of its relationship with CapitaMalls Asia, which has a pan-Asian shopping mall platform, helps raise the industry standard of mall management to an international level. We value our partnership and looking forward to expanding our business with CMMT.

Lee Cheng Toh
Executive Director



Golden Screen Cinemas Sdn Bhd

As one of Malaysia leading cinema operators, Golden Screen Cinemas enjoys working with the team behind CMMT. We are confident of its ability to enhance the appeal and value of CMMT's malls through constant asset enhancement initiatives and tenant mix alignment. We value the sound mall management practices and vast regional presence of CMMT's sponsor, CapitaMalls Asia, and look forward to collaborating together as we grow our business in Malaysia and regionally.

Irving Chee
General Manager

TENANTS SPEAK



F.O.S (Optimum Global Resources Sdn Bhd)

F.O.S (Factory Outlet Store) has been working with CapitaMalls Asia and its related companies for many years and counting. Through the years, they have provided us ample support in numerous ways and helped us to grow our brand. CMMT has one of the best mall management teams in terms of reliability, responsiveness and also friendliness. The team is constantly improving CMMT's malls in order to satisfy consumers' changing needs and interests, hence CMMT's malls always stay ahead of competition in terms of offerings and attractiveness. We sincerely thank the team behind CMMT for being such a great business partner and we look forward to working and growing together, locally and regionally, in the years to come.

Ho Kok Keong
Managing Director



Bonia Corporation Berhad

Bonia Group, with its brands BONIA, Carlo Rino and Sembonia, has a long presence in most of the malls owned by CMMT, which is a reflection of the high esteem in which we hold and our trust of its management. The team behind CMMT has constantly made improvements to its malls through asset enhancement initiatives, which have provided great expansion opportunities to retailers in various sectors. The team's comprehensive understanding of the shopping mall industry is evident in the success that CMMT and its sponsor CapitaMalls Asia have enjoyed in Malaysia, despite having entered the market relatively recently. We appreciate the successful business partnership with the team behind CMMT and look forward to continuing this fruitful journey together for many years to come.

Albert Chiang
Group Managing Director

Board of Directors

David Wong Chin Huat

64, Singaporean

Chairman and
Independent Non-Executive Director

Date of First Appointment as a Director

6 July 2012

Length of Service as a Director (as at 31 December 2012)

5 months

Board Committee(s) Served on

Corporate Disclosure Committee (Chairman)

Present Directorships of Public Companies

Nil

Principal Commitments

(Other Than Directorships)

Ramdas and Wong (Senior Partner)

Working Experience and Occupation

A senior partner of Ramdas and Wong, Singapore, Mr Wong has been a lawyer in private practice since September 1973 with more than 30 years experience in real estate, banking, consumer finance and corporate law. He presently serves as a member of the Public Service Commission.

Mr Wong was a Director of the Singapore Labour Foundation from 2001 till 2010 and the Chairman of the Bedok Citizens' Consultative Committee from 1989 till 2007.

Award(s)

Public Service Star (BBM) in 1991 and BBM(L) in 2005 awarded in conjunction with the Singapore National Day

Academic and Professional Qualification(s)

Master of Laws, University of London

Bachelor of Laws, University of Singapore

Tuan Haji Rosli Bin Abdullah

59, Malaysian

Independent Non-Executive Director

Date of First Appointment as a Director

6 July 2012

Length of Service as a Director (as at 31 December 2012)

5 months

Board Committee(s) Served On:

Audit Committee (Chairman)

Present Directorships of Public Companies

Keretapi Tanah Melayu Berhad

Bank Pembangunan Malaysia Berhad

Principal Commitments

(Other Than Directorships)

Nil

Working Experience and Occupation

Tuan Haji Rosli was the Chief Executive Officer and Registrar of the Malaysian Institute of Accountants for 3 years until 2012. Tuan Haji Rosli has held various positions in the public and private sectors such as the Accountant General's office at the State and Federal treasury departments, Ministry of Finance from 1976 to 1983; Chief Accountant in the Ministry of Works from 1981 to 1983 and Ministry of Education from 1983 to 1987. He was attached to the Public Services Department and was Chief Accountant at the Government Pension Department and Secretary to the Teachers Provident Fund from 1989 to 1991.

Tuan Haji Rosli was appointed as Bursar of Universiti Putra Malaysia from 1991 to 1993 and Director of Corporate Services at the Accountant General Department from 1993 to 1994. He was the Financial Controller/General Manager of Finance at Kuala Lumpur International Airport Berhad from 1994 to 1996 before joining Putrajaya Holdings Sdn. Bhd. from 1996 to 2008 as Senior General Manager.

Award(s)

Johan Setia Mahkota (J.S.M.), awarded by His Majesty Yang DiPertuan Agong on 1 June 2002.

Academic and Professional Qualification(s)

Master in Business Administration, Universiti Kebangsaan Malaysia

Post-Graduate Diploma in Accounting, Universiti Malaya

Bachelor in Economics (Honours), Universiti Malaya

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants

Foo Wei Hoong**52, Malaysian**

Non-Independent Non-Executive Director

Date of First Appointment as a Director

1 June 2012

**Length of Service as a Director
(as at 31 December 2012)**7 months

Board Committee(s) Served on

Nil

Present Directorships of Public Companies

Oriental 1936 Berhad

MIDF DFI Berhad

**Principal Commitments
(Other Than Directorships)**

Malaysian Industrial Development Finance Berhad (Head, Finance and Information Technology)

Working Experience and Occupation

Mr Foo is currently holding the position of Head, Finance and Information Technology Division at Malaysian Industrial Development Finance Berhad (MIDF), responsible for financial and investment management, corporate planning and IT services for the Group. Mr Foo is a board member of Amanah Butler Malaysia Sdn Bhd, a money-broking associate company of MIDF. He is also a director in MIDF Amanah Ventures Sdn Bhd, a venture capital financing company, and MIDF DFI Berhad, a factoring services company; both are subsidiaries of MIDF.

Mr Foo has more than 20 years' experience in financial management encompassing treasury and investment operations, tax and credit control. Prior to joining MIDF in July 2006, he has served in various financial services companies including one of the then largest local composite insurers in Malaysia.

Award(s)

Nil

Academic and Professional Qualification(s)

Fellow of the Association of Chartered Certified Accountants, United Kingdom
Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
Certified Financial Planner, Financial Planning Association of Malaysia

Simon Ho Chee Hwee**51, Singaporean**Alternate Director to Lim Beng Chee and
Non-Independent Non-Executive Director

Date of First Appointment as a Director

6 July 2012

**Length of Service as a Director
(as at 31 December 2012)**5 months

Board Committee(s) Served on

Executive Committee (Member)

Present Directorships of Public Companies

Milky Way Properties Berhad

**Principal Commitments
(Other Than Directorships)**
CapitaMalls Asia Limited
(Deputy Chief Executive Officer)**Working Experience and Occupation**

Mr Ho is currently Deputy Chief Executive Officer of CapitaMalls Asia Limited (CMA). He joined CapitaLand Financial Limited, a subsidiary of CapitaLand Limited (CapitaLand), the parent company of CMA in 2004 and has more than 20 years of experience in real estate investment and management.

Prior to joining CapitaLand Financial Limited in 2004, Mr Ho worked in the Ascott Group from 2000 to 2004, holding various positions including Vice President, Business Development and Senior Vice President, Operations. As Senior Vice President in CapitaLand Financial Limited, he was in charge of research and marketing. In September 2004, Mr Ho was appointed Chief Operating Officer, Retail of CapitaLand Commercial Limited, another subsidiary of CapitaLand, where he was responsible for overseeing the operations of the company. He was the Chief Operating Officer of CMA from October 2004 to December 2008 before being appointed as the Deputy Chief Executive Officer of CMA in January 2009 and had stepped down upon the listing of CMA on the SGX-ST. He was the Chief Executive Officer and Executive Director of CMTML from November 2009 to July 2012.

Award(s)

Nil

Academic and Professional Qualification(s)

Master of Science (Real Estate), National University of Singapore.
Bachelor of Science (Estate Management) (Honours), National University of Singapore

Lim Beng Chee**45, Singaporean**

Non-Independent Non-Executive Director

Date of First Appointment as a Director

1 November 2008

Length of Service as a Director**(as at 31 December 2012)**4 years 2 months

Board Committee(s) Served on

Executive Committee (Chairman)

Corporate Disclosure Committee (Member)

Present Directorships of Public Companies

Nil

Principal Commitments**(Other Than Directorships)**

CTM Property Trust (Steering Committee)

Working Experience and Occupation

Mr Lim is currently the Chief Executive Officer of CapitaMalls Asia Limited (CMA). He has more than 10 years of real estate investment and asset management experience. He spearheaded the listing of CapitaMalls Malaysia Trust, Malaysia's largest pure-play shopping mall REIT in July 2010. He previously held various positions within the CapitaLand group of companies since 2000 and has been CMA's CEO since 1 November 2008. Mr Lim has played an instrumental role in the creation of CMA's retail real estate funds and retail real estate investment trusts. Mr Lim was appointed as the Deputy CEO of CapitaMall Trust Management Limited in March 2005 until December 2006. He then led the team which spearheaded the listing of CapitaRetail China Trust, the first pure-play China shopping mall S-REIT and was appointed as CEO of CapitaRetail China Trust Management Limited in December 2006 until September 2008 during which time he was mostly stationed in Beijing. Mr Lim then returned to Singapore and assumed his appointment as CEO for both CMA and CapitaMall Trust Management Limited in November 2008. Mr Lim stepped down as CEO of CapitaMall Trust Management Limited on 25 November 2009 upon the listing of CMA.

Award(s)

Nil

Academic and Professional Qualification(s)

Master of Business Administration (Accountancy),
Nanyang Technological University of Singapore
Bachelor of Arts in Physics (Honours), University
of Oxford

Ng Chih Kaye**57, Malaysian**

Independent Non-Executive Director

Date of First Appointment as a Director

6 July 2012

Length of Service as a Director**(as at 31 December 2012)**5 months

Board Committee(s) Served on

Audit Committee (Member)

Present Directorships of Public Companies

Bank Pertanian Malaysia Berhad

Principal Commitments**(Other Than Directorships)**

Nil

Working Experience and Occupation

Mr. Ng began his careers at Blinkhorn, Lyon & Golding, Chartered Accountants, London and later at KPMG Kuala Lumpur. He then served at Malayan Banking Berhad for 25 years before retiring as Executive Vice President. He was a Board Member of Mayban Allied Credit & Leasing Berhad.

Award(s)

Nil

Academic and Professional Qualification(s)

Fellow of the Association of Chartered Certified Accountants, United Kingdom
Chartered Accountant (Malaysia), Member of the
Malaysian Institute of Accountants

Ng Kok Siong**41, Singaporean**

Non-Independent Non-Executive Director

Date of First Appointment as a Director

10 June 2010

Length of Service as a Director**(as at 31 December 2012)**2 years 6 months

Board Committee(s) Served on

Audit Committee (Member)

Corporate Disclosure Committee (Member)

Executive Committee (Member)

Present Directorships of Public Companies

Nil

Principal Commitments**(Other Than Directorships)**

CapitaMalls Asia Limited (Chief Financial Officer)

Working Experience and Occupation

Mr Ng is currently the Chief Financial Officer of CapitaMalls Asia Limited. Mr Ng joined CapitaLand Limited in September 2005. He later assumed the position of Senior Vice President of CapitaLand Eurasia where he was involved in business development. In October 2008, he was appointed as Senior Vice President, Strategic Finance, CapitaLand Limited, where he was responsible for overseeing the corporate finance matters of the CapitaLand Group. Prior to joining CapitaLand Limited in 2005, Mr Ng spent more than a decade in oil and gas industry across Asia Pacific and Europe, holding various finance and investment management positions in Exxon-Mobil and Royal Dutch Shell. He was appointed as the Chief Financial Officer of CapitaMalls Asia Limited in September 2009.

Awards(s)

Nil

Academic and Professional Qualification(s)

Bachelor of Accountancy (Honours), Nanyang Technological University of Singapore

Tan Siew Bee**53, Malaysian**

Independent Non-Executive Director

Date of First Appointment as a Director

10 June 2010

Length of Service as a Director**(as at 31 December 2012)**2 years 6 months

Board Committee(s) Served on

Audit Committee (Member)

Present Directorships of Public Companies

Nil

Principal Commitments**(Other Than Directorships)**

Nil

Working Experience and Occupation

Ms Tan was called to the Malaysian Bar in 1986 and worked as a lawyer in Kuala Lumpur till 2007 when she retired from practice. She was primarily involved in capital markets and the corporate banking sector of legal practice. Ms Tan was involved in a significant number of capital markets transactions and property transactions including work relating to REITs.

Ms Tan was a founding senior partner of the legal firm, Messrs Shahrizat & Tan, which was formed in 1993 and merged in 2003 with Messrs Rashid & Lee to form Messrs Shahrizat Rashid & Lee. Ms Tan was the head of the Finance and Property department before leaving the firm in May 2007.

Award(s)

Nil

Academic and Professional Qualification(s)

LL.M, University College, London

LL.B (Honours) Degree, University of East Anglia
Barrister at Law, Lincoln's Inn

Peter Tay Buan Huat
64, Singaporean
Independent Non-Executive Director

Date of First Appointment as a Director
10 June 2010

**Length of Service as a Director
(as at 31 December 2012)**
2 years 6 months

Board Committee(s) Served on:
Nil

Present Directorships of Public Companies
Nil

**Principal Commitments
(Other Than Directorships)**
Nil

Working Experience and Occupation

Mr Tay is currently a Corporate Advisor, engaging in business development and coaching budding business leaders. He works with companies involved in food and education, and writes on management issues in 'Asian Meat', and 'AgriFood Magazine', two international food publications.

For 17 years, from 1989 to 2006, Mr Tay was the President and CEO of Singapore Food Industries Ltd (SFI), a public listed food distribution and manufacturing company in Singapore. Under his leadership, SFI expanded internationally from its base in Singapore to include operations in the United Kingdom, the Republic of Ireland, China and Australia. During the period from 1992 to 2004, he concurrently held other positions, including Group Coordinator for Human Resource and Group Director (Strategic Development) in Singapore Technologies. Prior to that, Mr Tay held several general management and corporate function positions and was the Director of Manpower in the Singapore Ministry of Defence. Mr Tay was also Chairman of the Working Group on Wage Restructuring for the Food Manufacturing Industry in 2004.

Award(s)
Nil

Academic and Professional Qualification(s)
Master of Science in Management (Sloan Fellows Program), Massachusetts Institute of Technology, US
Bachelor of Engineering (Honours), Industrial Engineering, University of Newcastle, Australia
Bachelor of Arts, Economics, University of Newcastle, Australia
Fellow of the Chartered Institute of Management Accountants (CIMA), United Kingdom

Sharon Lim Hwee Li
40, Singaporean
Non-Independent Executive Director

Date of First Appointment as a Director
15 April 2010

**Length of Service as a Director
(as at 31 December 2012)**
2 years 8 months

Board Committee(s) Served on:
Executive Committee (Member)

Present Directorships of Public Companies
Milky Way Properties Berhad
CMMT MTN Berhad

**Principal Commitments
(Other Than Directorships)**
Nil

Working Experience and Occupation

Ms Lim has over 15 years of real estate experience including property investment and development, sales and marketing and asset management activities in Australia, the Philippines, Thailand, Vietnam and Singapore. Ms Lim has extensive experience in property investment covering the retail, industrial, mixed developments and residential sectors.

Prior to her position as CEO and Non-Independent Executive Director of CapitaMalls Malaysia REIT Management Sdn. Bhd., Ms Lim was Country Head for CMA's operations in Malaysia, and was instrumental in establishing CapitaMalls Asia Limited's retail platform in Malaysia. This involved steering Gurney Plaza, Sungei Wang Plaza and The Mines and building the local team in preparation for expansion. Before this appointment, she was a Vice President of CapitaMall Trust Management Limited, where she was responsible for actively seeking out new investment opportunities in Singapore. She focused on identifying and evaluating new retail investment opportunities, which involved performing financial analyses and structuring deals. She also worked closely with the centre management teams to evaluate, plan and steer the assets under management to optimise investment returns.

Award(s)
Nil

Academic and Professional Qualification(s)
Master of Business Administration, Murdoch University, Australia
Bachelor of Business (Distinction), Royal Melbourne Institute of Technology, Australia

Trust Management Team

Sharon Lim Hwee Li **Chief Executive Officer**

Please refer to description under the section on 'Board of Directors'.

Gerry Chan Kin Leong **Head, Investment & Asset Management**

Mr Chan has more than 10 years of experience in investment related areas including investment evaluation, project development, asset management and corporate finance. Prior to joining the Manager, he was Vice President, Investment, at CitySpring Infrastructure Trust, a Temasek-linked listed infrastructure business trust listed on the Singapore Stock Exchange, and was responsible for originating and evaluating infrastructure investments, asset management and fund raising initiatives. While at CitySpring, he successfully executed the first ever rights issue by a business trust in Singapore. Previously he headed the corporate finance activities for a Beijing based environmental services company where he successfully closed a landmark US\$150 million convertible note and was also responsible for obtaining investor approvals to invest the proceeds on new assets.

Mr Chan holds a Master of Business degree and a Bachelor of Accountancy (First Class Honours) degree from the Nanyang Technological University, Singapore. He is also a certified Chartered Financial Analyst.

Low Peck Chen **Head, Finance**

Ms Low has more than 13 years of experience in finance and accounting and her responsibilities have covered corporate finance, tax, treasury, consolidation and compliance, as well as finance-related support for acquisition and divestment activities. She has also actively participated in corporate fund raising in the capital and debt markets and successfully brokered numerous financing and refinancing deals.

In 2008, Ms Low joined CapitaLand Retail Malaysia Sdn. Bhd. (CMA Malaysia), an indirect wholly-owned subsidiary of CMA, which is responsible for the business operations of CMA in Malaysia. She was part of the core team that spearheaded the listing of CMMT on the Main Market of Bursa Securities. Prior the initial public offering of CMMT in 2010, she was responsible for the overall treasury and tax functions of CMA Malaysia. Before joining CMA, she worked with Halim Mazmin Berhad, UEM Group and AmFinance Berhad.

Ms Low holds a Bachelor of Accounting (First Class Honours) degree from the University of Malaya, Malaysia, and is a member of the Malaysian Institute of Accountants.

Fern Tan **General Manager, Retail Management (Mall Management)**

Ms Tan has more than 17 years of experience in the retail industry covering leasing, leasing administration, advertising and promotions, human resources and mall operations. Prior to joining the Manager, Ms Tan was with CMA Malaysia and was responsible for the financial and operational performance of The Mines. In such capacity, she formulated and executed the major asset enhancement initiative in 2009 and 2010, which resulted in significant growth the asset's income, occupancy and shopper traffic. Before this, she was the Deputy Leasing Head of CapitaRetail China and Group Leasing Manager for CMA in Singapore.

Prior to joining CMA, Ms Tan worked for Crimson Berhad and Sungei Wang Plaza Sdn Bhd, which was under Landmark Bhd, and was involved in marketing and leasing activities at Endah Parade and Sungei Wang Plaza.

Ms Tan holds a Bachelor of Science (Travel Industry Management) degree from Hawaii Pacific University, USA.

Grace Yap Mei Wan **Head, Legal, Secretariat & Compliance**

Ms Yap has 18 years of work experience with seven years as a practicing lawyer and 11 years as an in-house legal counsel in both public listed and private limited companies. Prior to joining the Manager she was a legal practitioner involved in concessions/privatisation, management buy-outs, public listing, due diligence exercises, joint ventures and mergers and acquisitions practices. From the legal profession she pursued her career as an in-house legal counsel whereby she assisted large and diversified corporations with asset acquisitions, corporate finance, property development, conveyancing, project management as well as corporate advisory matters.

Ms Yap holds an LLB (Honours) degree from the University of Nottingham, England and was admitted to the English Bar and Malaysian Bar in 1991 and 1993 respectively.

Aileen Goh Seok Khim
Head, Leasing

Ms Goh has more than eight years of experience in leasing and retail management. Prior to joining the Manager, Ms Goh was the Deputy Head of Asset Management (Leasing) of CMA Malaysia where she monitored and worked closely with the leasing teams of CMMT's retail properties to improve the tenancy mix and occupancy rates of the properties through timely tenancy renewals and replacements where required. She was a key team member in planning and implementing the asset enhancement initiatives executed by CMA Malaysia at The Mines, Sungei Wang Plaza and Gurney Plaza. She continues to oversee the leasing strategies for CMMT's shopping malls. Before joining CMA Malaysia, Ms Goh worked with Mid Valley City Sdn Bhd as the Leasing Manager and was responsible for the budgeting and leasing of the retail space at Mid Valley Megamall. Ms Goh was also previously attached to an international tax consultancy firm providing corporate tax compliance and advisory services to multinational and public listed companies, both in Malaysia and Singapore.

Ms Goh holds a Bachelor of Commerce (Accounting and Finance) degree from Monash University (Clayton), Australia.

Choo Wee Chyn
Head, Design Management

Mr Choo has more than 12 years of experience in the design and development of housing and commercial projects. Prior to joining the Manager, Mr Choo was the Design Manager of CMA Malaysia and oversaw design management and tenancy design for the CMA malls in Malaysia. Mr Choo was involved in conducting feasibility assessments and due diligence for asset acquisitions and the planning, design and execution of various asset enhancement initiatives relating to the malls in the CMA portfolio. He was also responsible for establishing and implementing shop fit-out design standards and guidelines as well as ensuring that shop designs were of a standard befitting the respective mall's positioning. Before relocating to Malaysia, Mr Choo participated in CMA's project bids and asset enhancement initiatives in Singapore. Prior to joining the CMA Group, he was a practicing architect and worked for various large architectural companies where he focused on commercial and residential building design and construction.

Mr Choo holds a Masters of Architecture and a Bachelor of Arts (Architecture Studies) from the National University of Singapore and is a registered Architect with the Board of Architects (Singapore).

Ibrahim Ahmad
Head, Engineering Design & Technical Services

Mr Ibrahim has over 21 years of experience in real estate covering both project and property management. Prior to joining the Manager, he was the Head of Engineering and Technical Services of CMA Malaysia and was responsible for the implementation of the standard operating procedures and emergency response procedures for the respective shopping malls. He was also involved in the preparation of operations and maintenance budgets, review of equipment performance and procurement of service contracts. In addition to the above, he led the implementation of systems that resulted in the award of ISO9000, ISO14000 and ISO18000, as well as Green Mark certification, for malls within the portfolio.

Mr Ibrahim graduated with a Bachelor of Science (Real Estate Management) degree from Oxford Brookes University, United Kingdom, and has a Diploma in Building from Singapore Polytechnic. He is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

Mah Kok Foon
Head, Human Resources

Mr Mah has over 15 years of experience in human resource management covering manpower planning and recruitment, training and development, compensation and benefit, performance management, talent management as well as industrial and employee relations. Prior to his present position, he led the Human Resources department of CMA Malaysia, which he joined in 2009. In this capacity, he rolled out an enhanced employees' benefit programme, implemented human resources-related policies and procedures in Malaysia and also coordinated the rationalisation of salary and benefits packages for new staff during acquisition-related due diligence exercises. Prior to joining CMA, he worked with Prudential Services Asia Sdn. Bhd., GCH Retail Malaysia Sdn. Bhd. and Gurney Plaza Sdn. Bhd.

Mr Mah holds a Master of Business Administration and a Bachelor of Economics (Hons) from Northern University of Malaysia.

Kimberley Huston
Manager, Investor Relations

Ms Huston has more than six years experience in real estate, spanning investment and asset management, as well as investor relations. She holds a Bachelor of Business Administration (First Class Honours) from the National University of Singapore and was an Asia New Zealand Foundation scholarship recipient.

Corporate Governance

We are committed to high standards of corporate governance and transparency in our management of CMMT, and operate in the spirit of the Malaysian Code on Corporate Governance 2012 (the Code), wherever applicable, in the discharge of our responsibilities as the Manager in our dealings with unitholders and other stakeholders.

THE MANAGER

The primary role of the Manager is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose is co-ordinated and carried out by the Manager. The Manager is also responsible for compliance of governing laws and the risk management of CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of unitholders. This is done with a focus on generating rental income and enhancing asset values over time so as to maximise the returns from the investments, and ultimately the distributions and total return to unitholders.

Other functions and responsibilities of the Manager include:

- Carrying out and conducting CMMT's business in a proper and efficient manner and to conduct all transactions with, or on behalf of, CMMT at arm's length.
- Preparing asset plans on an annual basis, including forecasts of revenue, net income and capital expenditure, explanation of major variances to previous years' numbers, commentary on key issues and justification of the assumptions underlying rental rates, operating income and operating expenses. These plans explain the past performance and expected future performance of CMMT's assets.
- Ensuring compliance with relevant laws and regulations, including the Companies Act, 1965, the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Listing Requirements), the Securities Commission's Guidelines on Real Estate Investment Trusts (the REITs Guidelines) and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its unitholders.

- Attending to all regular communications with unitholders.
- Supervising Knight Frank (Ooi & Zaharin Sdn. Bhd.) (Property Manager), which pursuant to the property management agreements, performs the day-to-day property management functions (including lease administration, accounting, advertising and promotional activities, liaison and customer services, and car park management) for CMMT's malls namely The Mines, Gurney Plaza, Sungei Wang Plaza and East Coast Mall.

CMMT, constituted as a trust, is externally managed by the Manager and therefore has no personnel of its own. The Manager appoints and has a team of experienced and well qualified individuals to run its day-to-day operations. The individual members of the Board of Directors of the Manager (Directors) as well as employees of the Manager are remunerated by the Manager and not CMMT.

CapitaMalls Malaysia REIT Management Sdn. Bhd. is appointed as the Manager in accordance with the terms of the trust deed dated 7 June 2010 and registered with SC on 9 June 2010 (the Deed). The Deed outlines certain circumstances under which the Manager can be removed, through a special resolution passed by a majority consisting of not less than three-fourths of the unitholders present and voting at a meeting of unitholders duly convened and held in accordance with the provisions of the Deed, on grounds of a breach of its obligations under the Deed which the Manager failed to remedy despite the request to remedy from the Trustee.

The following paragraphs describe the Manager's corporate governance policies and practices in 2012, with specific provisions extracted from the Code. They encompass proactive measures adopted by the Manager for avoiding situations of conflict and potential conflicts of interest, including prioritising the interests of unitholders over the Manager's and ensuring that applicable laws and regulations are complied with.

ESTABLISH CLEAR ROLES AND RESPONSIBILITIES¹

The Board

The Board of Directors of the Manager (the Board) has overall responsibility for managing and governing the Manager and CMMT in the best interest and for the benefit of unitholders.

The Board provides leadership to the Manager, sets the strategic direction and oversees the competent management of CMMT, including the deployment of necessary financial and human resources, to meet its objectives. The Board establishes goals for management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risk and compliance with applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to unitholders and other stakeholders are understood and met.

Also, the Manager's corporate social responsibility activities at CMMT's malls are set out on pages 59 to 60.

Each Director must act honestly, with due care and diligence, and in the best interest of unitholders. This obligation is aligned with the Manager's prime responsibility of managing the assets and liabilities of CMMT for the benefit of unitholders. Decisions are taken objectively in the interest of CMMT. The Manager has adopted and adhered to internal approval procedures, approval limits, group policies and guidelines, including details of the internal approval procedures to deal with Related Party Transactions (as defined herein) and conflicts of interest transactions which are set out on pages 51 to 52.

The Board meets regularly to discuss and review the Manager's key activities, including its business strategies and policies for CMMT. Board meetings are scheduled in advance, and are held at least once every quarter, to deliberate on matters of strategic significance for CMMT, including any significant acquisitions and disposals, review of the annual budget and performance of the Manager and CMMT, as well as approve the release of the quarterly and full-year results. Issues deliberated and decisions made during the Board meetings are documented. The Board also reviews the risks to the assets of CMMT and acts upon any comments from the auditors of CMMT. Further, the Manager provides quarterly reports to the Board on all compliance matters addressing therein the steps taken to mitigate cases of non-

compliance (if any). Additional Board meetings are held, where necessary, to address significant transactions or issues. The Articles of Association of the Manager permit Board meetings to be held by way of teleconference and videoconference.

Board Committees

In the discharge of its functions, the Board is supported by specialty Board committees that provide independent oversight of management, and which also serve to ensure that there are appropriate checks and balances. These Board committees are the Audit Committee, Executive Committee and Corporate Disclosure Committee. Each of these Board committees operates under delegated authority from the Board. Other committees may be formed as dictated by business imperatives and/or to promote operational efficiency.

Although the Code recommends the establishment of a Nominating Committee, based on the grounds proffered in page 44, the Board formed the view that the establishment of a Nominating Committee is not necessary at this stage.

The number of Board and Board committee meetings held in the year, as well as the attendance of their membership, are set out on page 47.

Executive Committee

Currently, the members of the Executive Committee are Mr Lim Beng Chee, Mr Ng Kok Siong, Mr Simon Ho Chee Hwee and Ms Sharon Lim Hwee Li. The Executive Committee oversees the day-to-day activities of the Manager on behalf of the Board including, to:

- Review management reports and operating budgets;
- Approve or make recommendations to the Board on new investments and acquisitions;
- Approve specific budgets for capital expenditure for development projects, acquisitions and enhancements/upgrading of properties;
- Award contracts for development projects;
- Approve or make recommendations to the Board on divestments and write-offs of property assets/equity investments;
- Review the adequacy and completeness of the overall risk management framework of CMMT;
- Evaluate and make recommendations for the Board's approval of the risk guidelines and limits for CMMT;
- Review CMMT's risk portfolio mix and risk levels as and when required;
- Report to the Board on decisions made by the Executive Committee; and

¹ Principle 1 of the Code.

- Perform such other functions as varied or delegated by the Board.

During the year ended 31 December 2012 (FY 2012), the Executive Committee met formally for a total of four (4) times. The members of the Executive Committee also met informally during the course of the period. The details of attendance of each of the members of the Executive Committee held in FY2012 are disclosed herein below.

Audit Committee

The Audit Committee is established by the Board from among the Directors of the Manager and comprises four members, all non-executive, the majority of whom (including the Chairman of the Audit Committee) are independent.

The Manager is of the view that the Audit Committee members have the relevant expertise to discharge the functions of an Audit Committee and at present, two (2) members of the Audit Committee are members of the Malaysian Institute of Accountants. The composition of the Audit Committee as at 31 December 2012 are Tuan Haji Rosli bin Abdullah, Mr Ng Chih Kaye, Mr Ng Kok Siong and Ms Tan Siew Bee.

The Audit Committee has a set of terms of reference defining its scope of authority which includes, in relation to its management of CMMT:

- Monitoring and evaluating the effectiveness of internal control processes (including financial, operational and compliance controls and risk management policies and systems) by reviewing internal and external audit reports to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by management;
- Reviewing the quality and reliability of information prepared for inclusion in the financial reports and approving the financial statements and the audit report before recommending to the Board for approval;
- Reviewing the adequacy and effectiveness of the internal audit function;
- Monitoring the procedures established to regulate Related Party Transactions (as defined herein) including ensuring compliance with applicable provisions of the Listing Requirements and the REITs Guidelines;
- Reviewing the appointment and re-appointment of auditors (including remuneration and terms of engagement) before recommending them to the Board for approval and reviewing the adequacy of existing audits in respect of cost, scope and performance;
- Reviewing the scope and results of the audit and its cost effectiveness, the independence

and objectivity of the external auditors, non-audit services provided by the external auditors and confirming that they would not, in the Audit Committee's opinion, impair the independence of the auditors; and

- Monitoring the procedures in place to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines. The Audit Committee is authorised to investigate any matters within its terms of reference. The Audit Committee has full access to and co-operation of the management as well as the internal auditors and has full discretion to invite any executive director or officer to attend its meetings.

The internal auditors and CMMT's external auditors have unrestricted access to the Audit Committee. Reasonable resources have been made available to the Audit Committee to enable it to discharge its duties.

The Audit Committee meets CMMT's external auditors, without the presence of management, at least twice a year. In its review of the audited financial statements for FY2012, the Audit Committee discussed with management and external auditors the accounting principles that were applied. Based on the review and discussions with management and the external auditors, the Audit Committee is of the view that the financial statements are fairly presented, and conform to generally accepted accounting principles in all material aspects.

The Audit Committee has also conducted a review of all non-audit services provided by the external auditors during the financial year and is satisfied that the nature and extent of such services will not prejudice the independence and objectivity of the external auditors. The non-audit fee paid and payable to the external auditors for FY2012 amounted to RM94,000.

Audit Committee meetings are generally held after the end of every quarter in every financial year. During FY2012, the Audit Committee met a total of five (5) times. The details of attendance by each of the members of the Audit Committee held in FY2012 are disclosed herein below.

In line with the terms of reference of the Audit Committee, the following activities were carried out by the Audit Committee during FY2012:

- Reviewed the quarterly results and financial statements with management and the external auditors for recommendation to the Board of Directors for approval and release to Bursa Securities;
- Ensured that the financial statements comply with financial accounting standards;

- Reviewed the audit plans for the year which were prepared by both external and internal auditors;
- Reviewed the audit activities carried out by the internal auditors and the audit reports on major findings by the auditors and Management's response thereto;
- Assessed the suitability and independence of external auditors;
- Considered the appointment of external auditors and their request for an increase in audit fees;
- Discussed the emerging financial reporting issues pursuant to the introduction of new accounting standards and additional statutory/regulatory disclosure requirements;
- Reviewed and recommended for approval by the Board a related party transaction approval procedure for adoption by CMMT and the Manager;
- Reviewed and recommended to the Board all related party transactions entered into by CMMT and/or the Manager;
- Reviewed any conflict of interest transactions that may have arisen; and
- Reported to the Board on significant issues and concerns with applicable recommendations. Minutes of the Audit Committee meetings were tabled and noted by the Board.

Part of the Audit Committee's responsibility in evaluating the effectiveness and adequacy of the internal control processes includes reviewing the risk management policies and systems. The internal audit function of the Manager covers enterprise risk management as a group-wide initiative from CapitaMalls Asia Limited (CMA). This will be reviewed by the Audit Committee in line with the Code and shall be adopted by the Manager upon approval of the Audit Committee in FY2013.

Corporate Disclosure Committee

The Corporate Disclosure Committee reviews corporate disclosure matters relating to CMMT, including announcements to Bursa Securities, and pursues best practices in terms of transparency. Currently, the members of the committee are Mr David Wong Chin Huat, Mr Lim Beng Chee and Mr Ng Kok Siong.

In maintaining the ethical standards of the Manager, the Board is guided by the Manager's Employee's Handbook of Business Conduct and a whistle blowing policy established in financial year 2010 (FY2010) which is reviewed periodically.

Management provides the Board with complete and adequate information in a timely manner. This is done through regular updates on financial results, market trends and business

developments. Changes to regulations, policies and accounting standards are also monitored closely.

To keep pace with regulatory changes, where these changes have an important and significant bearing on CMMT and its disclosure obligations, the Directors are briefed by management during Board meetings, at specially convened sessions or via circulation of Board papers. Information provided to the Board includes explanatory background materials relating to matters to be brought before the Board, budgets, forecasts and management accounts. In relation to budgets, any material variance between projections and actual results are disclosed and explained.

The Board observes and performs its disclosure and reporting obligations by making timely announcements to the relevant authorities as and when required by the Listing Requirements. Please see pages 50 to 51 for more details.

The Board is supported by a suitably qualified and competent Secretary. The Secretary of the Manager works with the Chairman and management to ensure that Board papers and agendas are provided to each Director in advance of Board meetings so that they can familiarise themselves with the matters prior to the Board meetings.

The Board adopts and implements CMA's recruitment policies in the appointment of Secretary. The criteria and requirement contained in these recruitment policies are applied. Thus, candidates for the office of Secretary are thoroughly screened before an appointment is made.

Senior executives who can provide additional insights into matters to be discussed are requested to also attend the Board meetings so as to be at hand to answer questions. Board meetings are usually half-a-day affairs and include presentations by senior executives, external consultants and experts on strategic issues relating to specific business areas.

The Board has separate and independent access to the Manager's senior management and the Secretary, and vice versa. The Secretary will give the Board necessary assistance and is also responsible for assisting the Chairman in ensuring that Board procedures are followed and that the applicable laws and regulations are complied with.

Under the direction of the Chairman, the Secretary's responsibilities include ensuring good flow of information within the Board and its committees and between senior management and Non-Executive Directors as well as

facilitating orientation and assisting with the professional development of the Directors as required. The Secretary attends Board meetings and committee meetings to take minutes.

Where necessary, the Manager will, upon request of the Directors (whether as a group or individually), provide them with independent professional advice, at the Manager's expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice.

Although a board charter has not been formalized the Board's strategic intent has guided prospective members and senior management of the Manager. The Board's key values, principles and ethos form the bases for the Manager's policies and strategy development. The core values of the Manager are also contained in the Employee's Handbook of Business Conduct which is reviewed periodically.

STRENGTHEN COMPOSITION¹

Board Composition and Balance

Currently, the Board consists of nine (9) Directors of whom five (5) are Independent Non-Executive Directors. The majority of the Board members are Non-Executive with a majority of the Board being independent. Non-Executive Directors actively participate in setting and developing strategies and goals for management, and reviewing and assessing management's performance. This enables the management to benefit from their external and objective perspective on issues that are brought before the Board. It also enables the Board to interact and work with management through a healthy exchange of ideas and views to help shape the strategic process. Coupled with a clear separation of the roles between the Chairman and the CEO, this provides a healthy professional relationship between the Board and management with clarity of roles and a robust process of deliberation on the business activities of CMMT.

A Director is considered independent if he/she is independent of the management of the Manager and is free from any business or other relationships which could interfere with the exercise of independent judgment or the ability to act in the best interest of CMMT. Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Ms Tan Siew Bee, Mr Peter Tay Buan Huat and Mr Ng Chih Kaye are the Independent Directors.

The Board is of the view that its current composition comprises persons who, as a group, provide the necessary core competencies and

that the current Board size is appropriate, taking into consideration the nature and scope of CMMT's operations. The profiles of the Directors are set out on pages 33 to 37 of this Report.

The Manager issues formal letters upon appointment of new Directors whose appointments are subject to the existing Board's approval. Newly appointed Directors are briefed on CMMT's business activities, strategic direction and policies, the regulatory environment in which CMMT operates, the Manager's corporate governance practices, and their statutory and other duties and responsibilities as Directors. All Directors are routinely updated on developments and changes in the operating environment, including revisions to accounting standards and laws and regulations affecting the Manager and/or CMMT. Directors are also encouraged to participate in industry conferences, seminars and training programmes in connection with their duties.

Due to the REIT structure, the Manager does not consider it necessary for the Board to establish a nominating committee as the Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the independence of Board members.

The composition of the Board is reviewed regularly to ensure that the Board has the appropriate size and mix of expertise and experience. In particular, the Manager strives to ensure that the Board as a whole has the background, experience and knowledge in business, finance and management skills appropriate for CMMT's business activities, and that each Director with his special contribution brings to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made.

The composition of the Board, including the selection of candidates for new appointments to the Board as part of the Board's renewal process, is determined using the following principles:

- The Chairman of the Board should be an Independent Non-Executive Director.
- The Chairman and the Chief Executive Officer are not related.
- The Board should comprise Directors with a broad range of commercial experience, including expertise in fund management, property as well as banking and finance.
- At least one third of the Board are Independent Directors.

The selection of candidates is evaluated taking into account various factors including the current and medium term needs and goals of CMMT,

¹ Principle 2 of the Code.

and hence, the Manager, as well as the relevant expertise of the candidates and their potential contributions.

Reviews of Board performance as appropriate are informal. Renewal or replacement of Board members do not necessarily reflect their contributions to date, but may be driven by the need to position and shape the Board in line with the medium term needs of CMMT and its business.

The remuneration of Directors and staff of the Manager is paid by the Manager, and not by CMMT. The Manager adopts the remuneration policies and practices of CMA, which has a remuneration committee that determines and recommends to CMA's board of directors the framework for remuneration, compensation and benefits, which includes the CEO of the Manager. It is hence not necessary for the Manager to have a remuneration committee.

Since CMMT does not bear the remuneration of the Manager's Board and staff, the Manager does not consider it necessary to include a report on remuneration of its Directors other than as set out below.

The remuneration of Directors for FY2012 is shown in the following table. The CEO does not receive directors' fees. Non-Executive Directors have no service contracts with the Manager. They receive a basic fee, an additional fee for serving on any of the committees and an attendance fee for participation in meetings of the Board and any of the committees and verification meetings. In determining the quantum of such fees, factors such as frequency of meetings, time spent and responsibilities of directors are taken into account. The Chairman and members of the Audit Committee receive additional fees to take into account the nature of their responsibilities and the attendance of the Audit Committee meetings.

Directors' Remuneration for FY2012

Board Members	FY2012 ¹ (RM)	FY2011 ¹ (RM)
David Wong Chin Huat ²	68,258	-
Tuan Haji Rosli Bin Abdullah ³	69,363	-
Foo Wei Hoong ^{4,5}	42,250	-
Simon Ho Chee Hwee (Alternate Director to Lim Beng Chee) ^{6,7}	13,785	-
Lim Beng Chee ⁷	121,000	103,000
Ng Chih Kaye ⁸	62,653	-
Ng Kok Siong ⁷	149,000	140,000
Tan Siew Bee	103,000	90,000
Peter Tay Buan Huat	75,000	66,000
Kee Teck Koon ⁹	117,333	121,000
Datuk IG Chandran (Gnanachandran S Ayadurai) ¹⁰	61,871	106,000
Datuk Mohd. Najib Bin Hj. Abdullah ^{11,12}	22,750	58,000
Sharon Lim Hwee Li	-	-

¹ Inclusive of attendance fees of (a) RM4,000 (local director) and RM6,000 (foreign director) per meeting attendance in person, and (b) RM2,000 per meeting attendance via tele-conference or video conference. Directors' fees are subject to the approval of the Manager's shareholders.

² David Wong Chin Huat was appointed as Deputy Chairman and Independent Non-Executive Director of the Board with effect from 6 July 2012 and as Chairman of the Board and Corporate Disclosure Committee with effect from 1 November 2012.

³ Tuan Haji Rosli Bin Abdullah was appointed as an Independent Non-Executive Director of the Board and a member of the Audit Committee with effect from 6 July 2012 and as Chairman of the Audit Committee with effect from 31 July 2012.

⁴ Foo Wei Hoong was appointed as a Non-Independent Non-Executive Director of the Board with effect from 1 June 2012.

⁵ The Director's fees (excluding attendance fees) to Foo Wei Hoong are payable to Malaysian Industrial Development Finance Berhad (MIDF).

⁶ Simon Ho Chee Hwee was appointed as an Alternate Director to Lim Beng Chee and a member of the Executive Committee with effect from 6 July 2012.

⁷ In respect of Directors who are CMA's nominees, the Directors' fees are payable to CMA.

⁸ Ng Chih Kaye was appointed as an Independent Non-Executive Director and a member of the Audit Committee with effect from 6 July 2012.

⁹ Kee Teck Koon resigned as Chairman and Director of the Board and ceased to be Chairman of the Corporate Disclosure Committee with effect from 1 November 2012.

¹⁰ Datuk IG Chandran (Gnanachandran S Ayadurai) resigned as an Independent Non-Executive Director of the Board and ceased to be Chairman of the Audit Committee with effect from 31 July 2012.

¹¹ Datuk Mohd. Najib Bin Hj. Abdullah resigned as a Non-Independent Non-Executive Director of the Board with effect from 1 June 2012.

¹² The Director's fees (excluding attendance fees) to Datuk Mohd. Najib Bin Hj. Abdullah are payable to MIDF.

REINFORCE INDEPENDENCE¹

The Manager applies the Companies Act, 1965, the REITs Guidelines and the Code in determining if a Director is independent. In making the determination, a questionnaire (that contains, amongst others, disclosures of interest by the Director) completed by the director before his/her appointment is taken into consideration. Each year all Directors are asked to reaffirm their status as an Independent Director.

Recommendation 3.2 of the Code recommends that the tenure of an independent director should not exceed a cumulative term of nine (9) years. None of the Independent Directors has served on the Board beyond nine (9) years.

Chairman and CEO

The roles of Chairman and CEO are separate and the positions are held by two separate persons. This is to ensure an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision making. The division of responsibilities between the Chairman and the CEO facilitates effective oversight and clear segregation of duties. The Chairman and the CEO are not related to each other and the Chairman is an Independent Non-Executive Director.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that members of the Board receive accurate, clear and timely information, facilitates the contribution of Non-Executive Directors, encourages constructive relationships between Executive Directors, Non-Executive Directors and management, ensures effective communication with unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board and the management work together with integrity, competency and moral authority, and the Board engages management in constructive debate on strategies, business operations and enterprise risks.

The CEO has full executive responsibilities over the business direction and operational decisions in managing CMMT.

In addition to the Chairman being an Independent Non-Executive Director, the current Board comprises a majority of independent directors with five (5) out of nine (9) Directors being Independent Directors.

FOSTER COMMITMENT²

Currently, the directorships held by each Board member are disclosed to the Secretary in accordance with the law and regulations. All Directors are aware that they should devote sufficient time to carry out their responsibilities to the Manager and CMMT. Policies and procedures are implemented and strictly complied by the Board before acceptance of any new directorships by any member of the Board.

Board and Board Committee Attendance

The matrix of Board members' participation and attendance records at meetings of the Board and the specialty Board committees during the year are provided below. The participation and attendance records also reflect each Board member's additional responsibilities and special focus on the respective Board committees.

Five (5) Board meetings were held during FY2012. The tables contain the attendance record of Directors at Board and Board committee meetings during the year, and details of their memberships in the Board and Board committees.

¹ Principle 3 of the Code.

² Principle 4 of the Code.

Board Committee Composition

Board Members	Audit Committee	Executive Committee	Corporate Disclosure Committee
David Wong Chin Huat ¹	-	-	Chairman
Tuan Haji Rosli bin Abdullah ²	Chairman	-	-
Foo Wei Hoong ³	-	-	-
Simon Ho Chee Hwee ⁴ (Alternate Director to Lim Beng Chee)	-	Member	-
Lim Beng Chee	-	Chairman	Member
Ng Chih Kaye ⁵	Member	-	-
Ng Kok Siong	Member	Member	Member
Tan Siew Bee	Member	-	-
Peter Tay Buan Huat	-	-	-
Sharon Lim Hwee Li	-	Member	-

Meeting Attendance for FY2012

Board Members	Board Number of Meetings held: 5	Audit Committee Number of Meetings held: 5	Executive Committee Number of Meetings held: 4
David Wong Chin Huat ¹	4	N.A.	N.A.
Tuan Haji Rosli Bin Abdullah ²	4	4	N.A.
Foo Wei Hoong ³	4	N.A.	N.A.
Simon Ho Chee Hwee ⁴ (Alternate Director to Lim Beng Chee)	N.A.	N.A.	1
Lim Beng Chee	5	N.A.	4
Ng Chih Kaye ⁵	4	4	N.A.
Ng Kok Siong	4	4	4
Tan Siew Bee	5	5	N.A.
Peter Tay Buan Huat	5	N.A.	N.A.
Kee Teck Koon ⁶	4	N.A.	N.A.
Datuk IG Chandran (Gnanachandran S Ayadurai) ⁷	2	2	N.A.
Datuk Mohd. Najib Bin Hj. Abdullah ⁸	1	N.A.	N.A.
Sharon Lim Hwee Li	5	N.A.	4

N.A – Not applicable

¹ David Wong Chin Huat was appointed as Deputy Chairman and Independent Non-Executive Director of the Board with effect from 6 July 2012 and as Chairman of the Board and Corporate Disclosure Committee with effect from 1 November 2012.

² Tuan Haji Rosli Bin Abdullah was appointed as an Independent Non-Executive Director of the Board and a member of the Audit Committee with effect from 6 July 2012 and as Chairman of the Audit Committee with effect from 31 July 2012.

³ Foo Wei Hoong was appointed as a Non-Independent Non-Executive Director of the Board with effect from 1 June 2012.

⁴ Simon Ho Chee Hwee was appointed as an Alternate Director to Lim Beng Chee and a member of the Executive Committee with effect from 6 July 2012.

⁵ Ng Chih Kaye was appointed as an Independent Non-Executive Director and a member of the Audit Committee with effect from 6 July 2012.

⁶ Kee Teck Koon resigned as Chairman and Director of the Board and ceased to be Chairman of the Corporate Disclosure Committee with effect from 1 November 2012.

⁷ Datuk IG Chandran (Gnanachandran S Ayadurai) resigned as an Independent Non-Executive Director of the Board and ceased to be Chairman of the Audit Committee with effect from 31 July 2012.

⁸ Datuk Mohd. Najib Bin Hj. Abdullah resigned as a Non-Independent Non-Executive Director of the Board with effect from 1 June 2012.

Directors' Training

During the year under review, the Directors attended various conferences/programmes to enhance their knowledge and expertise and to keep abreast with the relevant changes in law, regulations and the business environment. In addition to this, the holding company, CMA, in collaboration with external parties, also organised internal training programmes for the Directors. In this regard, the Board will continue to evaluate and determine the training needs of its Directors on an ongoing basis.

The training programmes, conference and seminars attended by the Directors during FY2012 related to, *inter alia*, Overview on REITs, updates on the Code and Amendments to the Main Market Listing Requirements, Corporate Disclosure Guide, Competition Act 2010 and Directors Duties and Responsibilities, the details of which are listed in the table below.

All Directors attended the Mandatory Accreditation Programme (MAP) as prescribed by Bursa Securities within four (4) months of their appointments (MAP Requirement).

Date	Course Title / Organiser
26 Apr 12	Directors Duties & Liabilities – Spearheading Corporate Governance in Today's Corporate Environment organised by LegalNet Asia
22 May 12	Role of the Audit Committee in Assuring Audit Quality organised by Bursa Securities
3 Jul 12	Seminar on the Code organised by the Malaysian Institute of Corporate Governance and Federation of Public Listed Companies
4 July 12	Making the most of the Chief Financial Officer role: Everyone's Responsibility organised by The Institute of Chartered Accountants in England and Wales
20 Jul 12	In-house training in collaboration with Christopher Lee & Co on Overview of M-REITs, recent amendments to Companies Act 1965 and the Code
8 Aug 12	Governance, Risk Management and Compliance: What Directors Should Know organised by Bursa Securities
3 Oct 12	Audit Committee organised by Bursa Securities in collaboration with the Association of Chartered Certified Accountants
29 Nov 12	Bursa Securities Half Day Governance: Corporate Integrity System Malaysia, CEO Dialogue Session organised by Bursa Securities

UPHOLD INTEGRITY IN FINANCIAL REPORTING¹

The Manager has implemented quarterly financial reporting for CMMT since inception. Financial results and other price sensitive public announcements are presented in a balanced and understandable format for the assessment of CMMT's performance, position and prospects.

Financial Reporting

As reported on page 42, the Audit Committee has ensured that the financial statements comply with applicable financial reporting standards and assessed the suitability and independence of the external auditors.

In 4Q 2012, the Manager adopted the External Auditor Independence Guide to enable the Audit Committee to assess the suitability and independence of the external auditor.

The Audit Committee would also meet the external auditors separately twice a year, without the presence of the Chief Executive Officer and management, in order to have unfettered access to any information it may require.

RECOGNISE AND MANAGE RISKS²

The Manager has put in place a system of internal control and a set of procedures and processes to safeguard the assets of CMMT, interest of unitholders as well as to manage risk.

Delegation of Authority

The Board has adopted a set of internal controls which sets out approval limits for, among other things, capital expenditure, new investments and divestments, operating of bank accounts, bank borrowings and cheque signatories' arrangements at the Board level. Apart from matters that specifically require the Board's approval – such as the issue of new units in CMMT, income distributions and other returns to unitholders – the Board approves transactions exceeding certain threshold limits, while delegating authority for transactions below those limits to the Board committees. Appropriate delegation of authority, which includes approval of sub-limits, is also provided at the management level to facilitate operational efficiency.

Risk Management

Effective risk management is a fundamental part of CMMT's business strategy. Recognising and managing risk is central to the business and to protecting unitholders' interests and value.

CMMT operates within overall guidelines and specific parameters set by the Board. Each transaction is comprehensively analysed to understand the risks involved. Responsibility for managing risk lies initially with the operation unit concerned, working within the overall strategy outlined by the Board.

The Manager's focus on risk management recognises that risk management is, *prima facie*, an issue for management. The risk management framework supports this focus but provides a structured context for those personnel to undertake a quarterly review of the past performance of, and to profile the current and future risks facing their areas of responsibility.

This risk information is consolidated and used as key input into the corporate strategy sessions attended by management and the Property Manager. Such sessions are held regularly to review CMMT's strategic direction in detail, and include specific focus on the identification of key business and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the Board on a regular basis. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring and assessing the operation of internal controls and the effectiveness and efficiency of the control environment.

The Board generally meets quarterly, or more often if necessary to review the financial performance of the Manager and CMMT against a previously approved budget. The Board also reviews the risks to the assets of CMMT and acts upon any comments by the auditors of CMMT. In assessing business risk, the Board considers the economic environment and the property industry risk. The Board and its Executive Committee review and approve all investment decisions. Management meets regularly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has determined that significant risk for CMMT will most likely arise when making property investment decisions. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with this policy, the Board requires comprehensive due diligence to be carried out in relation to the proposed investment and a suitable determination is made as to whether the anticipated return on investment is appropriate, having regard to the level of risk.

¹ Principle 5 of the Code.

² Principle 6 of the Code.

A comprehensive risk register, adapted based on Malaysia's business environment, has been adopted by CMMT during FY2012. This risk register is reviewed and updated by the Manager periodically and the results thereof are reported to the Board annually.

The Board has established a formal and transparent arrangement for maintaining an appropriate relationship with the external auditors and internal auditors of CMMT. CMMT's auditors report to members of the Board on their findings. These findings are included as part of CMMT's financial reports with respect to each year's audit on the statutory financial statements. From time to time, the auditors highlight matters that require attention to the Board of Directors.

As disclosed on page 55, the internal audit function is carried out internally through CMA, and covers enterprise risk management as a group-wide initiative, with direct reporting to the Audit Committee.

ENSURE TIMELY AND HIGH QUALITY DISCLOSURE¹

Unitholders and potential stakeholders have 24-hour access to CMMT's website for information on CMMT's major developments, property descriptions, announcements and other corporate information.

CMMT's unit price information (15 minutes lag-time) is also made available on the website. In addition, the public can pose questions via a dedicated 'Ask Us' email address, and have their queries addressed accordingly. Also available on the website is an archive of CMMT's announcements, press releases, annual reports and operational details. The latest information is posted on the website as soon as it is released to the Bursa Securities and the media. The Manager has during FY2012 adopted and implemented an Investor Relations Policy to ensure timely and accurate disclosure of corporate information.

STRENGTHEN RELATIONSHIP BETWEEN COMPANY AND SHAREHOLDERS²

The Listing Requirements require that a listed entity discloses to the public all material information necessary for informed investing. In line with the disclosure obligations of CMMT, the Board's policy is to inform unitholders, in a timely

manner, of all major developments that impact CMMT. A continuous disclosure process is in place to ensure that compliance with such obligations is constantly adhered to.

CMMT believes that it should engage in regular, effective, unbiased and transparent communication with unitholders. The Manager communicates information on CMMT to unitholders and the investing community through announcements that are released to Bursa Securities via Bursa LINK. Such announcements include the quarterly and full-year results, material transactions, and other developments relating to CMMT requiring disclosure under the corporate disclosure policy of Bursa Securities. Communication channels with unitholders are also made accessible via:

- Media and analysts' briefings;
- One-on-one/group meetings or conference calls, investor luncheons, local/overseas roadshows and conferences;
- Annual reports;
- Press releases on major developments of CMMT;
- Notices of, and explanatory memoranda for, extraordinary general meetings (EGMs); and
- CMMT's website at www.capitamallsmalaysia.com (an email alerts option is available to subscribers who wish to be notified of newly posted announcements, presentations, publications and press releases).

With the majority of units in CMMT held by institutional investors, the Manager considers meetings with local and foreign fund managers an integral part of investor relations. During FY2012, the Manager met and/or had conference calls with institutional investors from Malaysia, Singapore, Hong Kong, Japan, USA and various European countries. These meetings and road shows with investors enabled the Manager to update potential and current unitholders on CMMT's significant developments and its medium to long term strategies. CMMT also participates in various local and overseas conferences as part of its efforts to build interest in the Malaysia REIT market. The Manager will continue to pursue opportunities to educate and keep retail investors informed of the latest developments in the Malaysia REIT industry, through relevant seminars and conferences.

All unitholders are sent a copy of CMMT's annual report. As and when an EGM of the unitholders is to be held, each unitholder is sent a copy of the circular to unitholders which contains details of the matters to be proposed for the unitholders' consideration and approval.

Notices for the general meetings of unitholders setting out all items of business to be transacted

¹ Principle 7 of the Code.

² Principle 8 of the Code.

at the general meeting are served within the minimum notice period, are announced on Bursa LINK and advertised in the newspapers. Members of the Board, the Manager's senior management and the external auditors of CMMT are in attendance at such general meetings, and unitholders are given the opportunity to air their views and ask questions regarding the matters to be tabled at the general meetings. A unitholder is entitled to appoint one (1) proxy, and for certain categories of unitholders, two (2) proxies, to attend and vote at the general meetings in his/her stead. The board encourages participation at general meetings and encourages poll voting.

OTHERS

Dealings with Related Parties Review Procedures for Related Party Transactions

The Manager has established internal control procedures to ensure that all transactions involving the Trustee and a related party of CMMT (Related Party Transactions) are undertaken in compliance with the REITs Guidelines, the Deed and the Listing Requirements on an arm's length basis and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties. The Manager has during FY2012 adopted a set of approval/authority limits when dealing with related party transactions entered into by CMMT as follows:

- Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions less than RM250,000 shall be approved by the Chief Executive Officer followed by the advice of internal audit and review by the Audit Committee.
- Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions greater than or equal to RM250,000 shall be approved by the Board upon the advice of internal audit and review/recommendation by the Audit Committee. The same principles apply to real estate transactions less than 5% of the total asset value of CMMT (TAV) and are additionally subject to the Trustee's written confirmation based on the Board's approval.
- Real estate transactions greater than or equal to 5% of TAV shall be approved by the unitholders based on the Board's approval after internal audit's advice and the Audit Committee's review/recommendation.
- Appointment or renewal of service providers related to the Manager shall be approved by the Independent Directors upon the advice

of internal audit and review/recommendation by the Audit Committee.

In dealing with any Related Party Transactions, it is the Manager's policy that all related party transactions carried out by or on behalf of CMMT should be:

- Carried out on an arm's length basis and on normal commercial terms.
- In the best interest of unitholders of CMMT.
- Adequately disclosed to the unitholders of CMMT.
- In relation to a real estate transaction:
 - Consented by the Trustee;
 - Consistent with the investment objective and strategy of CMMT; and
 - Transacted at a price that is equivalent to the value stated in the valuation report.

The acquisition/disposal may be transacted at a price other than as per the valuation report PROVIDED THAT (a) the acquisition price is not more than 110% of the value assessed in the valuation report; (b) the disposal price is not less than 90% of the value assessed in the valuation report; and (c) the Trustee provides written confirmation that the transaction is based on normal commercial terms, at arm's length, and not prejudicial to unitholders' interest.

Role of the Audit Committee for Related Party Transactions

All Related Party Transactions are subject to regular periodic reviews by the Audit Committee. The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted at arm's length and on normal commercial terms and are not prejudicial to unitholders' interests. The Manager maintains a register to record all Related Party Transactions which are entered into by CMMT (and the basis, on which they are entered, including the quotations obtained to support such basis). The Manager then incorporates into its internal audit plan a review of all Related Party Transactions entered into by CMMT. The Audit Committee reviews the internal audit reports to ascertain that the guidelines and procedures established to monitor Related Party Transactions have been complied with.

The Audit Committee periodically reviews Related Party Transactions to ensure compliance with the internal control procedures and the relevant provisions of the REITs Guidelines, the Deed and the Listing Requirements. The review includes the examination of the nature of the transaction and its supporting documents or such other data deemed necessary by the Audit Committee. If a member of the Audit Committee has an interest in a transaction, he/she is to abstain from

participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial year are disclosed on pages 105 and 106 of this Report.

Dealings with Conflicts of Interest

The following procedures have been established to deal with potential conflicts of interest which the Manager (including its Directors, executive officers and employees) may encounter in managing CMMT:

- The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business.
- All executive officers of the Manager will be employed by the Manager.
- All resolutions at meetings of the Board of Directors of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director who does not have any interest, direct or indirect, in the matter which is subject to the resolutions concerned.
- In respect of matters in which CMA and/or its subsidiaries have an interest, direct or indirect, any nominees appointed by CMA and/or its subsidiaries to the Board will abstain from voting.
- If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager shall be obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a *prima facie* case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager will have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of unitholders and/or which is in the interests of unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate.

- The Board shall comprise at least one-third of Independent Directors. Currently the Board comprises majority Independent Directors.

The Directors of the Manager are under a fiduciary duty to act in its best interests in relation to decisions affecting CMMT when they are voting as members of the Board. In addition, the Directors and executive officers of the Manager are expected to act with integrity and honesty at all times.

In addition, the Manager and the Trustee have been granted a right of first refusal (ROFR) by CMA where:

- For so long as the Manager shall remain the manager of CMMT and a subsidiary of CMA, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
 - Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - A proposal made exclusively available to CMA and/or its subsidiaries; or
 - A fund or proposed fund managed by CMA and/or its subsidiaries.
- In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealings In Securities

The Manager adopts best practices and issues guidelines to its Directors and employees which prohibit dealings in CMMT's units while in

possession of material unpublished price-sensitive information. Under these guidelines, the Directors and employees of the Manager are prohibited from dealing in CMMT's units during the period commencing on and from 30 calendar days prior to the targeted date of announcement of CMMT's quarterly results to Bursa Securities, up to one full market day after the announcement of CMMT's quarterly results. In addition, if any of such affected persons deal in CMMT's units during the closed periods under the Listing Requirements, they are required to comply with the conditions as set out in Paragraphs 14.08 and 14.09 of the Listing Requirements respectively. They are also made aware of the applicability of the insider trading laws at all times, which may impose stricter requirements than the Manager's guidelines.

Whistle Blowing

The Audit Committee has put in place procedures to provide employees of the Manager with well defined and accessible channels to report on suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager, pursuant to which the independent investigation of any reports by employees and appropriate follow up action. The aim of the whistle-blowing policy is to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly, and to the extent possible, shall be protected from reprisal. On an ongoing basis, the whistle-blowing policy is covered during staff training to promote fraud awareness.

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Statement on Internal Control

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any given publicly listed company to include in its annual report a 'statement about the state of internal control of the listed issuer as a group'. Although CMMT is a REIT, and it is not required to comply with Paragraph 15.26(b) of the Listing Requirements, the Board has voluntarily adopted the relevant corporate governance disclosure under this section of the Listing Requirements.

BOARD'S RESPONSIBILITY

The board should maintain a sound system of internal control to safeguard shareholders' investment and the company's assets.

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of internal controls and risk management. It is an essential part of the Board's responsibilities to identify principal risks, ensure that appropriate systems and policies are in place to manage these risks and to review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that a sound system of internal control can reduce but cannot eliminate the possibility of human error, control processes being deliberately circumvented by employees and others, management overriding controls and the occurrence of unforeseen circumstances. A sound system of internal control therefore provides a reasonable but not absolute assurance that CMMT will not be hindered in a) achieving its business objectives or b) in the orderly and legitimate conduct of its business by circumstances which may reasonably be foreseen. A system of internal control cannot however provide protection with certainty against CMMT failing to meet its business objectives or all material errors, losses, fraud or breaches of laws and regulations.

In order to mitigate any potential loss of value of unitholders' investment in CMMT, the Board has established strategies and procedures in identifying principal risks when making property investment decisions for CMMT. The Board also considers the changes during the period under review, in particular any significant business, operational, financial, compliance and other risks affecting CMMT's objectives, to ensure that there are appropriate policies and processes to manage any such potential risk when making property investment decisions and to consider CMMT's ability to respond to such changes.

In line with the latest updates to the Statement on Risk Management and Internal Control - Guidelines for Directors of Listed Issuers (effective 31 December 2012), the Board regularly reviews the effectiveness of risk management and internal control which shall encompass both the scope and frequency of the reports it receives and reviews during the year. It is intended that any key risk or significant control failings or weaknesses shall be identified and discussed in these reports including the impact they have had or may have on CMMT and the actions to rectify them.

Thus far, Management has openly communicated with the Board on its risk management process that involved the identifying and assessing of risks, and in the design, operation and monitoring of suitable internal controls to mitigate those risks.

KEY INTERNAL CONTROL PROCESSES

Identifying principal risks and ensuring the implementation of appropriate systems to manage these risks.

The Manager has put in place systems of internal control and a set of procedures and processes to safeguard the assets of CMMT and interest of unitholders as well as to manage risk. These are described in the following paragraphs.

An operational manual is maintained to provide a structure and framework in managing and assessing risks which includes, amongst others, policies and procedures for the acquisition of property, financial and operational reporting, and continuing listing and compliance obligations.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel in order to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the

Deed and are carried out on an arm's length basis and on normal commercial terms, which are in the best interest of CMMT's unitholders. The Manager incorporates into its annual internal audit plan a review of all related party transactions. These established procedures are further explained in pages 51 and 52.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on page 52. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT are to be executed on terms that are the best available to CMMT and which are no less favourable to CMMT than transactions between independent parties.

The Audit Committee has put in place a whistle blowing policy to provide employees of the Manager and CMMT with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle blowing policy has been established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The established policy is further explained in page 53.

The Manager procures internal audit services from CMA. The internal audit function reports directly to the Audit Committee its findings and is independent from the Manager's management team. The principal role of the internal audit function is to carry out reviews using a risk-based approach. The reviews aim to assess the adequacy and effectiveness of the system of internal controls of CMMT in relation to its business processes. Significant control lapses and/or deficiencies noted from the reviews will be documented and communicated to Management for review and corrective actions. The internal audit function reports to the Audit Committee all significant non-compliance, internal control weaknesses and actions taken by management to resolve the audit issues identified.

The scope of the internal audit function for FY2012 entailed the following:

- Carried out scheduled audit assignments in accordance with the 2012 annual internal audit plan approved by the Audit Committee;
- Reported to the Audit Committee on key findings and agreed management's actions;

- Updated the Audit Committee on the implementation status of agreed management's actions on a quarterly basis;
- Reviewed related party transactions and presented the findings of the review to the Audit Committee on a half-yearly basis;
- Investigated various matters when required and as directed by the Audit Committee; and
- Prepared the 2013 annual internal audit plan for submission to the Audit Committee for approval.

The Audit Committee reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and management. The review includes reviewing written reports from the internal and external auditors, to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by management. The Audit Committee also convenes meetings with external auditors, internal auditors, or both without the presence of management. In addition, the Audit Committee reviews the adequacy of the scope, functions and competency of the internal audit function. The Audit Committee also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

The Board reviews and approves, *inter alia*, the following reports from management, upon recommendation of the Audit Committee and Executive Committee, on a periodic basis:

- CMMT's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- Status update of major asset enhancement works carried out on the properties as planned;
- Status update of investor relations matters;
- Annual budget of each property and of CMMT;
- Status update of treasury matters including debt profile, maturity and interest rate management; and
- Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the Audit Committee, that there are adequate internal controls in place within CMMT addressing financial, operational and compliance risks.

Risk and Capital Management

RISK MANAGEMENT

Effective enterprise-wide risk management is a fundamental part of the Manager's business strategy for CMMT and its subsidiary (CMMT Group). Potential risks are identified and controls to mitigate these risks are established to protect unitholders' interests and the value of the CMMT Group. The key risks and control measures are described below.

Operational Risk

To mitigate and manage operational risks, the Manager has integrated risk management into the day-to-day activities across all functions. Risk management includes the establishment of planning and control systems and guidelines, information technology control systems, and operational reporting and monitoring procedures involving the Executive Committee and the Board. The operational risk management system is regularly monitored and examined to ensure effectiveness.

All risk management frameworks are designed to ensure that the appropriate processes and procedures are in place to prevent, manage and mitigate any operational risk.

Investment Risk

The main sources of growth for CMMT are the acquisition of properties and asset enhancement initiatives. The risks involved in such investment activities are managed through a rigorous set of investment criteria which includes yield accretion, market catchment, rental sustainability, growth potential and fit within CMMT's portfolio. The assumptions underlying financial projections are carefully reviewed and a sensitivity analysis is conducted on key variables.

The potential risks associated with proposed projects and the issues that may prevent their smooth implementation or projected outcomes are identified at the evaluation stage. This enables the Manager to determine actions that need to be taken to manage or mitigate risks as early as possible.

Interest Rate Risk

CMMT Group's exposure to changes in interest rates relates primarily to interest-bearing borrowings. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates. To reduce CMMT Group's exposure to increases in interest rates, the Manager has locked in a proportion of CMMT's

borrowings at fixed interest rates. As at 31 December 2012, 76.0% of CMMT's borrowings are based on fixed rates. There is no immediate refinancing risk as the tranches of CMMT's term loan have tenures ranging of four to six years.

Currency Risk

As the assets of CMMT Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. CMMT borrows in Malaysian Ringgit from domestic banks and debt capital market.

Credit Risk

Credit risk is the potential earnings volatility caused by tenants' inability and/or unwillingness to fulfill their contractual lease obligations, as and when they fall due. There is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, CMMT also has vigilant monitoring and debt collection procedures. Debt turnover of CMMT Group as at 31 December 2012 was approximately eight days (FY2011: nine days).

Liquidity Risk

The Manager actively monitors CMMT Group's cash flow position to ensure that there are sufficient liquid reserves in terms of cash and credit facilities to finance CMMT's operations. The Manager diligently monitors and observes financing covenants for borrowings.

Financing Risk

The health and sentiments of the debt markets in Malaysia directly affects CMMT as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives or to refinance the existing borrowings.

CMMT will continue to manage its capital structure proactively by spreading out its debt maturity to a manageable size and maintaining an optimal gearing level.

Legal and Compliance Risk

In line with the compliance requirements as stipulated in Chapter 3 of the REITs Guidelines and the reporting requirements by the SC under Section 298 of the Capital Markets and Services Act 2007, the Manager has in place a compliance management system to ensure that all relevant laws and regulations are complied and adhered to. A comprehensive risk register was adopted by CMMT in FY2012 and shall be

reviewed annually to identify and take mitigation steps towards any cases of non-compliance reported.

Human Resource Risk

A key challenge in the retail property industry is talent attraction, retention and development as there is a scarcity of individuals with the required skill-sets and competencies. In particular, CMMT's success is significantly dependent on the efforts, abilities and continued performance of the Manager's senior management team and certain key senior personnel. The resignation or loss of any of these individuals, or of one or more of the Manager's other key employees, could have a material adverse effect on CMMT's business, results of operations and financial condition. However, the Manager has formulated robust succession planning and talent management strategies to ensure that CMMT's current and future human capital needs are met.

CAPITAL MANAGEMENT

The Manager continues to rigorously monitor the cash position and borrowings level of CMMT Group with the view of strengthening its capital structure and competitive position.

In February 2012, a fresh unsecured, committed RM100.0 million revolving credit facility was obtained. As at 31 December 2012, RM54.0 million of this facility had been utilised. In June 2012, approval from Securities Commission Malaysia was obtained for the establishment of a RM3.0 billion MTN programme. On 20 December 2012, CMMT MTN Berhad, a wholly-owned subsidiary of CMMT, issued a maiden RM300.0 million four-year unrated and secured MTN to refinance an existing secured term loan undertaken by CMMT and successfully tapped the domestic debt capital market.

As at 31 December 2012, CMMT Group had available banking credit facilities of RM700.7 million and an unutilised interest rate swap line of up to RM90.0 million. CMMT Group had utilised RM519.7 million for the acquisition of properties, RM54.0 million for the funding of capital expenditure and RM6.1 million for a bank guarantee facility for utilities, leaving unutilised banking credit facilities of RM120.9 million.

The total borrowings of CMMT Group as at 31 December 2012, excluding bank guarantees, were RM873.7 million, which equates to a healthy gearing level at 28.7%. The average cost of debt for CMMT Group for FY2012 was approximately 4.7% per annum.

Debt Maturity Profile

The debt maturity profile for CMMT Group as at 31 December 2012 was as follows:

Year	Debt Maturity (RM million)
2013	54.0
2016	300.0
2017	450.0
2018	69.7

The Manager will continue to adopt a rigorous and focused approach to capital management. The Manager's capital management strategy involves adopting and maintaining an appropriate aggregate leverage level to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

Cash Flows and Liquidity

The Manager takes a proactive role in monitoring its cash and liquid reserves to ensure adequate funding is available for distribution to the unitholders as well as to meet any short-term liabilities.

Cash and Cash Equivalents

As at 31 December 2012, the cash and cash equivalents of CMMT Group stood at RM159.0 million, an increase of RM43.5 million compared with FY2011. The RM43.5 million cash increment was mainly the result of a RM166.0 million cash inflow from operating activities, which was partially offset by cash outflows of RM25.4 million and RM97.1 million from investing and financing activities respectively.

OPERATING ACTIVITIES

CMMT Group's operating net cash flow for FY2012 was RM166.0 million. CMMT Group's current year operating profit surged by RM31.7 million largely due to the full-year contribution from East Coast Mall and Gurney Plaza Extension which were acquired in FY2011, the contribution and higher gross rental income on the back of higher rental rates achieved from new and renewed leases. The increase in operating profit was offset by an outflow in working capital of RM41.0 million, in part because of a one-off contribution of RM17.6 million made by CMMT, as a strata-parcel owner of Sungei Wang Plaza, to Sungei Wang Plaza Management Corporation for the purpose of funding major upgrading works to the 35-year old mall.

INVESTING ACTIVITIES

CMMT Group spent RM2.2 million on plant and equipment and invested RM41.6 million in capital expenditure, which resulted in a cash outflow of RM29.3 million in 2012, with the balance to be paid in the next financial year. The impact of this cash outflow was partly mitigated by interest income of RM4.0 million as a result of higher available cash on deposit and active cash management.

FINANCING ACTIVITIES

In 2012, CMMT Group successfully refinanced an existing secured term loan with a four-year unrated and secured MTN of RM300.0 million. At the same time a new unsecured and committed revolving credit of RM100.0 million was obtained for working capital purposes. Of which, RM54.0

million was utilised for the funding of capital expenditure and the refinancing of a RM9.0 million unsecured revolving credit facility. CMMT Group also paid RM45.5 million in borrowing costs and distributed RM94.2 million to its unitholders. In addition, CMMT Group paid RM2.4 million in financing incidental costs and prior year's placement related expenses.

ACCOUNTING POLICIES

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRS) and International Financial Reporting Standards. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

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Corporate Social Responsibility

‘Doing well by doing good’ - this is fundamentally what corporate social responsibility (CSR) is about. We are committed to being a responsible corporate citizen by operating in an economically, socially and ecologically sustainable way whilst balancing stakeholders’ interests.

As CSR encompasses the triple bottom line ‘people, planet and profit,’ many of its facets are covered throughout this annual report. In this section, the Manager’s efforts in philanthropy and volunteerism, as well as environment, health and safety, are described.

PHILANTHROPY AND VOLUNTEERISM

In Malaysia, shopping malls are not simply places to shop; with their air-conditioned comfort and food and beverage and entertainment/lifestyle options, they often serve as *de facto* community centres or town squares - destinations for families and friends to spend significant amounts of their leisure time. In any business, it is important to engage and give back to the community; given the central role of malls in Malaysians’ lives, this is even more important in the context of CMMT’s business. As such, the Manager partners with various organisations to hold civic and community events within CMMT’s malls. The Manager also promotes volunteerism by organising humanitarian events that staff can volunteer in and provides three days of volunteer leave per year to each employee.

The key of focus of philanthropic efforts is the ‘next generation’. In December 2012, CMMT, in conjunction with CMA and CapitaLand Hope Foundation, the philanthropic arm of CapitaLand, launched “My Schoolbag”. My Schoolbag is CMA’s signature CSR programme whereby schoolbags containing school and daily necessities are given to underprivileged children. Approximately RM120,000 was donated by CapitaLand Hope Foundation to 600 underprivileged children from many shelter homes in Kuala Lumpur, Selangor, Penang and Kuantan, Pahang. My Schoolbag took place at the malls and over 120 staff members from the Manager and CMA volunteered for the event.

In addition to this, various mall-specific humanitarian initiatives were also organised. They included a charity run and character shows for underprivileged children at The Mines. To commemorate Sungei Wang Plaza’s 35th anniversary the team from the Sungei Wang Plaza Management Corporation held several activities to raise funds for the needy, including roping in 35 hairstylists from among the mall’s tenants to give free haircuts in return for donations, and visiting 35 homes over three months to offer assistance such as

complimentary haircuts and interior design makeovers.

ENVIRONMENT, HEALTH AND SAFETY

The Manager recognises that the environment and the economy are interdependent and is committed to adopting environmentally sustainable practices and policies. Emphasis is placed on reducing the consumption of electricity and water through utilities conservation, equipment and system efficiencies, pollution minimisation and green technology initiatives, as well as promoting environmental consciousness among shoppers, tenants and staff. The health and safety of shoppers, tenants, staff and vendors are also a priority, and safety is continually assessed using a hazard identification risk assessment approach.

On 31 March 2012, CMMT’s malls participated in the global “Earth Hour” campaign organised by World Wildlife Fund (WWF) to combat global warming. Each mall’s façade, signage and other non essential lights were switched off for up to 10 hours to promote awareness on energy conservation among shoppers, tenants and staff. In conjunction with this, a “Wear Less Day” was declared and shoppers, tenants and staff were encouraged to dress in light clothing while the temperatures in CMMT’s malls were increased to reduce the energy consumption of the air handling units.

In 2012, ISO14001 and OHSAS18001 certifications were successfully renewed at Gurney Plaza, The Mines and East Coast Mall. Continuing from 2011, T8-tube fluorescent lights were upgraded to T5-tube lights at The Mines and Gurney Plaza. This initiative resulted in energy consumption savings at the affected malls and similar works are progressively planned for all other malls.

At The Mines, the capacity of the underground water and rainwater harvesting system, which provides the cooling towers and the toilets/urinals with an alternative water source, was expanded. Water efficient fittings (Water Efficiency Labeling and Standards rated) continued to be installed in the toilets as they were upgraded. These initiatives resulted in a reduction in potable water consumption and more efficient use of water.

Continuing from 2010 and 2011, activated carbon filters, ultra violet bacteria eradication light and silencers were progressively installed in exhaust systems across the malls as and when new tenants renovated their shops in order to minimise air and noise pollution.

Following Gurney Plaza's lead, in 2012, a refuse recycling programme was rolled out at The Mines. Refuse such as paper, plastic, glass and metal was collected, sorted and weighed, in order to monitor the amount of refuse being recycled, and then sent to recycling centres. Tenants were encouraged to participate and were educated through series of briefing and circulars. This programme will be rolled out progressively to all other malls.

In a related vein, "Eco Lantern Making Contests" were held at The Mines, East Coast Mall and Gurney Plaza during the Mid-Autumn Festival. To promote recycling, members of the community were encouraged to unleash their

creativity and turn discarded items into eco-friendly lanterns. A "3Rs" (recycle, reduce and reuse) campaign took place at East Coast Mall, and, in collaboration with the local authorities, a collection drive for recyclable material took place.

On 28 December 2012, East Coast Mall was awarded Green Mark Gold certification for energy and water efficiency by the Building and Construction Authority (BCA) under the Ministry of National Development of Singapore. BCA Green Mark is a green building rating system to evaluate a building for its environmental impact and performance. Endorsed by the National Environment Agency of Singapore, it provides a comprehensive framework for assessing the overall environmental performance of new and existing buildings to promote sustainable design, construction and operations practices in buildings. Gurney Plaza, which received this certification on 23 December 2011, was the first shopping mall in Malaysia to receive this award.

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Human Capital

Our people are at the core of our business. It is their talent, energy and commitment that drive CMMT's sustainable performance and growth. We embrace an integrated human capital strategy to attract, develop and keep our people.

TALENT MANAGEMENT STRATEGY

The Manager proactively seeks exceptional talent to bolster the management's bench strength in order to optimise the performance of the assets in CMMT's portfolio and facilitate CMMT's future expansion within Malaysia. High potential individuals are recruited at different stages of their careers, from fresh graduates to mid-career professionals and industry veterans. Robust succession planning and talent management strategies are in place to make sure that CMMT's current and future human capital requirements are met.

LEARNING AND DEVELOPMENT

The Manager is committed to staff development and life-long learning. To raise employees' exposure, cross-functional development is promoted and people are provided with the opportunity to rotate functionally or geographically. The Manager offers comprehensive training and development programmes to enable employees to obtain the relevant knowledge and competencies in order to perform to the best of their ability, including the sponsorship of diplomas, degrees, masters and executive development programmes. Overseas study visits are an important tool used to allow staff to gain exposure to new retail trends and mall management concepts in different parts of the world.

To provide new hires with insights of the Manager's business operations, strategies, core values and management philosophy, new hires attend a local orientation programme. Many new hires attend a five to 10 days immersion programme organised by CMA in Singapore. Along with CapitaLand Institute of Management and Business (CLIMB), the Manager organises leadership and management programmes for high potential individuals to hone their management, leadership and business competencies.

In addition, training is conducted by internal and external specialists to equip employees with the know-how specific to CMMT's business, as well as communication, presentation, finance,

management and leadership skills. E-campus, which was launched in 2011, provides employees with the option to learn online at their convenience.

COMPENSATION AND BENEFITS

The Manager's remuneration policy and process reiterates its corporate philosophy to attract and retain the best talent as well as to reward high achievers. The remuneration scheme includes both short-term cash bonuses and long-term equity-based reward plans, such as restricted shares and is linked to the performance of CMMT. Regular benchmarking across markets and innovation in compensation strategies ensure that the Manager remains competitive and continues to attract and retain talent.

PEOPLE ENGAGEMENT

The Manager endeavours to foster an open work culture with a focus on communication, teamwork and an open exchange of ideas. In line with this staff engagement strategy, senior management conducts regular staff communication sessions to keep staff informed of strategy, new developments and financial results with a view to encourage staff to pose questions and articulate their views and ideas. In addition, teambuilding activities and brainstorming workshops are regularly arranged to encourage open communication and teamwork in an enjoyable and less structured way.

STAFF WELFARE AND DIVERSITY

To promote team bonding and work-life balance, the Manager organised various welfare activities in 2012, including bowling tournaments, as well as family movie screenings and offsite staff gatherings. The Manager is also committed to preserving a culture that embraces diversity and fosters inclusion. To promote mutual respect and a harmonious working environment among the different ethnic groups within the organisation, in 2012 a series of cultural festive celebrations were organised, including *buka puasa* dinners and Chinese New Year *yee sang* (prosperity) tossing ceremonies.

Investor and Media Relations

We believe that investors reward organisations that are transparent. To that effect, we engage the investment community and media on a regular basis and make available to stakeholders timely, material and accurate information pertaining to CMMT's performance, prospects and business activities.

INVESTOR AND MEDIA ENGAGEMENT

An effective investor and media relations strategy is vital in order to bridge the information gap between management and investors, analysts, brokers and the media, and thus facilitate the fair valuation of CMMT's units.

CMMT's investment proposition and performance is communicated through various mechanisms, such as news releases, its website, media and analyst briefings, one-on-one meetings, conferences, road shows, site visits and email alerts. Briefing sessions are conducted for analysts, investors and the media on a half yearly basis for quarterly results and on an ad hoc basis for material transactions and developments relating to CMMT. Announcements, press releases, presentations, circulars and annual reports are uploaded to both CMMT's and Bursa Securities's websites. Real-time information relating to CMMT's unit price performance is also available on CMMT's website. The general public can also post CMMT-specific questions via an 'Ask Us' email address.

Mall tours are conducted occasionally for analysts and investors who are keen to visit CMMT's properties to further enhance their understanding of the respective mall's market positioning, tenant mix and operations, as well as of any past or planned AEIs.

UNIT PRICE PERFORMANCE

CMMT's unit price performed well in 2012, opening at RM1.44 on 3 January 2012 and closing at RM1.80 on 31 December 2012, which represents a 25.0% gain. At the end of 2012, CMMT's unit price was trading at a 55.9% premium above its NAV (after income distribution) of RM1.1547.

During the year, CMMT's trading volume averaged 1.1 million units per trading day. During FY2012, CMMT's unit price outperformed its performance benchmarks, namely the FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) and FTSE Bursa Malaysia EMAS Index.

2012 INVESTOR AND MEDIA RELATIONS CALENDAR

20 Jan	4Q'2011 results press release and analyst conference call
29 Feb – 02 Mar	Non-deal road show, Singapore and Hong Kong
19 Apr	1Q'2012 results press release and analyst conference call
10 – 11 May	Citi Asia Pacific Property Conference, Singapore
4 – 5 Jul	Hong Kong media familiarisation tour to Malaysia malls
20 Jul	2Q'2012 press release and results analyst briefing
30 – 31 Jul & 03 Aug	Non-deal road show, Malaysia
07 Aug	2012 Credit Suisse ASEAN and India Conference, Singapore
18 Oct	3Q'2012 press release and results analyst conference call
6 – 20 Dec	"My Schoolbag" event and press release

UNITHOLDERS' ENQUIRIES

If you have any enquiries or would like to find out more about CMMT, please contact:

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"We are from Japan and have been staying in Penang more than six years. Gurney Plaza serves as a meeting point for us as it is very near to our houses. We enjoy the good mixture of brands at Gurney Plaza and our favourite stores are MPH and Popular as these two bookstores have a wide variety of books that suit our needs. We really like shopping here."

Emi Yamazaki & Mariko Imura at Gurney Plaza



"My wife and I are from China and Germany respectively and we just recently transferred to Penang. We have been visiting Gurney Plaza once every fortnight. We like the alfresco area very much as the ambience is nice. I dine at Chicago Ribs all the time and my wife enjoys shopping in Gurney Plaza especially at Charles & Keith for her shoes and bags."

Christoph Gazda and Hong Qi at Gurney Plaza

SHOPPERS SPEAK



"We are regular shoppers at The Mines. Sinma is my daughter's favorite shop while my sisters and I enjoy shopping at Peace Collection and The One for their latest collections. We love to dine at Kenny Rogers Roasters and Pizza Hut once we are tired of shopping, and sometimes we will bring our kids to have fun at the Splash Park before heading home."

Sitiajar Kidun and family at The Mines



"Pepe and Poney are our must visit shops each time we visit The Mines and we are happy to see that lots of new fashion outlets like Voir Gallery, YFS Concept Store and Hush Puppies have opened. We are glad that The Mines now offers more fashion choices, as we can do all our clothing shopping here without the hassle of going through a traffic jam to the city centre."

Wong Siew Theng and family at The Mines



“Sungei Wang Plaza has a lot of shops and wide variety clothing that is in the latest style, as well as food offerings. It is convenient to come for shopping and I have been coming here to shop for five years now.”

Wini Tan at Sungei Wang Plaza



“Sungei Wang Plaza provides a lot of choice as well as reasonable prices. Items sold here are unique and hard to find elsewhere. I can find everything that I want at Sungei Wang Plaza, including clothes, shoes, eyewear and a lot more.”

Muhamad Fahdil Bin Akmal at Sungei Wang Plaza

SHOPPERS SPEAK



“I am from Manchester, England, and am in the East Coast of Peninsular Malaysia for business. This is my first visit to East Coast Mall and it has not disappointed me. It has a great ambience, tenant mix and sets the benchmark as far as shopping malls in this part of Malaysia go. I shall be back to East Coast Mall on my next visit to the East Coast of Malaysia.”

Mark Whittaker at East Coast Mall



“East Coast Mall is a great place to shop and catch up with friends. Its strategic location in Kuantan is one of the main reasons that working professionals like us meet up here, be it for business or leisure. We love East Coast Mall because of its regular promotions and events which cater to individuals, groups and families. The great ambience and variety of brands make East Coast Mall the most happening place in this region.”

Norhanidah Bt Nordin and Quek Ai Ling at East Coast Mall

FINANCIAL STATEMENTS

Statements of Financial Position

as at 31 December 2012

	Note	31.12.2012 RM'000	Group 31.12.2011 RM'000	1.1.2011 RM'000	31.12.2012 RM'000	Trust 31.12.2011 RM'000	1.1.2011 RM'000
Assets							
Plant and equipment	3	2,420	1,093	1,097	2,420	1,093	1,097
Investment properties	4	2,936,000	2,781,000	2,143,000	2,936,000	2,781,000	2,143,000
Investment in subsidiary	5	-	-	-	*	*	-
Total non-current assets		<u>2,938,420</u>	<u>2,782,093</u>	<u>2,144,097</u>	<u>2,938,420</u>	<u>2,782,093</u>	<u>2,144,097</u>
Trade and other receivables	6	24,407	9,192	6,692	24,407	9,184	6,692
Amount due from subsidiary	7	-	-	-	3,411	-	-
Cash and cash equivalents	8	158,965	115,417	127,431	155,432	115,417	127,431
Total current assets		<u>183,372</u>	<u>124,609</u>	<u>134,123</u>	<u>183,250</u>	<u>124,601</u>	<u>134,123</u>
Total assets		<u>3,121,792</u>	<u>2,906,702</u>	<u>2,278,220</u>	<u>3,121,670</u>	<u>2,906,694</u>	<u>2,278,220</u>
Equity							
Unitholders' capital	9	1,815,222	1,806,696	1,325,560	1,815,222	1,806,696	1,325,560
Undistributed profit		301,366	145,147	109,396	301,381	145,154	109,396
Total unitholders' funds		<u>2,116,588</u>	<u>1,951,843</u>	<u>1,434,956</u>	<u>2,116,603</u>	<u>1,951,850</u>	<u>1,434,956</u>
Liabilities							
Borrowings	10	815,534	815,231	745,122	517,298	815,231	745,122
Tenants' deposits		50,988	47,186	23,512	50,988	47,186	23,512
Amount due to subsidiary	7	-	-	-	300,000	-	-
Total non-current liabilities		<u>866,522</u>	<u>862,417</u>	<u>768,634</u>	<u>868,286</u>	<u>862,417</u>	<u>768,634</u>
Borrowings	10	54,000	9,000	-	54,000	9,000	-
Tenants' deposits		27,412	21,936	20,956	27,412	21,936	20,956
Trade and other payables	11	57,270	61,506	53,674	55,369	61,491	53,674
Total current liabilities		<u>138,682</u>	<u>92,442</u>	<u>74,630</u>	<u>136,781</u>	<u>92,427</u>	<u>74,630</u>
Total liabilities		<u>1,005,204</u>	<u>954,859</u>	<u>843,264</u>	<u>1,005,067</u>	<u>954,844</u>	<u>843,264</u>
Total equity and liabilities		<u>3,121,792</u>	<u>2,906,702</u>	<u>2,278,220</u>	<u>3,121,670</u>	<u>2,906,694</u>	<u>2,278,220</u>
Net assets value (NAV)							
- before income distribution		2,116,588	1,951,843	1,434,956	2,116,603	1,951,850	1,434,956
- after income distribution		2,041,624	1,931,748	1,389,046	2,041,639	1,931,755	1,389,046
Units in circulation ('000)	9	<u>1,768,038</u>	<u>1,762,652</u>	<u>1,350,000</u>	<u>1,768,038</u>	<u>1,762,652</u>	<u>1,350,000</u>
NAV per unit (RM)							
- before income distribution		1.1971	1.1073	1.0629	1.1971	1.1073	1.0629
- after income distribution		1.1547	1.0959	1.0289	1.1547	1.0959	1.0289

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income for the financial year ended 31 December 2012

	Note	Group		Trust	
		2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Gross rental income		233,426	193,995	233,426	193,995
Car park income		18,417	15,029	18,417	15,029
Other revenue		37,373	21,863	37,373	21,863
Gross revenue		289,216	230,887	289,216	230,887
Maintenance expenses		(22,505)	(19,798)	(22,505)	(19,798)
Utilities		(37,832)	(24,036)	(37,832)	(24,036)
Other operating expenses	12	(32,895)	(24,658)	(32,895)	(24,658)
Property operating expenses		(93,232)	(68,492)	(93,232)	(68,492)
Net property income		195,984	162,395	195,984	162,395
Interest income		3,972	3,063	3,972	3,063
Other non-operating income	16	96	2,305	96	2,305
Fair value gain of investment properties		113,380	68,910	113,380	68,910
Net investment income		313,432	236,673	313,432	236,673
Manager's management fee	13	(19,224)	(16,286)	(19,224)	(16,286)
Trustee's fee	14	(505)	(464)	(505)	(464)
Auditor's fee		(162)	(142)	(158)	(140)
Tax agent's fee		(32)	(20)	(29)	(20)
Valuation fee		(228)	(250)	(228)	(250)
Finance costs	15	(42,271)	(38,707)	(42,271)	(38,707)
Other non-operating expenses		(545)	(990)	(544)	(985)
Total non-operating and trust expenses		(62,967)	(56,859)	(62,959)	(56,852)
Profit before taxation		250,465	179,814	250,473	179,821
Tax expense	17	-	-	-	-
Profit for the financial year		250,465	179,814	250,473	179,821
Other comprehensive income, net of tax		-	-	-	-
Total comprehensive income for the financial year		250,465	179,814	250,473	179,821
Less: Distribution adjustments	A	(101,186)	(61,531)	(101,194)	(61,538)
Income available for distribution		149,279	118,283	149,279	118,283
Distributable income¹	19	149,115	118,258	149,115	118,258

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income for the financial year ended 31 December 2012 (continued)

	Note	Group		Trust	
		2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised		137,085	110,904	137,093	110,911
Unrealised		113,380	68,910	113,380	68,910
		<u>250,465</u>	<u>179,814</u>	<u>250,473</u>	<u>179,821</u>
		=====	=====	=====	=====
Earnings per unit (sen)	18				
- before Manager's management fee		15.28	13.09	15.28	13.09
- after Manager's management fee		14.19	12.00	14.19	12.00
Distribution per unit (DPU) (sen)					
- for the financial year		8.44	7.87	8.44	7.87
Income distribution²					
Distribution of 1.74 sen per unit from 1.1.2011 to 24.3.2011				-	23,490
Distribution of 2.16 sen per unit from 25.3.2011 to 30.6.2011				-	32,289
Distribution of 2.83 sen per unit from 1.7.2011 to 10.11.2011				-	42,384
Distribution of 1.14 sen per unit from 11.11.2011 to 31.12.2011				-	20,095
Distribution of 4.20 sen per unit from 1.1.2012 to 30.6.2012				74,151	-
Proposed distribution of 4.24 sen per unit from 1.7.2012 to 31.12.2012 ³	28			74,964	-
				<u>149,115</u>	<u>118,258</u>
				=====	=====

1. The difference between income available for distribution and distributable income is due to the rollover adjustment for the rounding effect of DPU.
2. Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.
3. The proposed final income distribution will be recognised in the immediate subsequent financial year.

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income for the financial year ended 31 December 2012 (continued)

	Note	Group		Trust	
		2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Note A					
Distribution adjustments comprise:					
Fair value gain of investment properties	4	(113,380)	(68,910)	(113,380)	(68,910)
Manager's management fee payable in units		8,162	7,714	8,162	7,714
Listing expenses	16	-	(2,085)	-	(2,085)
Depreciation	3	859	527	859	527
Amortisation of transaction costs on borrowings	15	2,041	920	2,015	920
Net loss from subsidiary*		8	7	-	-
Other tax adjustments		1,124	296	1,150	296
		<u>(101,186)</u>	<u>(61,531)</u>	<u>(101,194)</u>	<u>(61,538)</u>
		=====	=====	=====	=====

* Net loss from subsidiary relates to the wholly-owned subsidiary as set out in Note 5.

The accompanying notes form an integral part of these financial statements.

Statements of Changes in Net Asset Value for the financial year ended 31 December 2012

Group	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
At 1 January 2011	1,325,560	28,049	81,347	1,434,956
Total comprehensive income for the financial year	-	110,904	68,910	179,814
Increase in net assets resulting from operations	1,325,560	138,953	150,257	1,614,770
Unitholders' transactions				
- Issue of new units	483,550	-	-	483,550
- Units issued as part satisfaction of the Manager's management fee	6,808	-	-	6,808
- Placement expenses	(9,222)	-	-	(9,222)
- Distribution paid to unitholders	-	(144,063)	-	(144,063)
Increase in net assets resulting from unitholders' transactions	481,136	(144,063)	-	337,073
At 31 December 2011/1 January 2012	1,806,696	(5,110)	150,257	1,951,843
Total comprehensive income for the financial year	-	137,085	113,380	250,465
Increase in net assets resulting from operations	1,806,696	131,975	263,637	2,202,308
Unitholders' transactions				
- Units issued as part satisfaction of the Manager's management fee	8,105	-	-	8,105
- Reversal of placement expenses	421	-	-	421
- Distribution paid to unitholders	-	(94,246)	-	(94,246)
Increase in net assets resulting from unitholders' transactions	8,526	(94,246)	-	(85,720)
At 31 December 2012	1,815,222	37,729	263,637	2,116,588

Note 9

The accompanying notes form an integral part of these financial statements.

Statements of Changes in Net Asset Value for the financial year ended 31 December 2012 (continued)

Trust	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
At 1 January 2011	1,325,560	28,049	81,347	1,434,956
Total comprehensive income for the financial year	-	110,911	68,910	179,821
Increase in net assets resulting from operations	1,325,560	138,960	150,257	1,614,777
Unitholders' transactions				
- Issue of new units	483,550	-	-	483,550
- Units issued as part satisfaction of the Manager's management fee	6,808	-	-	6,808
- Placement expenses	(9,222)	-	-	(9,222)
- Distribution paid to unitholders	-	(144,063)	-	(144,063)
Increase in net assets resulting from unitholders' transactions	481,136	(144,063)	-	337,073
At 31 December 2011/1 January 2012	1,806,696	(5,103)	150,257	1,951,850
Total comprehensive income for the financial year	-	137,093	113,380	250,473
Increase in net assets resulting from operations	1,806,696	131,990	263,637	2,202,323
Unitholders' transactions				
- Units issued as part satisfaction of the Manager's management fee	8,105	-	-	8,105
- Reversal of placement expenses	421	-	-	421
- Distribution paid to unitholders	-	(94,246)	-	(94,246)
Increase in net assets resulting from unitholders' transactions	8,526	(94,246)	-	(85,720)
At 31 December 2012	1,815,222	37,744	263,637	2,116,603
Note 9				

The accompanying notes form an integral part of these financial statements.

Statements of Cash Flow

for the financial year ended 31 December 2012

		Group		Trust	
	Note	2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Cash flows from operating activities					
Profit before taxation		250,465	179,814	250,473	179,821
Adjustments for:					
Manager's management fee payable in units		8,162	7,714	8,162	7,714
Depreciation	3	859	527	859	527
Fair value gain of investment properties	4	(113,380)	(68,910)	(113,380)	(68,910)
Finance costs	15	42,271	38,707	42,271	38,707
Interest income		(3,972)	(3,063)	(3,972)	(3,063)
Listing expenses	16	-	(2,085)	-	(2,085)
Operating profit before changes in working capital		184,405	152,704	184,413	152,711
Changes in working capital:					
Trade and other receivables		(15,215)	(2,500)	(15,222)	(2,493)
Trade and other payables		(12,475)	474	(12,476)	460
Tenants' deposits		9,278	24,654	9,278	24,654
Amount due to subsidiary		-	-	296,123	-
Net cash from operating activities		165,993	175,332	462,116	175,332
Cash flows from investing activities					
Acquisition of plant and equipment	3	(2,186)	(523)	(2,186)	(523)
Acquisition of investment properties		-	(532,659)	-	(532,659)
Capital expenditure on investment properties		(27,145)	(27,775)	(27,145)	(27,775)
Investment in subsidiary		-	*	-	*
Interest received		3,972	3,063	3,972	3,063
Net cash used in investing activities		(25,359)	(557,894)	(25,359)	(557,894)

The accompanying notes form an integral part of these financial statements.

Statements of Cash Flow

for the financial year ended 31 December 2012

(continued)

	Note	Group		Trust	
		2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Cash flows from financing activities					
Interest paid		(45,484)	(37,472)	(45,484)	(37,472)
Distribution paid to unitholders		(94,246)	(144,063)	(94,246)	(144,063)
Payment of financing expenses		(738)	(561)	(394)	(561)
Payment of listing expenses		(1,618)	(9,656)	(1,618)	(9,656)
Proceeds from issuance of new units		-	483,550	-	483,550
Proceeds from interest bearing borrowings		54,000	78,750	54,000	78,750
Proceeds from issuance of medium term notes		300,000	-	-	-
Repayment of interest bearing borrowings		(309,000)	-	(309,000)	-
Placement of pledged deposits with a licensed bank		(3,533)	-	-	-
Net cash (used in)/from financing activities		(100,619)	370,548	(396,742)	370,548
Net increase/(decrease) in cash and cash equivalents		40,015	(12,014)	40,015	(12,014)
Cash and cash equivalents at 1 January		115,417	127,431	115,417	127,431
Cash and cash equivalents at 31 December		155,432	115,417	155,432	115,417
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		149,216	96,890	145,714	96,890
Cash and bank balances		9,749	18,527	9,718	18,527
	8	158,965	115,417	155,432	115,417
Less: Pledged deposits		(3,533)	-	-	-
		155,432	115,417	155,432	115,417

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

Notes to the Financial Statements

CapitaMalls Malaysia Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust constituted by a deed dated 7 June 2010 (the Deed) entered into between CapitaMalls Malaysia REIT Management Sdn. Bhd. (the Manager) and AmTrustee Berhad (the Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 9 June 2010 and is regulated by the SC, the SC's Guidelines on Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2012 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Retail RECM Pte. Ltd., which is a wholly-owned subsidiary of CapitaMalls Asia Limited (CMA). Both companies are incorporated in Singapore.

The Manager's registered office and principal place of business are as follows:

Level 2, Ascott Kuala Lumpur
No 9, Jalan Pinang
50450 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 8 February 2013.

1. Basis of preparation

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards. These are the Group and the Trust's first financial statements prepared in accordance with MFRSs and MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards* has been applied.

In the previous financial years, the financial statements of the Group and the Trust were prepared in accordance with Financial Reporting Standards (FRSs) in Malaysia. There were no financial impacts on transition to MFRSs.

The Group and the Trust have early adopted the amendments to MFRS 101, *Presentation of Financial Statements* which are effective for annual periods beginning on or after 1 July 2012. The early adoption of the amendments to MFRS 101 has no impact on the financial statements other than the presentation format of the statement of profit or loss and other comprehensive income.

The following are accounting standards, amendments and interpretations of the MFRS framework that have been issued by the Malaysian Accounting Standards Board (MASB) but have not been adopted by the Group and the Trust:

1. Basis of preparation (continued)

(a) Statement of compliance (continued)

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2013

- MFRS 10, *Consolidated Financial Statements*
- MFRS 11, *Joint Arrangements*
- MFRS 12, *Disclosure of Interests in Other Entities*
- MFRS 13, *Fair Value Measurement*
- MFRS 119, *Employee Benefits* (2011)
- MFRS 127, *Separate Financial Statements* (2011)
- MFRS 128, *Investments in Associates and Joint Ventures* (2011)
- IC Interpretation 20, *Stripping Costs in the Production Phase of a Surface Mine*
- Amendments to MFRS 7, *Financial Instruments: Disclosures – Offsetting Financial Assets and Financial Liabilities*
- Amendments to MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards – Government Loans*
- Amendments to MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards (Annual Improvements 2009-2011 Cycle)*
- Amendments to MFRS 101, *Presentation of Financial Statements (Annual Improvements 2009-2011 Cycle)*
- Amendments to MFRS 116, *Property, Plant and Equipment (Annual Improvements 2009-2011 Cycle)*
- Amendments to MFRS 132, *Financial Instruments: Presentation (Annual Improvements 2009-2011 Cycle)*
- Amendments to MFRS 134, *Interim Financial Reporting (Annual Improvements 2009-2011 Cycle)*
- Amendments to MFRS 10, *Consolidated Financial Statements: Transition Guidance*
- Amendments to MFRS 11, *Joint Arrangements: Transition Guidance*
- Amendments to MFRS 12, *Disclosure of Interests in Other Entities: Transition Guidance*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2014

- Amendments to MFRS 132, *Financial Instruments: Presentation – Offsetting Financial Assets and Financial Liabilities*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2015

- MFRS 9, *Financial Instruments* (2009)
- MFRS 9, *Financial Instruments* (2010)
- Amendments to MFRS 7, *Financial Instruments: Disclosures – Mandatory Date of MFRS 9 and Transition Disclosures*

The Group and the Trust plan to apply the abovementioned standards, amendments and interpretations:

- from the annual period beginning on 1 January 2013 for those standards, amendments or interpretations that are effective for annual periods beginning on or after 1 January 2013, except for MFRS 11, *Joint Arrangements*, MFRS 128, *Investments in Associates and Joint Ventures*, Amendments to MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards – Government Loans*, Amendments to MFRS 11 *Joint Arrangements: Transition Guidance* and IC Interpretation 20: *Stripping Costs in the Production Phase of a Surface Mine* which are not applicable to the Group and the Trust.

1. Basis of preparation (continued)

(a) Statement of compliance (continued)

- from the annual period beginning on 1 January 2014 for those standards, amendments or interpretations that are effective for annual periods beginning on or after 1 January 2014.
- from the annual period beginning on 1 January 2015 for those standards, amendments or interpretations that are effective for annual periods beginning on or after 1 January 2015.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised and in any future years affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than as disclosed in Note 4.

2. Significant accounting policies

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

(a) Consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. Control exists when the Trust has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that presently are exercisable are taken into account.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income or expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investees. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

2. Significant accounting policies (continued)

(a) Consolidation (continued)

Accounting for subsidiary by the Trust

Investment in subsidiary is stated in the Trust's statement of financial position at cost less accumulated impairment losses.

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Trust.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies at the end of the financial year are translated to the functional currency at the exchange rates at that date. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date fair value was determined. Foreign currency differences arising on retranslation are recognised in the profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

Gains and losses on disposal of an item of plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and are recognised net within "other operating income" or "other operating expenses" respectively in the profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and to the Trust and their costs can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of equipment are recognised in the profit or loss as incurred.

2. Significant accounting policies (continued)

(c) Plant and equipment (continued)

(iii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment.

The estimated useful lives are as follows:

Computer	2 - 3 years
Office equipment	3 - 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the financial year.

(d) Investment properties

Investment properties are properties held under leasehold or freehold interest either to earn rental income or for capital appreciation or for both. They do not include properties for sale in the ordinary course of business, used in the production or supply of goods or services, or for administrative purposes. Investment properties are initially recognised at cost including transaction costs, and subsequently at fair value with any change therein recognised in the profit or loss for the year in which they arise.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in the profit or loss in the year in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or CMMT may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

(e) Leases

Lessees of an operating lease

Where the Group and the Trust have the use of assets under operating leases, payments made under the leases are recognised in the profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised in the profit or loss as an integral part of the total lease payments made. Contingent rents are charged to the profit or loss in the financial year in which they are incurred.

Lessors of an operating lease

Assets of the Group and of the Trust subject to operating leases are included in investment properties and are stated at fair value and not depreciated.

2. Significant accounting policies (continued)

(f) Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, borrowings and trade and other payables.

(i) Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method, less impairment losses, if any.

(ii) Cash and cash equivalents

Cash and cash equivalents comprise cash balances and bank deposits.

(iii) Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest bearing borrowings are stated at amortised cost using the effective interest method.

(iv) Trade and other payables

Trade and other payables, including tenants' deposits, are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method.

(v) Provision

A provision is recognised if, as a result of a past event, the Group and the Trust have a present or legal or constructive obligation that can be estimated reliably and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

A financial instrument is recognised if the Group and the Trust become parties to the contractual provisions of the instrument. Financial assets are derecognised if the Group's and the Trust's contractual rights to the cash flow from the financial assets expire or if the Group and the Trust transfer the financial asset to another party without retaining control or if the Group and the Trust transfer substantially all the risks and rewards of the asset. Regular way purchases and sales of financial assets are accounted for at trade date, i.e. the date that the Group and the Trust commit themselves to purchase or sell the asset. Financial liabilities are derecognised if the Group's and the Trust's obligations specified in the contract expire or are discharged or cancelled.

(g) Impairment

(i) Financial assets

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of the assets.

2. Significant accounting policies (continued)

(g) Impairment (continued)

(i) Financial assets (continued)

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in the profit or loss. An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in the profit or loss.

(ii) Other assets

The carrying amounts of the Group's and of the Trust's other assets, other than investment properties, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset and cash generating unit.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in the profit or loss.

(h) Revenue recognition

(i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in the profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial year on an accrual basis. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised on an accrual basis.

(i) Interest income

Interest income is recognised as it accrues, using the effective interest method.

2. Significant accounting policies (continued)

(j) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of CMMT and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 13.

(iii) Trustee's fee

The Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in the profit or loss using the effective interest method over the tenure of borrowings.

(k) Tax expense

Tax expense comprises current and deferred tax. Tax expense is recognised in the statement of comprehensive income.

Current tax is the expected tax payable on the taxable income for the reporting period, using tax rates enacted or substantively enacted at the end of the reporting period.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit (tax loss). Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax liability is recognised for all taxable temporary differences.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3. Plant and equipment

Group and the Trust	Computer RM'000	Office equipment RM'000	Total RM'000
Cost			
At 1 January 2011	383	1,008	1,391
Additions	191	332	523
At 31 December 2011/1 January 2012	574	1,340	1,914
Additions	1,627	559	2,186
At 31 December 2012	2,201	1,899	4,100
Accumulated depreciation			
At 1 January 2011	114	180	294
Depreciation for the year	184	343	527
At 31 December 2011/1 January 2012	298	523	821
Depreciation for the year	422	437	859
At 31 December 2012	720	960	1,680
Carrying amounts			
At 1 January 2011	269	828	1,097
At 31 December 2011	276	817	1,093
At 31 December 2012	1,481	939	2,420

4. Investment properties

Group and the Trust	2012 RM'000	2011 RM'000
At 1 January	2,781,000	2,143,000
Acquisition of investment properties	-	533,248
Capital expenditure capitalised	41,620	39,838
Acquisition charges reversed	-	(3,996)
Fair value gain	113,380	68,910
At 31 December	2,936,000	2,781,000

4. Investment properties (continued)

Investment properties refer to shopping malls which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three (3) years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM8,749,000 (2011: RM7,056,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza (including Gurney Plaza Extension) and The Mines, collectively equivalent to RM1,768,000,000 (2011: RM1,659,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall and the CMMT's 205 strata titles in Sungei Wang Plaza are not encumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Date of valuation	Location	Tenure	Cost of investment ¹ RM'000	Fair value at 31 December 2012 RM'000	% of fair value to NAV at 31 December 2012 ⁴ %
Gurney Plaza ²	14 Jul 2010 & 28 Mar 2011	31 Dec 2012	Penang	Freehold	1,063,276	1,174,000	55.5
Sungei Wang Plaza	14 Jul 2010	31 Dec 2012	Kuala Lumpur	Freehold	732,002	819,000	38.7
The Mines	14 Jul 2010	31 Dec 2012	Selangor	Leasehold ³	557,086	594,000	28.1
East Coast Mall	14 Nov 2011	31 Dec 2012	Pahang	Leasehold ³	319,999	349,000	16.5
					<u>2,672,363</u>	<u>2,936,000</u>	
					=====	=====	

¹ Cost of investment comprises purchase consideration and capital expenditure incurred from inception up to the end of the financial year.

² Includes Gurney Plaza Extension which was acquired on 28 March 2011.

³ The lease has an unexpired lease period of more than 50 years.

⁴ This is calculated in accordance with the REITs Guidelines.

4. Investment properties (continued)

Investment properties are stated at fair values based on valuations performed by independent professional valuers based on the income capitalisation approach (investment method) of valuation. In determining the fair values, the valuers have used valuation techniques which involved certain significant estimates which include capitalisation rates and property yield. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates are reflective of current market conditions.

All land/strata titles have been transferred and registered in the name of the Trustee.

The following are recognised in the profit or loss in respect of investment properties:

	Group and the Trust	
	2012	2011
	RM'000	RM'000
Gross revenue	289,216	230,887
Less: Direct operating expenses	(93,232)	(68,492)
Net property income	195,984	162,395
	=====	=====

5. Investment in subsidiary

	31.12.2012	Trust 31.12.2011	1.1.2011
	RM'000	RM'000	RM'000
At cost			
Unquoted shares	*	*	-
	=====	=====	=====

CMMT holds 100.0% equity interest in CMMT MTN Berhad, a special purpose vehicle incorporated in Malaysia. Its principal activity is to raise financing on behalf of CMMT through the issuance of rated/unrated secured Medium Term Notes (MTN) under the Medium Term Note Programme as set out in Note 10(iii).

* Denotes RM2.

6. Trade and other receivables

	Group			Trust		
	31.12.2012	31.12.2011	1.1.2011	31.12.2012	31.12.2011	1.1.2011
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Trade						
Trade receivables	5,238	5,245	4,601	5,238	5,245	4,601
Less: Allowance for impairment losses	(459)	(536)	(160)	(459)	(536)	(160)
	<u>4,779</u>	<u>4,709</u>	<u>4,441</u>	<u>4,779</u>	<u>4,709</u>	<u>4,441</u>
	=====	=====	=====	=====	=====	=====
Non-trade						
Deposits	95	63	55	95	63	55
Interest receivable	635	242	105	635	242	105
Prepayments	14,431	606	180	14,431	606	180
Other receivables	4,467	3,572	1,911	4,467	3,564	1,911
	<u>19,628</u>	<u>4,483</u>	<u>2,251</u>	<u>19,628</u>	<u>4,475</u>	<u>2,251</u>
	=====	=====	=====	=====	=====	=====
	<u>24,407</u>	<u>9,192</u>	<u>6,692</u>	<u>24,407</u>	<u>9,184</u>	<u>6,692</u>
	=====	=====	=====	=====	=====	=====

Included in other receivables is a reimbursement receivable from a related party of RM244 (31 December 2011: RM11,438; 1 January 2011; RM6,550).

The ageing of the trade receivables at the end of the financial year is as follows:

Group and the Trust

	Gross amount RM'000	Allowance for impairment losses RM'000	Carrying amount RM'000
31 December 2012			
Not past due	63	-	63
Past due 1-30 days	3,112	-	3,112
Past due 31-90 days	676	(4)	672
More than 90 days	1,387	(455)	932
	<u>5,238</u>	<u>(459)</u>	<u>4,779</u>
	=====	=====	=====
31 December 2011			
Not past due	156	-	156
Past due 1-30 days	3,247	(80)	3,167
Past due 31-90 days	817	(145)	672
More than 90 days	1,025	(311)	714
	<u>5,245</u>	<u>(536)</u>	<u>4,709</u>
	=====	=====	=====

6. Trade and other receivables (continued)

	Gross amount RM'000	Allowance for impairment losses RM'000	Carrying amount RM'000
1 January 2011			
Not past due	109	-	109
Past due 1-30 days	3,327	-	3,327
Past due 31-90 days	874	(38)	836
More than 90 days	291	(122)	169
	<u>4,601</u>	<u>(160)</u>	<u>4,441</u>
	=====	=====	=====

The movement in allowance for impairment losses of trade receivables during the financial year is as follows:

	Group and the Trust	
	2012	2011
	RM'000	RM'000
At 1 January	536	160
Impairment losses (written back)/recognised	(77)	376
	<u>459</u>	<u>536</u>
At 31 December	=====	=====

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits are held as collateral.

7. Amount due from/(to) subsidiary

The amount due from subsidiary of RM3,411,000 is unsecured, interest free and is repayable on demand.

The amount due to subsidiary of RM300,000,000 is pursuant to a REIT Trustee Financing Agreement entered into by the Trustee on behalf of CMMT and the subsidiary on 7 December 2012 where the funds raised from the unrated and secured MTN, as detailed in Note 10(iii), were advanced to CMMT. The amount due to subsidiary is secured, subject to interest at approximately 4.5% per annum which is payable semi-annually and the principal is repayable in 2016.

8. Cash and cash equivalents

	Group			Trust		
	31.12.2012	31.12.2011	1.1.2011	31.12.2012	31.12.2011	1.1.2011
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Deposits placed with licensed banks	149,216	96,890	120,856	145,714	96,890	120,856
Cash and bank balances	9,749	18,527	6,575	9,718	18,527	6,575
	<u>158,965</u>	<u>115,417</u>	<u>127,431</u>	<u>155,432</u>	<u>115,417</u>	<u>127,431</u>
	=====	=====	=====	=====	=====	=====

Gurney Plaza (including Gurney Plaza Extension) maintains separate designated revenue account and The Mines maintains separate designated revenue and operating accounts with a licensed bank as mentioned in Note 10. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and bank balances is RM2,887,000 (31 December 2011: RM3,277,000; 1 January 2011: RM1,453,000).

Included in the Group's deposits placed with licensed banks are pledged deposits of RM3,533,000 (2011: Nil). This is in relation to a separate Debt Service Reserves Account and Trustee Reimbursement Account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(iii). The deposits are maintained with a licensed bank and the funds are restricted in use.

9. Unitholders' capital

	31.12.2012	31.12.2011
	Number of units '000	Number of units '000
Trust		
Approved fund size:		
At 1 January	1,936,763	1,350,000
New units for funding acquisition of Gurney Plaza Extension	-	144,859
New units for funding acquisition of East Coast Mall	-	261,904
New units for payment of management fee in lieu of cash	-	180,000
	<u>1,936,763</u>	<u>1,936,763</u>
	=====	=====
At 31 December		

9. Unitholders' capital (continued)

	Amount 2012 RM'000	Number of units 2012 '000	Amount 2011 RM'000	Number of units 2011 '000
Trust				
Issued and fully paid:				
At 1 January	1,806,696	1,762,652	1,325,560	1,350,000
Issue of new units	-	-	483,550	406,763
Units issued as part satisfaction of the Manager's management fee	8,105	5,386	6,808	5,889
Placement expenses reversed/ (recognised)	421	-	(9,222)	-
At 31 December	<u>1,815,222</u>	<u>1,768,038</u>	<u>1,806,696</u>	<u>1,762,652</u>

Unitholdings of the Manager and parties related to the Manager

The interests of the Manager, the Directors of the Manager and parties related to the Manager in CMMT, are as follows:

	Number of units '000	Percentage of unitholding %	Market value *** RM'000
31 December 2012			
Direct unitholdings of the Manager	2,540	0.14	4,572
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	623,938	35.29	1,123,088
Menang Investment Limited	8,735	0.49	15,724
Skim Amanah Saham Bumiputera *	100,000	5.66	180,000
AS 1 Malaysia *	20,000	1.13	36,000
Amanah Saham Wawasan 2020 *	35,049	1.98	63,088
Sekim Amanah Saham Nasional *	4,500	0.25	8,100
Amanah Saham Malaysia *	29,000	1.64	52,200
Amanah Saham Nasional 2 *	1,368	0.08	2,463
Amanah Saham Nasional 3 Imbang *	551	0.03	992
Amanah Saham Gemilang for Amanah Saham Persaraan *	258	0.01	464
Amanah Saham Gemilang for Amanah Saham Kesihatan *	450	0.03	810
Amanah Saham Gemilang for Amanah Saham Pendidikan *	347	0.02	624

9. Unitholders' capital (continued)

Unitholdings of the Manager and parties related to the Manager (continued)

	Number of units '000	Percentage of unitholding %	Market value *** RM'000
31 December 2012			
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2012</i>			
Mr Lim Beng Chee **	100	0.01	180
Mr Ng Kok Siong **	100	0.01	180
Ms Sharon Lim Hwee Li	100	0.01	180
Ms Tan Siew Bee	100	0.01	180
Mr Peter Tay Buan Huat	100	0.01	180
	<u>827,236</u>	<u>46.80</u>	<u>1,489,025</u>
	=====	=====	=====
31 December 2011			
Direct unitholdings of the Manager	-	-	-
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	623,938	35.40	898,471
Menang Investment Limited	5,889	0.33	8,480
Skim Amanah Saham Bumiputera *	115,643	6.56	166,526
AS 1 Malaysia *	23,216	1.32	33,431
Amanah Saham Wawasan 2020 *	35,049	1.99	50,471
Sekim Amanah Saham Nasional *	5,518	0.31	7,947
Amanah Saham Malaysia *	30,000	1.70	43,200
Amanah Saham Nasional 2 *	2,518	0.14	3,627
Amanah Saham Nasional 3 Imbang *	751	0.04	1,081
Amanah Saham Gemilang for Amanah Saham Persaraan *	338	0.02	486
Amanah Saham Gemilang for Amanah Saham Kesihatan *	550	0.03	791
Amanah Saham Gemilang for Amanah Saham Pendidikan *	447	0.03	643
PNB Structured Investment Fund *	5,329	0.30	7,673

9. Unitholders' capital (continued)

Unitholdings of the Manager and parties related to the Manager (continued)

31 December 2011	Number of units '000	Percentage of unitholding %	Market value *** RM'000
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2011</i>			
Mr Kee Teck Koon	100	0.01	144
Mr Lim Beng Chee **	100	0.01	144
Mr Ng Kok Siong **	100	0.01	144
Ms Sharon Lim Hwee Li	100	0.01	144
Datuk Gnanachandran S. Ayadurai	100	0.01	144
Ms Tan Siew Bee	100	0.01	144
Mr Peter Tay Buan Huat	100	0.01	144
	<u>849,886</u>	<u>48.24</u>	<u>1,223,835</u>
	=====	=====	=====

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CMA who in turn is the ultimate holding company of the Manager.

Funds marked as * are managed by Amanah Saham Nasional Berhad (ASNB), a wholly-owned subsidiary of Permodalan Nasional Berhad (PNB), except for PNB Structured Investment Fund which is managed by Amanah Mutual Berhad, a wholly-owned subsidiary of ASNB where PNB is the ultimate holding company. PNB is the ultimate holding company of Malaysian Industrial Development Finance Berhad (MIDF) who, in turn, is a substantial shareholder of the Manager.

** Units held through nominees.

*** The market value of the units for respective year is computed based on the closing market price of RM1.80 per unit as at 31 December 2012 and RM1.44 per unit as at 30 December 2011.

10. Borrowings

	Group			Trust		
	31.12.2012	31.12.2011	1.1.2011	31.12.2012	31.12.2011	1.1.2011
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Non-current						
Secured term loans						
- Fixed rate	363,825	573,825	525,000	363,825	573,825	525,000
- Floating rate	155,925	245,925	225,000	155,925	245,925	225,000
Unrated and secured MTN	300,000	-	-	-	-	-
Less: Unamortised transaction costs	(4,216)	(4,519)	(4,878)	(2,452)	(4,519)	(4,878)
	<u>815,534</u>	<u>815,231</u>	<u>745,122</u>	<u>517,298</u>	<u>815,231</u>	<u>745,122</u>
	=====	=====	=====	=====	=====	=====
Current						
Unsecured revolving credit	54,000	9,000	-	54,000	9,000	-
	<u>869,534</u>	<u>824,231</u>	<u>745,122</u>	<u>571,298</u>	<u>824,231</u>	<u>745,122</u>
	=====	=====	=====	=====	=====	=====

10. Borrowings (continued)

(i) Existing Facility Agreement 1

CMMT had entered into a facility agreement dated 10 June 2010 (First Facility Agreement) in respect of financing facilities in the aggregate principal amount of RM811,000,000 (Existing Facility 1) with a licensed bank (Lender 1).

On 14 July 2010, CMMT had drawn down the principal sum of RM750,000,000 under Existing Facility 1 to part finance the acquisition of investment properties. The secured properties under Existing Facility 1 were Gurney Plaza and The Mines.

The principal amount due under the Existing Facility 1 is to be repaid by way of bullet repayments of RM300,000,000 at the end of the fifth year and RM450,000,000 at the end of the seventh year from the date of draw down, 14 July 2010.

On 20 December 2012, CMMT repaid a secured term loan of RM300,000,000 under the Existing Facility 1 and subsequently redeemed all the charges in relation to The Mines from Lender 1.

The average effective interest rate for the Existing Facility 1 is approximately 4.7% (31 December 2011 and 1 January 2011: 4.7%) per annum.

The remaining outstanding Existing Facility 1 is secured by, among others, the following:

- a) the First Facility Agreement;
- b) in respect of Gurney Plaza¹:
 - i) a deed of assignment in respect of, among other things, the Gurney Plaza Principal Agreement² (excluding the rights, title, interest and benefits in relation to Gurney Plaza Extension³), the Gurney Plaza SPA⁴ and the deed of assignment in favour of CMMT in respect of the Gurney Plaza Principal Agreement (collectively, the Gurney Plaza Documents) incorporating an irrevocable power of attorney to deal with Gurney Plaza;
 - ii) a first party land charge over the Gurney Plaza Land Title⁵;
 - iii) deposit of the originals of the Gurney Plaza Documents with Lender 1;
 - iv) a deed of assignment in respect of the rental proceeds payable under the various tenancies of Gurney Plaza; and
 - v) a deed of assignment in respect of the account opened for the purpose of depositing all rental proceeds generated from Gurney Plaza (GP Bank Account Assignment).

¹ Gurney Plaza refers to:
an eight storey shopping mall known as "Gurney Plaza" with two levels of basements erected on the land held under Geran 97112 for Lot 2903, Section 1 in the Town of Georgetown, District of Timor Laut, State of Penang.

² Gurney Plaza Principal Agreement refers to:
the Gurney Plaza principal sale and purchase agreement dated 15 August 2007 made between CapitaRetail Gurney Sdn. Bhd. and Gurney Plaza Sdn. Bhd. in relation to the acquisition of Gurney Plaza by CapitaRetail Gurney Sdn. Bhd..

³ Gurney Plaza Extension refers to:
a nine storey retail extension block adjoining Gurney Plaza.

⁴ Gurney Plaza SPA refers to:
The conditional sale and purchase agreement dated 10 June 2010 entered into between the Trustee and CapitaRetail Gurney Sdn. Bhd., in relation to the acquisition of Gurney Plaza by CMMT.

⁵ GP Land Title refers to:
all that piece of freehold land held under H.S.(D) 17259 for Lot 5626, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang on which there has been erected thereon both Gurney Plaza and Gurney Plaza Extension.

10. Borrowings (continued)

(i) Existing Facility Agreement 1 (continued)

Covenants include an undertaking to deposit all rental proceeds generated from Gurney Plaza into separate designated revenue account and an obligation for CMMT to ensure that, during the subsistence of the Existing Facility 1, CMA will maintain no less than a 51.0% direct or indirect shareholding in the Manager of CMMT and a 20.0% direct or indirect unitholding in CMMT.

(ii) Existing Facility Agreement 2

CMMT had further entered into a facility agreement dated 17 March 2011 (Second Facility Agreement) with Lender 1 in respect of additional banking facilities in the aggregate principal sum of RM89,750,000 (Existing Facility 2) with Lender 1.

On 28 March 2011, CMMT had drawn down the principal sum of RM69,750,000 under the Existing Facility 2 to part finance the acquisition of Gurney Plaza Extension.

The principal sum of RM69,750,000 due under Existing Facility 2 is to be repaid by way of bullet repayment of the said amount due at the end of the tenure, i.e. seven years from the date of draw down, 28 March 2011.

The average effective interest rate for the Existing Facility 2 is approximately 4.7% (31 December 2011: 4.7%) per annum.

The Existing Facility 2 is secured by, among others, the following:

- a) the Second Facility Agreement;
- b) a first party land charge over the Gurney Plaza Land Title;
- c) a deed of assignment in respect of the rental proceeds payable under the various tenancies of Gurney Plaza Extension; and
- d) a supplemental deed of assignment in respect of the GP Bank Account Assignment.

(iii) Medium Term Note Programme

On 6 June 2012, the subsidiary received approval from the SC vide its letter dated 5 June 2012 to establish a 20-year MTN Programme of up to RM3,000,000,000 in nominal value, pursuant to which rated/unrated MTNs may be issued from time to time (MTN Programme). The net proceeds from the issue of the MTNs (after deducting issue expenses) will be utilised to refinance existing borrowings and to finance investments, capital expenditure, asset enhancement initiatives and working capital of CMMT. The subsidiary will also be allowed to use the proceeds to refinance maturing MTNs on their respective maturity dates subsequent to the first issuance.

On 20 December 2012, the subsidiary successfully issued a RM300,000,000 four-year unrated and secured MTN (the TM Issue). The net proceeds were used to refinance part of the Existing Facility 1. The TM Issue bears a coupon rate of approximately 4.5% per annum which is payable semi-annually.

10. Borrowings (continued)

(iii) Medium Term Note Programme (continued)

The TM Issue is secured by, among others, the following:

- third party legal charge over a five storey shopping mall erected on a piece of leasehold land held under H.S.(D) 59894, P.T. No. 16722, Mukim and District of Petaling, Selangor Darul Ehsan which comprises gross floor area of 1,257,086 square feet, five retail floors and car park area, collectively known as The Mines (TM or the Secured Property);
- third party legal assignment by AmTrustee Berhad, being Trustee of CMMT (REIT Trustee), of all tenancy agreements and insurance policies in relation to TM;
- legal charge and assignment by the Issuer over the Debt Service Reserves Account to be opened and maintained in respect of TM;
- legal charge and assignment by the REIT Trustee over the Operating Account and Revenue Account to be opened and maintained in respect of TM; and
- first party legal assignment by the Issuer over the REIT Trustee Financing Agreement (RTFA)¹.

¹ The Trustee had, on 7 December 2012, entered into a back-to-back RTFA in respect of financing facility in the aggregate principal amount of RM300,000,000 which is secured by The Mines with CMMT MTN Berhad (the Issuer).

11. Trade and other payables

	Group			Trust		
	31.12.2012	31.12.2011	1.1.2011	31.12.2012	31.12.2011	1.1.2011
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Current Trade						
Trade payables	16,500	14,130	9,198	16,500	14,130	9,198
Amount due to related parties	7,018	6,531	5,044	7,018	6,531	5,044
	<u>23,518</u>	<u>20,661</u>	<u>14,242</u>	<u>23,518</u>	<u>20,661</u>	<u>14,242</u>
	-----	-----	-----	-----	-----	-----
Non-trade						
Interest payable	4,711	10,635	10,118	4,271	10,635	10,118
Accrued operating expenses	26,418	21,228	17,106	24,957	21,213	17,106
Other deposits and advance	2,623	8,982	12,208	2,623	8,982	12,208
	<u>33,752</u>	<u>40,845</u>	<u>39,432</u>	<u>31,851</u>	<u>40,830</u>	<u>39,432</u>
	-----	-----	-----	-----	-----	-----
	<u>57,270</u>	<u>61,506</u>	<u>53,674</u>	<u>55,369</u>	<u>61,491</u>	<u>53,674</u>
	=====	=====	=====	=====	=====	=====

Included in the amount due to related parties are an amount due to the Manager of RM6,932,000 (31 December 2011: RM6,407,000; 1 January 2011: RM4,966,000) of which RM4,088,000 (31 December 2011: RM4,030,000; 1 January 2011: RM3,128,000) is payable in units of CMMT as payment for the performance component of management fee for the period from 1 July 2012 to 31 December 2012, and Trustee's fee of RM86,000 (31 December 2011: RM124,000; 1 January 2011: RM71,000). The relationship and transactions of the above are further disclosed in Note 26.

Included in the accrued operating expenses is a reimbursement payable to a related party of RM831 (31 December 2011 and 1 January 2011: Nil).

12. Other operating expenses

	Group and the Trust	
	2012	2011
	RM'000	RM'000
Property management fee and reimbursement	17,527	11,639
Marketing expenses	4,962	4,187
Quit rent and assessment	7,067	6,288
General and administrative expenses	3,339	2,544
	<u>32,895</u>	<u>24,658</u>
	=====	=====

The property management fee is payable to the property manager, Knight Frank (Ooi & Zaharin Sdn. Bhd.). Property management reimbursement includes reimbursable staff costs and other reimbursement for managing the investment properties. The property management fee for Gurney Plaza, Sungei Wang Plaza, The Mines and East Coast Mall is based on a monthly fee of RM67,000 (2011: RM59,000) as stipulated in the property management agreement dated 10 June 2010 and the renewal letter dated 13 May 2012.

13. Manager's management fee

	Group and the Trust	
	2012	2011
	RM'000	RM'000
(inclusive of a service tax of 6.0%)		
Base management fee	9,356	8,110
Performance fee	9,868	8,176
	<u>19,224</u>	<u>16,286</u>
	=====	=====

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1.0% per annum of the total asset value and a performance fee of up to 5.0% per annum of net property income. For the financial year ended 31 December 2012, the Manager has accounted for a base fee of 0.29% (2011: 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (2011: 4.75%) per annum of net property income payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which was payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1.0% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

During the financial year ended 31 December 2012, the Manager was paid 5,386,100 units in CMMT or equivalent to RM8,105,000, as part settlement of its management fee for the period from 1 July 2011 to 30 June 2012. The Manager disposed 2,846,300 units in CMMT at cost to a related party, Menang Investment Limited, on 30 July 2012.

During the previous financial year, the Manager was paid a total of RM5,565,000 (inclusive of a service tax of 6.0%) as the acquisition fee for the completion of acquisition of Gurney Plaza Extension and East Coast Mall. The acquisition fee was capitalised as part of the acquisition costs of Gurney Plaza Extension and East Coast Mall.

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

14. Trustee's fee

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

15. Finance costs

	Group		Trust	
	2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Interest expense on secured term loans	38,179	37,781	38,179	37,781
Interest expense on unrated and secured MTN	440	-	-	-
Interest expense on RTFA with subsidiary	-	-	440	-
Interest expense on unsecured revolving credit	945	13	945	13
Amortisation of transaction costs on borrowings	2,041	920	2,015	920
Others	666	(7)	692	(7)
	<u>42,271</u>	<u>38,707</u>	<u>42,271</u>	<u>38,707</u>
	=====	=====	=====	=====

16. Other non-operating income

Included in other non-operating income during the previous financial year was an adjustment of RM2,085,000 for over-recognition of listing expenses in relation to the initial public offering of CMMT.

17. Tax expense

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a Real Estate Investment Trust (REIT) will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As CMMT will distribute 100.0% of its distributable income for the financial year ended 31 December 2012 to its unitholders, no provision for tax expense has been made for the current year.

Reconciliation of tax expense is as follows:

	Group		Trust	
	2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Profit before taxation	250,465	179,814	250,473	179,821
	=====	=====	=====	=====
Income tax at Malaysian statutory tax rate of 25.0%	62,616	44,954	62,618	44,955
Effect of fair value gain of investment properties not subject to tax	(28,345)	(17,228)	(28,345)	(17,228)
Effect of income not subject to tax	(36,502)	(29,571)	(36,502)	(29,571)
Expenses not deductible for tax purposes	2,231	1,845	2,229	1,844
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	=====	=====	=====	=====
Tax expense for the financial year	-	-	-	-

18. Earnings per unit

The calculation of earnings per unit is based on the weighted average number of units during the year and profit for the year.

	Group		Trust	
	2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Profit for the year	250,465	179,814	250,473	179,821
Add: Manager's management fee	19,224	16,286	19,224	16,286
Profit for the year before Manager's management fee	269,689	196,100	269,697	196,107
	=====	=====	=====	=====
			Group and the Trust	
			2012 '000	2011 '000
Issued units at the beginning of the year			1,762,652	1,350,000
Units issued as part satisfaction of the Manager's management fee			2,485	1,316
Units issued as part of the acquisition cost of Gurney Plaza Extension			-	110,728
Units issued as the acquisition cost of East Coast Mall			-	36,595
Weighted average number of units at the end of the year			1,765,137	1,498,639
			=====	=====

19. Distributions to unitholders

	Group and the Trust	
	2012 RM'000	2011 RM'000
Distributions to unitholders are from the following sources:		
Rental income	233,426	193,995
Interest income	3,972	3,063
Other income	55,886	37,112
Less: Expenses	(144,005)	(115,887)
Less: Rollover adjustment for rounding difference	(164)	(25)
Distributable income	149,115	118,258
	=====	=====
Distribution per unit (sen) of which:	8.44	7.87
- taxable distribution of income (sen)	8.05	7.69
- tax exempt distribution of income (sen)	0.39	0.18

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders	
(a) Corporate	Tax flow through, no withholding tax
(b) Other than corporate	Withholding tax at 10.0%
Non-resident unitholders	
(c) Corporate	Withholding tax at 25.0%
(d) Institutional investors	Withholding tax at 10.0%
(e) Individuals	Withholding tax at 10.0%

20. Portfolio turnover ratio

	2012	Trust 2011
Portfolio turnover ratio (PTR) (times)	-	0.16
	====	===

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

21. Management expense ratio

	2012	Trust 2011
Management expense ratio (MER) (%)	1.0	1.1
	====	===

MER is calculated based on the total fees of CMMT, including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

22. Capital commitments

Capital commitments in relation to capital expenditure of the existing portfolio of CMMT are as follows:

	Group and the Trust	
	2012	2011
	RM'000	RM'000
Contracted but not provided for	7,762	-
Approved but not contracted for ¹	-	58,483
	<u>7,762</u>	<u>58,483</u>
	=====	=====

¹ This refers to the balance of the approved capital expenditure commitments of RM101,978,000 for the financial period 2010 and financial year 2011 as disclosed in the initial public offering prospectus of CMMT.

23. Operating lease

The Group and the Trust have the following commitments at the end of the financial year:

(a) Operating lease rental payable

Future minimum lease payments of the Group and of the Trust on non-cancellable operating leases are as follows:

	Group and the Trust		
	31.12.2012 RM'000	31.12.2011 RM'000	1.1.2011 RM'000
Less than one year	65	54	34
Between one and five years	181	191	42
	<u>246</u>	<u>245</u>	<u>76</u>
	=====	=====	=====

The Group and the Trust lease photocopiers under operating leases. The leases run for a period of five (5) years with an option to renew the leases upon expiry.

(b) Operating lease rental receivable

Future minimum lease rental receivable of the Group and of the Trust on non-cancellable operating leases from investment properties are as follows:

	Group and the Trust		
	31.12.2012 RM'000	31.12.2011 RM'000	1.1.2011 RM'000
Less than one year	192,329	186,447	143,678
Between one and five years	256,725	212,503	109,167
After five years	9,837	10,313	10,311
	<u>458,891</u>	<u>409,263</u>	<u>263,156</u>
	=====	=====	=====

24. Financial instruments

24.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Group Carrying amount			Trust Carrying amount		
	31.12.2012	31.12.2011	1.1.2011	31.12.2012	31.12.2011	1.1.2011
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Financial assets categorised as loans and receivables:						
Trade and other receivables	9,976	8,586	6,512	9,976	8,578	6,512
Amount due from subsidiary	-	-	-	3,411	-	-
Cash and cash equivalents	158,965	115,417	127,431	155,432	115,417	127,431
	<u>168,941</u>	<u>124,003</u>	<u>133,943</u>	<u>168,819</u>	<u>123,995</u>	<u>133,943</u>
	=====	=====	=====	=====	=====	=====
Financial liabilities measured at amortised cost:						
Borrowings	869,534	824,231	745,122	571,298	824,231	745,122
Tenants' deposits	78,400	69,122	44,468	78,400	69,122	44,468
Amount due to subsidiary	-	-	-	300,000	-	-
Trade and other payables	57,270	61,506	53,674	55,369	61,491	53,674
	<u>1,005,204</u>	<u>954,859</u>	<u>843,264</u>	<u>1,005,067</u>	<u>954,844</u>	<u>843,264</u>
	=====	=====	=====	=====	=====	=====

24.2 Net gains and losses arising from financial instruments

	Group and the Trust	
	2012	2011
	RM'000	RM'000
Net gains/(losses) on:		
Loans and receivables		
- Impairment losses on trade receivables	77	(376)
- Interest income	3,972	3,063
	<u>4,049</u>	<u>2,687</u>
	=====	=====
Financial liabilities		
- Finance costs	(42,271)	(38,707)
	=====	=====

24. Financial instruments (continued)

24.3 Financial risk management

The Group and the Trust have exposure to the following risks from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which sets its tolerance of risk and its general risk management philosophy.

24.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due.

24. Financial instruments (continued)

24.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

31 December 2012	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Group							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	573,750	4.3 - 5.1	693,419	77,461	23,121	521,444	71,393
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.5	353,557	13,380	13,380	326,797	-
Tenants' deposits	78,400	-	78,400	27,568	29,507	21,203	122
Trade and other payables	57,270	-	48,471	48,060	17	50	344
	<u>1,009,420</u>		<u>1,173,847</u>	<u>166,469</u>	<u>66,025</u>	<u>869,494</u>	<u>71,859</u>
	=====		=====	=====	=====	=====	=====
Trust							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	573,750	4.3 - 5.1	693,419	77,461	23,121	521,444	71,393
Tenants' deposits	78,400	-	78,400	27,568	29,507	21,203	122
Amount due to subsidiary	300,000	4.5	353,557	13,380	13,380	326,797	-
Trade and other payables	55,369	-	47,010	46,599	17	50	344
	<u>1,007,519</u>		<u>1,172,386</u>	<u>165,008</u>	<u>66,025</u>	<u>869,494</u>	<u>71,859</u>
	=====		=====	=====	=====	=====	=====

24. Financial instruments (continued)

24.4 Liquidity risk (continued)

Maturity analysis (continued)

31 December 2011 Group	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	828,750	4.3 - 5.1	1,027,014	45,801	36,486	399,167	545,560
Tenants' deposits	69,122	-	69,122	21,935	18,498	28,570	119
Trade and other payables	61,506	-	46,841	46,841	-	-	-
	<u>959,378</u>		<u>1,142,977</u>	<u>114,577</u>	<u>54,984</u>	<u>427,737</u>	<u>545,679</u>
	=====		=====	=====	=====	=====	=====
Trust							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	828,750	4.3 - 5.1	1,027,014	45,801	36,486	399,167	545,560
Tenants' deposits	69,122	-	69,122	21,935	18,498	28,570	119
Trade and other payables	61,491	-	46,826	46,826	-	-	-
	<u>959,363</u>		<u>1,142,962</u>	<u>114,562</u>	<u>54,984</u>	<u>427,737</u>	<u>545,679</u>
	=====		=====	=====	=====	=====	=====

24. Financial instruments (continued)

24.4 Liquidity risk (continued)

Maturity analysis (continued)

1 January 2011 Group and the Trust Non-derivative financial liabilities	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Bank borrowings (excluding unamortised transaction costs)	750,000	4.4 - 5.1	955,944	35,117	32,687	398,180	489,960
Tenants' deposits	44,468	-	44,468	20,956	12,933	10,460	119
Trade and other payables	53,674	-	40,428	40,428	-	-	-
	<u>848,142</u>		<u>1,040,840</u>	<u>96,501</u>	<u>45,620</u>	<u>408,640</u>	<u>490,079</u>

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- (a) an amount of RM4,711,000 (31 December 2011: RM10,635,000; 1 January 2011: RM10,118,000) for interest payable on the secured term loans and unsecured revolving credit which were incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM4,088,000 (31 December 2011: RM4,030,000; 1 January 2011: RM3,128,000) for Manager's performance fee payable in units which was not incorporated in the contractual cash flows.

For the Trust:

- (a) an amount of RM4,271,000 (31 December 2011: RM10,635,000; 1 January 2011: RM10,118,000) for interest payable on the secured term loans and unsecured revolving credit which were incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM4,088,000 (31 December 2011: RM4,030,000; 1 January 2011: RM3,128,000) for Manager's performance fee payable in units which was not incorporated in the contractual cash flows.

24. Financial instruments (continued)

24.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meets the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

24.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

24.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flow due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but were mainly placed in fixed or short term deposits with licensed banks which yield better returns than cash at bank.

24. Financial instruments (continued)

24.6.1 Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

	Group			Trust		
	31.12.2012	31.12.2011	1.1.2011	31.12.2012	31.12.2011	1.1.2011
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Financial asset						
<i>Fixed rate instruments</i>						
Deposits placed with licensed banks	149,216	96,890	120,856	145,714	96,890	120,856
	=====	=====	=====	=====	=====	=====
Financial liabilities						
<i>Fixed rate instruments</i>						
Secured term loans	363,825	573,825	525,000	363,825	573,825	525,000
Unrated and secured MTN	300,000	-	-	-	-	-
Amount due to subsidiary	-	-	-	300,000	-	-
	663,825	573,825	525,000	663,825	573,825	525,000
	=====	=====	=====	=====	=====	=====
<i>Floating rate instruments</i>						
Secured term loans	155,925	245,925	225,000	155,925	245,925	225,000
Unsecured revolving credit	54,000	9,000	-	54,000	9,000	-
	873,750	828,750	750,000	873,750	828,750	750,000
	=====	=====	=====	=====	=====	=====

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

24. Financial instruments (continued)

24.6.1 Interest rate risk (continued)

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would increase the finance cost by RM2,099,000 (2011: RM2,549,000) per annum. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables, in particular foreign currency rates, remain constant.

24.6.2 Currency risk

At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

24.7 Fair values

The carrying amounts of cash and cash equivalents, trade and other receivables and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, together with the carrying amounts shown in the statement of financial position, are as follows:

	Carrying amount 2012 RM'000	Fair value 2012 RM'000	Carrying amount 2011 RM'000	Fair value 2011 RM'000
Group				
Tenants' deposits	78,400	75,578	69,122	66,182
Fixed rate secured term loans	363,825	373,235	573,825	586,593
Unrated and secured MTN	300,000	300,000	-	-
	=====	=====	=====	=====
Trust				
Tenants' deposits	78,400	75,578	69,122	66,182
Fixed rate secured term loans	363,825	373,235	573,825	586,593
Amount due to subsidiary	300,000	300,000	-	-
	=====	=====	=====	=====

24. Financial instruments (continued)

24.7 Fair values (continued)

The above fair values, which were determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2012	2011
Tenants' deposits	3.0%	3.0%
Fixed rate secured term loans	4.6% - 4.7%	4.7% - 4.8%
Unrated and secured MTN	4.5%	-
Amount due to subsidiary	4.5%	-

25. Capital management

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening their capital structure and competitive position.

The Manager is determined to maintain an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REITs Guidelines, gearing ratio of the Group should not exceed 50.0% at the time the borrowings are incurred. However, the Group's gearing ratio may exceed this limit with the sanction of its unitholders by way of an ordinary resolution. The Group has complied with the SC's requirement during the financial year.

	Group	
	2012 RM'000	2011 RM'000
Total asset value (after income distribution)	3,046,828	2,886,607
Total borrowings (excluding unamortised transaction costs) (Note 10)	873,750	828,750
Gearing ratio (%)	28.7	28.7
	=====	=====

There was no change in the Group's approach to capital management during the year.

26. Related parties

Identity and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
The Manager				
CapitaMalls Malaysia REIT Management Sdn. Bhd.				
- Management fee (Note 13)	19,224	16,286	19,224	16,286
- Acquisition fee (Note 13)	-	5,565	-	5,565
	=====	=====	=====	=====
The Trustee				
AmTrustee Berhad				
- Trustee's fee (Note 14)	505	464	505	464
	=====	=====	=====	=====
Related company of a substantial shareholder of the Manager				
Malayan Banking Berhad				
- Rental income from leasing of space for placement of automated teller machines	53	34	53	34
	=====	=====	=====	=====
Maybank Investment Bank Berhad				
- Arranger fee for the set-up of the MTN Programme ¹	100	-	-	-
- Annual facility agent fee for the MTN Programme	50	-	-	-
- Advisory fee for the proposed issuance of 3,068,200 new units in CMMT as part payment of management fee	-	10	-	10
	=====	=====	=====	=====

26. Related parties (continued)

Identity and transactions with related parties (continued)

	Group		Trust	
	2012 RM'000	2011 RM'000	2012 RM'000	2011 RM'000
Related company of a substantial unitholder and the Manager				
Singapore Technologies Electronics Limited				
- Maintenance cost of parking guidance system at CMMT's shopping malls	16 =====	47 =====	16 =====	47 =====
Singapore Telecommunication Limited				
- Leased line expenses for Local Area Network Connectivity	360 =====	201 =====	360 =====	201 =====
Related company of a substantial shareholder of the Trustee				
AmBank (M) Berhad				
- Interest income earned from bank accounts	948 =====	566 =====	948 =====	566 =====
- Rental income from leasing of space for placement of automated teller machines	20 =====	20 =====	20 =====	20 =====

¹ The arranger fee is part of the transaction costs incidental to the set-up of the MTN Programme which, together with the rest of the transaction costs, is amortised over 20 years.

Save from the transactions disclosed above and in Note 6, 7, 9, 11, 13, 14 and 15, there is no other related party transaction pertaining to the Group and to CMMT during the financial year.

27. Operating segments

No segment information is prepared as the Group's and the Trust's activities are predominantly in one industry and its properties are located in Malaysia.

28. Subsequent event

CMMT will be paying a final income distribution of approximately RM74,964,000 or 4.24 sen per unit on 6 March 2013, for the period from 1 July 2012 to 31 December 2012. In total, CMMT will be paying approximately RM149,115,000, which represents 100.0% of its distributable income, to its unitholders for the financial year ended 31 December 2012. The book closure date for the final income distribution was on 8 February 2013.

The final income distribution will be recognised in the immediate subsequent financial year.

29. Explanation of transition to MFRSs

As stated in Note 1(a), these are the first financial statements of the Group and of the Trust prepared in accordance with MFRSs.

The accounting policies set out in Note 2 have been applied in preparing the financial statements of the Group and of the Trust for the financial year ended 31 December 2012, the comparative information presented in these financial statements for the financial year ended 31 December 2011 and in the preparation of the opening MFRS statement of financial position at 1 January 2011 (the Group's date of transition to MFRSs).

The transition to MFRSs does not have financial impact to the financial statements of the Group and of the Trust.

Statement by the Manager

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CMMT and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaMalls Malaysia REIT Management Sdn. Bhd., the financial statements set out on pages 63 to 106 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (the Deed), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2012 and of their financial performance and cash flows for the financial year then ended.

In addition, the Directors confirm the following:

Sanctions and/or penalties

During the financial year there were no sanctions and/or penalties imposed on the Group, its Manager and/or the Directors by any of the relevant regulatory bodies.

Material contracts involving the Group and substantial unitholders

There are no material contracts involving the Group and substantial unitholders other than the Manager's management fee and other related party transactions disclosed in Note 26 to the financial statements.

Other significant events

There are no other significant events during the financial year and up to the date of this report.

Significant changes in the state of affairs

There have been no significant changes in the state of affairs of the Trust during the financial year and up to the date of this report other than those disclosed in the financial statements.

Circumstances which materially affect the interests of unitholders

There are no circumstances which materially affect the interests of unitholders.

Changes in material litigation

The Manager is not aware of any pending material litigation since 31 December 2012 up to the date of this report.

Manager's remuneration and soft commission

The Manager's remuneration is accrued and paid in accordance with the Deed. No fee or commission has been earned by the Manager in managing CMMT other than disclosed in Note 13 to the financial statements.

During the financial year, the Manager did not receive any soft commission (i.e. goods and services) from its broker, by virtue of any transaction conducted by CMMT.

Information on Directors

There are no family relationships among the Directors and/or major unitholders. None of the Directors has any conflict of interest with CMMT save for the Directors' interest in CMMT as disclosed in Note 9 to the financial statements. None of the Directors has been convicted of any offences, other than traffic offences, in the past ten years.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 8 February 2013.



David Wong Chin Huat
Chairman



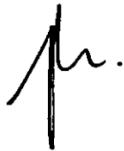
Sharon Lim Hwee Li
Chief Executive Officer

Date: 8 February 2013

Statutory Declaration

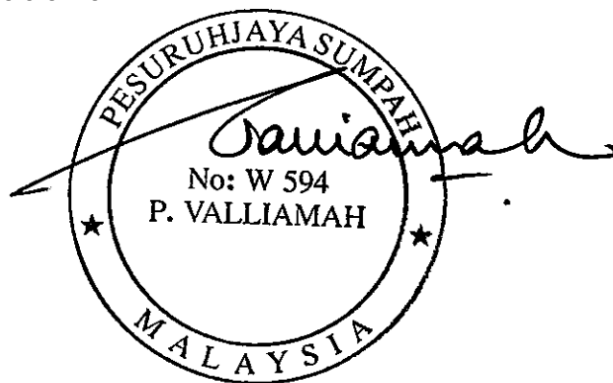
I, Low Peck Chen, the officer of CapitaMalls Malaysia REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaMalls Malaysia Trust, do solemnly and sincerely declare that the financial statements set out on pages 63 to 106, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur on 8 February 2013.



Low Peck Chen

Before me:



Lot 112, Tingkat Satu,
Wisma MPL, Jalan Raja Chulan
50200 Kuala Lumpur,

Trustee's Report

to the unitholders of CapitaMalls Malaysia Trust

(Established in Malaysia)

We have acted as Trustee of CapitaMalls Malaysia Trust (CMMT) for the financial year ended 31 December 2012. In our opinion and to the best of our knowledge, CapitaMalls Malaysia REIT Management Sdn. Bhd., the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have also ensured the following:

- (a) the valuation/pricing is carried out in accordance with the Deed and other regulatory requirements; and
- (b) the creation of units is carried out in accordance with the Deed and other regulatory requirements.

We confirm that the income distributions declared and paid during the financial year ended 31 December 2012 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
AmTrustee Berhad



Tan Kok Cheeng
Chief Executive Officer

Date: 8 February 2013

Independent Auditors' Report to the unitholders of CapitaMalls Malaysia Trust (Established in Malaysia)

REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of CapitaMalls Malaysia Trust (CMMT), which comprise the statements of financial position as at 31 December 2012 of the Group and of CMMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and cash flows of the Group and of CMMT for the financial year then ended, and a summary of significant accounting policies and other explanatory notes, as set out on pages 63 to 106.

Responsibility of the Directors of the Manager for the Financial Statements

The Directors of the Manager of CMMT are responsible for the preparation and fair presentation of these financial statements in accordance with the Deed dated 7 June 2010, Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to CMMT's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of CMMT's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors of the Manager, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements have been properly drawn up in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of CMMT as of 31 December 2012 and of their financial performance and cash flows for the financial year then ended.

OTHER REPORTING RESPONSIBILITIES

Our audit was made for the purpose of forming an opinion on the financial statements taken as a whole. The information on the breakdown of realised and unrealised profits or losses included in the statements of changes in net asset value of the financial statements have been compiled by the Directors of the Manager as required by the Bursa Malaysia Securities Berhad Listing Requirements and is not required by the Malaysian Financial Reporting Standards (MFRS) or International Financial Reporting Standards. We have extended our audit procedures to report on the process of compilation of such information. In our opinion, the information has been properly compiled, in all material respects, in accordance with the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosures Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institute of Accountants and presented based on the format prescribed by Bursa Malaysia Securities Berhad.

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.



KPMG

Firm Number: AF 0758
Chartered Accountants



Abdullah Abu Samah

Approval Number: 2013/06/14(J)
Chartered Accountant

Petaling Jaya,

Date: 8 February 2013

Statistics of Unitholders as at 31 December 2012

Issued and Fully Paid Units	1,768,038,200 units (voting rights: 1 vote per unit)
Approved Fund Size	1,936,763,000 units
Public Spread	As at 31 December 2012, the public shareholding spread of CMMT was 58.3%. ¹

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	8	0.2%	198	0.0%
100 - 1,000	660	15.9%	564,800	0.0%
1,001 - 10,000	2,336	56.4%	12,222,100	0.7%
10,001 - 100,000	859	20.8%	29,716,651	1.7%
100,001 - less than 5% of approved fund size	273	6.6%	854,707,751	48.3%
5% and above the approved fund size	3	0.1%	870,826,700	49.3%
Total	4,139	100%	1,768,038,200	100%

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT Investment Limited	623,938,000	35.29
2	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	146,888,700	8.31
3	Amanahraya Trustees Berhad Skim Amanah Saham Bumiputera	100,000,000	5.66
4	Cartaban Nominees (Asing) Sdn Bhd Government of Singapore Investment Corporation Pte Ltd for Government of Singapore (C)	73,410,200	4.15
5	Cartaban Nominees (Tempatan) Sdn Bhd Exempt Authorised Nominee (AN) for Eastspring Investments Berhad	64,396,000	3.65
6	Maybank Nominees (Tempatan) Sdn Bhd Maybank Trustees Berhad for Public Regular Savings Fund (N14011940100)	48,246,900	2.73
7	HSBC Nominees (Asing) Sdn Bhd Exempt AN for JPMorgan Chase Bank, National Association (BVI)	44,334,500	2.51
8	Citigroup Nominees (Tempatan) Sdn Bhd Exempt AN for American International Assurance Berhad	37,034,400	2.10
9	Amanahraya Trustees Berhad Amanah Saham Wawasan 2020	35,049,500	1.98
10	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 1)	33,008,800	1.87

¹ The figures were derived at after excluding unitholdings held by CMMT Investment Limited, CapitaMalls Malaysia REIT Management Sdn. Bhd., Menang Investment Limited, Government of Singapore Investment Corporation Pte Ltd and Directors of the Manager, pursuant to the definition of "public" under the Listing Requirements.

No	Name of Unitholder	Holdings	%
11	Amanahraya Trustees Berhad Amanah Saham Malaysia	29,000,000	1.64
12	Valuecap Sdn Bhd	23,939,900	1.35
13	Cartaban Nominees (Asing) Sdn Bhd Government of Singapore Investment Corporation Pte Ltd for Monetary Authority of Singapore (H)	22,624,900	1.28
14	HSBC Nominees (Asing) Sdn Bhd Exempt AN for The Bank of New York Mellon (Mellon Acct)	21,085,433	1.19
15	Amanahraya Trustees Berhad As 1Malaysia	20,000,000	1.13
16	Cartaban Nominees (Asing) Sdn Bhd SSBT Fund W4B3 for Wasatch Emerging Markets Small Cap Fund	16,473,067	0.93
17	Amanahraya Trustees Berhad Public Sector Select Fund	14,473,000	0.82
18	Amanahraya Trustees Berhad Public Smallcap Fund	14,350,000	0.81
19	Amanahraya Trustees Berhad Public Dividend Select Fund	13,399,500	0.76
20	Citigroup Nominees (Tempatan) Sdn Bhd Allianz Life Insurance Malaysia Berhad (P)	12,094,200	0.68
21	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 2)	10,603,700	0.60
22	Amanahraya Trustees Berhad Public Far-East Property & Resorts Fund	10,114,600	0.57
23	Tokio Marine Life Insurance Malaysia Bhd As Beneficial Owner (PF)	10,000,000	0.57
24	CIMB Commerce Trustee Berhad Public Focus Select Fund	9,098,800	0.51
25	Menang Investment Limited	8,735,400	0.49
26	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 3)	8,228,600	0.47
27	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (LPF)	8,180,000	0.46
28	Amanahraya Trustees Berhad PB Balanced Fund	7,841,600	0.44
29	Cartaban Nominees (Asing) Sdn Bhd BBH (Lux) SCA for Fidelity Funds ASEAN	7,712,700	0.44
30	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (LGF)	7,448,900	0.42
Total		1,481,711,300	83.81

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr David Wong Chin Huat	Chairman / Independent Non-Executive Director	Singaporean	-	-	-
Tuan Haji Rosli bin Abdullah	Independent Non-Executive Director	Malaysian	-	-	-
Mr Foo Wei Hoong	Non-Independent Non-Executive Director	Malaysian	-	-	-
Mr Simon Ho Chee Hwee	Alternate Director to Mr Lim Beng Chee and Non-Independent Non-Executive Director	Singaporean	-	-	-
Mr Lim Beng Chee	Non-Independent Non-Executive Director	Singaporean	-	100,000	100,000
Mr Ng Chih Kaye	Independent Non-Executive Director	Malaysian	-	-	-
Mr Ng Kok Siong	Non-Independent Non-Executive Director	Singaporean	-	100,000	100,000
Ms Tan Siew Bee	Independent Non-Executive Director	Malaysian	100,000	-	100,000
Mr Peter Tay Buan Huat	Independent Non-Executive Director	Singaporean	100,000	-	100,000
Ms Sharon Lim Hwee Li	Non-Independent Executive Director	Singaporean	100,000	-	100,000
Total			300,000	200,000	500,000

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	623,938,000		623,938,000	35.29
2	Employees Provident Fund Board		146,888,700	163,775,400	9.26
	Employees Provident Fund Board (CIMB Prin)		5,606,400		
	Employees Provident Fund Board (Alliance Inv)		3,900,000		
	Employees Provident Fund Board (KIB)		2,350,400		
	Employees Provident Fund Board (Amundi)		4,000,000		
	Employees Provident Fund Board (Aberdeen)		1,029,900		
	<i>Registered with:</i> <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
3	Skim Amanah Saham Bumiputera		100,000,000	100,000,000	5.66
	<i>Registered with:</i> <i>AmanahRaya Trustees Berhad</i>				
4	Government of Singapore Investment Corporation Pte. Ltd. for Government of Singapore (C)		73,410,200	101,583,900	5.74
	Government of Singapore Investment Corporation Pte. Ltd. for Monetary Authority of Singapore (B)		5,548,800		
	Government of Singapore Investment Corporation Pte. Ltd. for Monetary Authority of Singapore (H)		22,624,900		
	<i>Registered with:</i> <i>Cartaban Nominees (Asing) Sdn. Bhd</i>				
Total		623,938,000	365,359,300	989,297,300	55.95

Corporate Information

CAPITAMALLS MALAYSIA TRUST

Registered Address

AmTrustee Berhad
(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2036 2633
Facsimile No.: +60 3 2032 1914

Website

www.capitamallsmalaysia.com

Investor Relations

Telephone No.: +60 3 2279 9888
Email: ask-us@capitamallsmalaysia.com

Stock Exchange Listing

Main Market of Bursa Malaysia Securities
Berhad
Stock Name: CMMT
Stock Code: 5180

TRUSTEE

AmTrustee Berhad

(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2036 2633
Facsimile No.: +60 3 2032 1914

MANAGER

CapitaMalls Malaysia REIT Management Sdn. Bhd.

(Company Number: 819351-H)

Manager's Registered Office / Principal Place of Business

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Board of Directors of the Manager

Mr David Wong Chin Huat
Chairman and Independent Non-Executive
Director

Tuan Haji Rosli bin Abdullah
Independent Non-Executive Director

Mr Foo Wei Hoong
Non-Independent Non-Executive Director

Mr Simon Ho Chee Hwee
(Alternate Director to Mr Lim Beng Chee)
Non-Independent Non-Executive Director

Mr Lim Beng Chee
Non-Independent Non-Executive Director

Mr Ng Chih Kaye
Independent Non-Executive Director

Mr Ng Kok Siong
Non-Independent Non-Executive Director

Ms Tan Siew Bee
Independent Non-Executive Director

Mr Peter Tay Buan Huat
Independent Non-Executive Director

Ms Sharon Lim Hwee Li
Chief Executive Officer
and Non-Independent Executive Director

Executive Committee

Mr Lim Beng Chee (Chairman)
Mr Simon Ho Chee Hwee
Mr Ng Kok Siong
Ms Sharon Lim Hwee Li

Audit Committee

Tuan Haji Rosli bin Abdullah (Chairman)
Mr Ng Chih Kaye
Mr Ng Kok Siong
Ms Tan Siew Bee

Corporate Disclosure Committee

Mr David Wong Chin Huat (Chairman)
Mr Lim Beng Chee
Mr Ng Kok Siong

COMPANY SECRETARIES OF THE MANAGER

Khoo Ming Siang
(MAICSA 7034037)
Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur

Pang Chia Tyng
(MAICSA 7034545)
10th Floor, Menara Hap Seng
No. 1 & 3 Jalan P. Ramlee
50250 Kuala Lumpur

Wong Huey Shyan
(MAICSA 7029602)
10th Floor, Menara Hap Seng
No. 1 & 3 Jalan P. Ramlee
50250 Kuala Lumpur

AUDITORS

KPMG

(Firm No: AF 0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-In-Charge: Encik Abdullah Abu Samah

UNIT REGISTRAR

Equiniti Services Sdn. Bhd.

(Company Number: 11324-H)
Level 8, Menara MIDF
82, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2166 0933
Facsimile No.: +60 3 2166 0688

PROPERTY MANAGER

Knight Frank (Ooi & Zaharin Sdn. Bhd.)

(Company Number: 585479-A)
Suite 9.01, 9th Floor
Menara IGB, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

PRINCIPAL BANKERS

Alliance Bank Malaysia Berhad

(Company Number: 88103-W)
36th Floor, Menara Multi-Purpose
Capital Square,
8 Jalan Munshi Abdullah
50100 Kuala Lumpur

AmBank (M) Berhad

(Company Number: 8515-D)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur

CIMB Bank Berhad

(Company Number: 13491-P)
10th Floor, Bangunan CIMB
Jalan Semantan, Damansara Heights
50490 Kuala Lumpur

Malayan Banking Berhad

(Company Number: 3813-K)
Menara Maybank
100 Jalan Tun Perak
50050 Kuala Lumpur

Public Bank Berhad

(Company Number: 6463-H)
27th Floor, Menara Public Bank
146, Jalan Ampang
50450 Kuala Lumpur

RHB Bank Berhad

(Company Number: 6171-M)
Tower One, RHB Centre
Jalan Tun Razak
50400 Kuala Lumpur

United Overseas Bank (Malaysia) Bhd

(Company Number: 271809K)
Menara UOB
Jalan Raja Laut
50350 Kuala Lumpur

Glossary

AEI(s)	Asset enhancement initiative(s)
Authorised Investments	Real estates, single-purpose companies, real estate-related assets, liquid assets, non-real estate-related assets, asset-backed securities and any other investments permitted by the SC or the REITs Guidelines
Board of Directors	The Board of Directors of the Manager
Bursa Securities	Bursa Malaysia Securities Berhad
Capitalisation (Cap) Rate	Refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property
CMA	CapitaMalls Asia Limited, the sponsor of CMMT
CMA Malaysia	CapitaLand Retail Malaysia Sdn. Bhd., an indirect wholly-owned subsidiary of CMA, which is responsible for the business operations of CMA in Malaysia
CMMT	CapitaMalls Malaysia Trust
CMMT Group	CMMT and its subsidiary
Committed Lease	A lease is considered to be “committed” when the letter of offer, tenancy agreement or license agreement, as applicable, is signed.
Common Areas	In relation to strata titled properties like Sungei Wang Plaza, the development area which is not part of any parcels (including accessory parcels) forming part of the said properties, and can include the following: structural elements of the building, stairs, stairways, fire escapes, entrances and exits, corridors, lobbies, lifts, refuse chutes, compound drains, water tanks, sewers, pipes, wires, cables and ducts that serve more than one parcel, the exterior of all common parts of the building, driveways, open spaces, landscape areas, walls and fences, and all other facilities and installations and any part of the land used or capable of being used or enjoyed in common by all the occupiers of the building
Deed	The trust deed dated 7 June 2010 constituting CMMT and registered with the SC on 9 June 2010, entered into between the Manager and the Trustee
Deposited Property	All the assets of CMMT, including all its Authorised Investments for the time being held or deemed to be held upon trust pursuant to the Deed
Directors	Individual members of the Board of Directors
Distributable Income	The distributable income of CMMT
Distribution Yield	DPU divided by the unit price
DPU	Distribution per Unit
EGM	Extraordinary General Meeting
FP 2010	Financial period from 14 July 2010 to 31 December 2010
FY 2011	Financial year ended 31 December 2011
FY 2012	Financial year ended 31 December 2012
FY(s)	Financial year(s) ended/ending 31 December
GDP	Gross domestic product
GFA	The built-up area of the property. For properties under development, the GFA is based on estimation by reference to, among other things, construction plans, which may change and/or be subject to regulatory approval and final verification by survey. For CMMT’s portfolio, the GFA is based on the relevant local authorities’ definition of GFA.

Gross Rental Income	The total amount payable by all tenants pursuant to a tenancy comprising base rents, service charges, gross turnover rents and, where applicable, advertising and promotion fees. For the purpose of deriving property statistics pertaining to the lease expiry profile, trade sector analysis and contribution of the top ten tenants of the respective properties, Gross Rental Income is equal to the aggregate gross rental (excluding gross turnover rental) from Committed Leases, calculated on the basis of gross rental per sq ft per month multiplied by the area of the shop lot, as stated in the relevant property's tenancy schedule. Gross Rental Income includes shop lots that are physically vacant, but have Committed Leases. In such instances the gross rental per sq ft per month (excluding gross turnover rent) payable at the lease's commencement date, multiplied by the area of the shop lot, is used.
Gross Revenue	In relation to any financial year or part thereof, means the gross revenue before expenses for the relevant period. Consists of Gross Rental Income, car park income and other income such as casual leasing, advertising panels/promotions and recovery of utilities and operations and maintenance works carried out for the tenants
Gross Turnover Rental	Rental which is pegged to tenants' sales
Listing Requirements Manager	Main Market Listing Requirements of Bursa Malaysia Securities Berhad
MTN	CapitaMalls Malaysia REIT Management Sdn. Bhd., in its capacity as the manager of CMMT
MER	Medium Term Notes
NAV	Management expense ratio, calculated by dividing the fees of the REIT by the average NAV of the REIT, where fees of the REIT comprise all fees, including the Manager's management fee, the Trustee's fee, the valuation fee and administration expenses charged to the REIT
NLA	Net asset value
NPI	Net lettable area, which comprises areas in a property that are comprising tenantable space, and excludes space used for building and centre management functions and common areas
Occupancy Rate	Net property income consists of Gross Revenue less Property Operating Expenses
Property Manager	Equals the total area under Committed Leases divided by the NLA
Property Operating Expenses	Knight Frank (Ooi & Zaharin Sdn Bhd), being the property manager for CMMT's portfolio
Property Yield	Consists of maintenance, utilities and other expenses such as property management fees, property management reimbursable, marketing expenses, quit rent and assessment and general and administrative expenses
Psf	Calculated by dividing the NPI or annualised NPI for the year by the independent valuation of the property
REIT(s)	Per square foot
REITs Guidelines	Real estate investment trust(s)
Rental Reversion	The Guidelines on Real Estate Investment Trusts issued by the SC, effective 21 August 2008, updated 28 December 2012, and any subsequent amendments or updates thereof
RM and sen	Increase or decrease in rental as compared to the preceding rental being achieved for a retail shop unit
sq ft	Ringgit Malaysia and sen, respectively
SC	Square foot/feet
Step-up Rent	Securities Commission Malaysia
Total Asset Value	Rental rate that increases by a predetermined amount at various points in the future under a lease agreement
Total Return	The value of all the Deposited Property based on the latest valuation
Unit(s)	Equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the given year
Unitholder(s)	An undivided interest in CMMT as set out in the Deed
	Holder(s) of the Units of CMMT

Notice of Annual General Meeting

CAPITAMALLS MALAYSIA TRUST

(Established in Malaysia under the trust deed dated 7 June 2010)

NOTICE IS HEREBY GIVEN that the Annual General Meeting (**AGM**) of the holders of units of CapitaMalls Malaysia Trust (**CMMT**) (**Unitholders**) will be held at Impiana Banquet Hall, Level 2, Impiana KLCC Hotel, 13 Jalan Pinang, 50450 Kuala Lumpur, Malaysia on Thursday, 4 April 2013 at 10.00 a.m. to transact the following businesses:

AS ORDINARY BUSINESS:

1. To receive the report of AmTrustee Berhad, as trustee of CMMT (the “**Trustee**”), the statement by CapitaMalls Malaysia REIT Management Sdn. Bhd., as manager of CMMT (the “**Manager**”), and the Audited Financial Statements of CMMT for the financial year ended 31 December 2012 together with the report of the Auditors thereon.

AS SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following Ordinary Resolution:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO CLAUSE 14.03 OF THE SECURITIES COMMISSION MALAYSIA’S GUIDELINES ON REAL ESTATE INVESTMENT TRUSTS (REITS GUIDELINES) (PROPOSED AUTHORITY)** **Resolution 1**

“**THAT** pursuant to the REITs Guidelines, Main Market Listing Requirements of Bursa Malaysia Securities Berhad and the approval of any relevant regulatory authorities, where such approval is required, the Manager be and is hereby authorised to allot and issue new units in CMMT (**Units**) provided that the number of new Units to be allotted and issued pursuant to this resolution does not exceed 353,607,640 Units, representing 20% of the existing fund size of CMMT;

AND THAT the Proposed Authority shall be effective from the date of receipt of all relevant authorities’ approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders, at which time it shall lapse, unless the authority is renewed by Unitholders; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders at an earlier Unitholders’ meeting;

whichever occurs first (**Validity Period**);

AND THAT the new Units to be issued pursuant to the Proposed Authority shall, upon allotment and issuance, rank equally in all respects with the existing Units except that the new Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such new Units;

AND FURTHER THAT the Manager and the Trustee (on behalf of CMMT) be and are hereby authorised to give effect to the aforesaid Proposed Authority with full power to assent to any conditions, variations, modifications and/or amendments in any manner as may be required by any relevant authorities or as the Manager and the Trustee may deem to be in the best interests of the Unitholders and to deal with all matters relating thereto and to take all such steps and do all acts and things in any manner as they may deem necessary or expedient to implement, finalise and give full effect to the Proposed Authority.”

AS OTHER BUSINESS

3. To transact such other business as may be transacted at an AGM.

BY ORDER OF THE BOARD
CAPITAMALLS MALAYSIA REIT MANAGEMENT SDN. BHD.
(Company No. 819351-H)
as manager of CapitaMalls Malaysia Trust

Khoo Ming Siang (MAICSA No. 7034037)
Pang Chia Tyng (MAICSA No. 7034545)
Wong Huey Shyan (MAICSA No. 7029602)
Company Secretaries
Kuala Lumpur
21 February 2013

Enclosures :

1. **Explanatory Notes**
2. **Proxy Form**

cc : AmTrustee Berhad
The Securities Commission Malaysia

Notes:

1. *Only Unitholders whose names appear in the Record of Depositors on 29 March 2013 are entitled to attend, speak and vote at the AGM.*
2. *A Unitholder may attend the AGM in person or appoint another person to attend the AGM and vote in the Unitholder's place.*
3. *On a show of hands, every Unitholder who is present in person or by proxy has one (1) vote.*
4. *On a poll, every Unitholder who is present in person or by proxy has one (1) vote for every Unit held by him.*
5. *Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy in respect of each securities account that has 10,000 or less Units standing to the credit of the said securities account and two (2) proxies in respect of each securities account that has more than 10,000 Units standing to the credit for the said securities account. Where the Unitholder appoints two (2) proxies, the appointment will be invalid unless it specifies the proportion of its holdings to be represented by each proxy.*
6. *Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.*
7. *The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaMalls Malaysia REIT Management Sdn. Bhd., Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than forty-eight (48) hours before the time for holding the meeting or adjourned meeting at which the person named in the Proxy Form proposes to vote; in default of this provision, the Proxy Form shall not be treated as valid.*

Explanatory Notes:**1. Resolution 1 – Authority to allot and issue new Units pursuant to Clause 14.03 of the REITs Guidelines**

Resolution 1, if passed, would enable the Manager to allot and issue up to 20% of the existing fund size of CMMT during the Validity Period.

The Proposed Authority will allow the Manager the flexibility to allot and issue new Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CMMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of Units to raise funds can be avoided.

The Manager may, subject to relevant laws and regulations, use the net proceeds from the issuance of new Units under the Proposed Authority at its absolute discretion for other purposes.

Any issuance of the new Units pursuant to the Proposed Authority will also be subject to the approval of the Trustee and the Securities Commission Malaysia for the approved fund size of CMMT to be increased from 1,936,763,000 Units to 2,290,370,640 Units.

CAPITAMALLS MALAYSIA TRUST

(Established in Malaysia under the trust deed dated 7 June 2010)

PROXY FORM**ANNUAL GENERAL MEETING**

I/We, _____ (Name(s) and NRIC no./Passport no./Company Registration no.)
of _____ (Address)
being a unitholder/unitholders of CapitaMalls Malaysia Trust (CMMT), hereby appoint:

Name	Address	NRIC/Passport No.	Proportion of Unitholdings	
			No. of Units	%

and/or failing whom (delete as appropriate)

Name	Address	NRIC/Passport No.	Proportion of Unitholdings	
			No. of Units	%

or, both of whom failing, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf and if necessary, to demand a poll, at the Annual General Meeting of CMMT to be held at Impiana Banquet Hall, Level 2, Impiana KLCC Hotel, 13 Jalan Pinang, 50450 Kuala Lumpur, Malaysia on Thursday, 4 April 2013 at 10.00 a.m., and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolutions to be proposed at the Annual General Meeting as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the Annual General Meeting.

Please delete if you wish to appoint the Chairman as your proxy.

No.	Ordinary Resolutions:	To be used on a show of hands		To be used in the event of a poll	
		For*	Against*	No. of Votes For**	No. of Votes Against**
	Special business				
1	Proposed Authority				
	Other business				
2	To transact any other business as may be transacted at an annual general meeting.				

* If you wish to exercise all your votes "For" or "Against", please tick [✓] within the box provided.

** If you wish to exercise all your votes "For" or "Against", please tick [✓] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2013

Total number of Units held

Signature(s) of unitholder(s) / Common Seal ^

^ Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Manager together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

Affix
postage
stamp

CapitaMalls Malaysia REIT Management Sdn. Bhd.
(Company No. 819351-H)
(as manager of CapitaMalls Malaysia Trust)

Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang
50450 Kuala Lumpur

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IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. Only Unitholders whose names appear in the Record of Depositors on 29 March 2013 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint another person to attend the AGM and vote in the Unitholder's place.
3. On a show of hands, every Unitholder who is present in person or by proxy has one (1) vote.
4. On a poll, every Unitholder who is present in person or by proxy has one (1) vote for every Unit held by him.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy in respect of each securities account that has 10,000 or less Units standing to the credit of the said securities account and two (2) proxies in respect of each securities account that has more than 10,000 Units standing to the credit for the said securities account. Where the Unitholder appoints two (2) proxies, the appointment will be invalid unless it specifies the proportion of its holdings to be represented by each proxy.
6. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
7. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaMalls Malaysia REIT Management Sdn. Bhd., Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than forty-eight (48) hours before the time for holding the meeting or adjourned meeting at which the person named in the Proxy Form proposes to vote; in default of this provision, the ProxyForm shall not be treated as valid.

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Mall Directory



Plaza Gurney
Persiaran Gurney
10250 Penang
Malaysia
Tel: +60 4 222 8111

Centre Management Office

Location: Level 6 (Lot No. 170-06-01)
Tel: +60 4 222 8222
Fax: +60 4 228 6666
www.gurneyplaza.com.my



Sungei Wang Plaza
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia
Tel: +60 3 2148 6109

Centre Management Office¹

Location: Level 6
(SWP Box No. 129, Lot No. 6F-111)
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
www.sungeiwang.com



The Mines
Jalan Dulang
MINES Resort City
Seri Kembangan
43300 Selangor Darul Ehsan
Malaysia
Tel: +60 3 8949 6333

Centre Management Office

Location: Level 4 (Box No. 228)
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
www.the-mines.com.my



East Coast Mall
Jalan Putra Square 6, Putra Square
25200 Kuantan
Pahang Darul Makmur
Malaysia
Tel: +60 9 560 8600

Centre Management Office

Location: Level 3
Tel: +60 9 560 8688
Fax: +60 9 560 8699
www.eastcoastmallkuantan.com.my

¹ Centre Management Office for CMMT's 205 strata parcels only.

CapitaMalls Malaysia REIT Management Sdn. Bhd.

As Manager of CapitaMalls Malaysia Trust

Company Reg. No.: 819351-H

Level 2, Ascott Kuala Lumpur

No. 9 Jalan Pinang

50450 Kuala Lumpur, Malaysia

TEL: +60 3 2279 9888

FAX: +60 3 2279 9889

EMAIL: ask-us@capitamallsmalaysia.com

www.capitamallsmalaysia.com

